

Rain Industries (RAIN)

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Call: May 2023

RAIN INDUSTRIES LIMITED

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RIL/SEs/2023 May 16, 2023

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Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
The National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of Management Presentation and Management Commentary – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, please find enclosed herewith the following:

- i) Transcript of Management Presentation on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the First Quarter ended March 31, 2023; and
- ii) Transcript of Management Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the First Quarter ended March 31, 2023.

This is for your information and records.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

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Transcription of
Management Presentation on
Un-Audited Financial Results of the Company
(Standalone, Consolidated and Segment)
for the First Quarter ended March 31, 2023

Management:

Mr. Jagan Reddy Nellore – Vice Chairman of RAIN Industries Limited.
Mr. Gerard Sweeney – President of RAIN Carbon Inc.
Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited; and
Mr. Alan Chapple - Director of Corporate Communications at RAIN Carbon Inc.

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Introduction by Alan Chapple

Hello, ladies and gentlemen. This is Alan Chapple, director of corporate communications and public relations for Rain Carbon Inc.

In just a moment, we will take you through the performance of RAIN Industries Limited during the First Quarter of 2023.

Presenters are Mr. Jagan Reddy Nellore – Vice Chairman of RAIN Industries Limited; Mr. Gerard Sweeney – President of RAIN Carbon Inc.; and Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited.

Before we begin, management would like to mention that some of the statements made in today's discussion may be forward-looking in nature, and they could be affected by certain risks and uncertainties. The company's actual results could differ materially from such forward-looking statements.

Now, if you could turn to Slide 3, Mr. Jagan Reddy will provide an update on key developments in RAIN Group during the First Quarter of 2023. Thank you, and over to Jagan.

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Slide 3 – Jagan Reddy Nellore:

Thank you, Alan.
Good evening, everyone.

On Slide 3 of the presentation it can be noted that we finished the first quarter 2023 with an Adjusted EBITDA of Rupees 6.85 billion. This is in line with our fourth-quarter 2022 EBITDA of Rupees 6.90 billion and within our historically normal range. Given the challenges posed by continued high energy costs in Europe, reduced discretionary spending by our customers and the fact that Q1 results are typically lower given the seasonality of some of our products, we are reasonably comfortable with our quarterly performance. Moreover, our results during the past two quarters confirm that the inflated post-COVID demand and opportunity margins that we enjoyed during the second and third quarters of 2022 have come to an end.

In reverting to the “old normal,” we are experiencing the margin compression that we typically see in this stage of the pricing cycle, when finished product prices come down ahead of raw m

aterial costs.

However, the steepness of the falloff in finished goods prices which occurred at the end of the quarter was unexpected and not typical. As a

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result of this, we were forced to make a net realizable value adjustment on inventories of about \$21 million during the quarter. It is also worth noting that, as a global company with operations across three continents, these fluctuations are happening sequentially around the world, and we will be working through them during the second quarter as well if prices soften further.

We have successfully navigated these cycles before, and are confident that we can effectively manage our current inventories and maintain margins during this downward movement.

Looking ahead, we anticipate that our near-term performance will remain within the typical operating range we have guided to in the past. Of course, recession fears remain worldwide, and the energy situation in Europe is still unpredictable. In addition, while China is open for business now following COVID lockdowns, its near-term resilience remains a question mark.

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Slide 4:

Turning to Slide 4, the LME aluminum prices spent most of the first quarter hovering between \$2,200 and \$2,400 per ton. As we had said in previous calls, smelters generally consider \$2,300 as a healthy price for continued production and possible expansion.

The good news – especially for those smelters in Europe without access to low-cost hydropower – is that energy prices have come down partially since they spiked in late 2022. If LME prices improve a bit and energy costs hold steady or continue to decline, that could avoid any additional curtailments and might even motivate some European smelters to consider restarting idled plants.

Similarly, in the United States, there has been talk of a major smelter coming back online once energy costs come down. As a long-time customer of ours, this smelter restarting could be beneficial for us. It is also worth reminding everyone that aluminum remains the metal of

choice for a growing range of products, which translates to continued strong demand for years to come. We all know about its increased use in automobiles as manufacturers work to lighten vehicles to improve fuel economy as well as aluminum's growing popularity as a building material given its strength and corrosion-resistant nature.

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It is interesting to note that aluminum is quickly replacing plastic and steel in the electronic devices that have become an essential part of our lives. Smartphones, tablets, laptops, and flat screen TVs are being made with an increasing amount of aluminum since it is stronger and tougher than plastic and lighter than steel. Aluminum also allows heat to dissipate quickly, helping to prevent electronic devices from overheating. Therefore, with aluminum becoming more and more ubiquitous, we are confident in the long-term need for our calcined petroleum coke and coal tar pitch, both of which are critical ingredients in the anodes required to manufacture aluminum, especially considering that there are no known credible substitutes.

Regarding the pet coke import restrictions for our Indian Carbon business, we are awaiting the government's GPC import allocations for 2023-24 fiscal year, as well as finalization of the long-awaited emissions regulations for the calcining industry, as ordered by India's Supreme Court in 2019.

We also continue to pursue relief from regulatory authorities related to petroleum coke import restrictions for our new vertical-shaft calciner in the Andhra Pradesh Special Economic Zone, which we believe should

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not be subject to the import restriction since it was developed to cater to export markets. Given the superior bulk density of the CP

C produced in the new shaft calciner – and the growing customer interest in this product – we will continue to optimize the India operations, until such time the shaft calcination facility receives the requisite relief.

Regarding the Cement business, demand continues to be reasonably strong in South India. Although the first quarter performance has been negatively impacted due to the high cost of fuel, the good news is that the fuel prices are coming down precipitously, which should positively impact the cement operations in the coming quarters.

With this business update, I will now turn over the presentation to Gerry to take you through industry and other business updates on Slide 5 ...
Gerry ...

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Slide 5 – Gerry:
Thank you, Jagan,
Hello, everyone. It is a pleasure to discuss the Industry Trends during the

First Quarter of 2023.

Turning to slide 5, in our Carbon segment during the first quarter, we continued to see good demand for calcined petroleum coke and a slight decline in coal tar pitch volumes. On the calcination side of our Carbon business, CPC volumes for the quarter were essentially flat compared to the previous quarter. While the demand remained reasonably strong, as mentioned earlier, the opportunity margins that we enjoyed during much of 2022 have eroded. This is led, in large part, by falling prices for the CPC exported by China. How quickly we can match raw material costs with finished CPC prices will be the key to maintaining stable margins in the near term.

Continuing with carbon calcination, during the quarter, we executed some engineering work on our anhydrous carbon or "ACP" pellet facility in the United States to reach the scale of production required for the

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desired profitability of the plant. In parallel, we continue to work with customers on product testing of batches of calcined ACP.

While all of this is a process, we remain confident in the potential of ACP as a commercial product thanks to the energy savings it will offer smelters. Moreover, it will improve our GPC raw material yield by reducing the fines burned during calcination, thus lowering carbon and sulfur dioxide emissions while also better positioning us to help customers achieve their goal of producing low-carbon aluminum – all part of our commitment to becoming a more sustainable company.

Moving on to the distillation side of our Carbon segment, coal tar pitch volumes were down about 3% in the first quarter, as the smelter curtailments in Europe continued to chip away our pitch sales. The larger near-term issue, however, is margin compression – much like we are seeing in our calcination business. At the same time, I am happy to report that the partial decline in energy prices in Europe helped to reduce our production costs, preventing even higher margin erosion.

In our other carbon products category, volumes increased 13%. That was primarily driven by a steep increase in sales of carbon black oil due to stronger demand. This was somewhat offset by reduced volumes of

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seasonal creosote and crude naphthalene. On a positive note, pricing for crude naphthalene was better compared to the fourth quarter.

Looking ahead, total sales of our carbon distillation products in Europe are expected to remain soft, due to weak consumer sentiment driven by the continued impact of energy costs and inflation. In turn, we expect lower European demand and pricing to squeeze raw material demand and pricing.

In coming quarters, we will need to carefully manage our costs, quickly using up existing inventories and taking advantage of falling energy costs to preserve our margins until the pricing for raw materials and finished goods are once again in sync.

Turning to our Advanced Materials segment, EBITDA – as expected -- was again positive after c

onsecutive negative quarters. This was driven by a combination of factors, including reduced energy costs and the fact that we had no planned maintenance outages during the first quarter. Sales volumes of nearly all of our advanced materials were higher in Q1 compared to the previous quarter, though significantly lower than a year ago when the global economy was still running on all cylinders.

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In the sub-segment of engineered products, demand for CARBORES®, which is used as a binding product in refractory materials by steel plants, was up quarter-on-quarter. We also saw a slight decline in demand for our PETRORES® specialty coatings, as much of China's manufacturing economy, including its lithium-ion battery sector, continues to limp along despite the end of the Zero COVID lockdowns. Finally, we had limited sales of our seasonal asphalt sealer products, as is usual in the first quarter.

Looking at our chemical intermediates sub-segment, our BTX volumes were up marginally compared with the prior quarter, while phthalic anhydride volumes increased substantially compared to the prior quarter, which included a lengthy maintenance shutdown. Sales of our modifiers continued to decline due to the economic slowdown in Europe, while volumes of refined naphthalene were nearly double that of the fourth quarter, due in part to increased construction in China using naphthalene-containing building materials.

Moving on to resins and downstream materials, we saw a nice increase in sales of hydrocarbon resins after a seasonal decline in the fourth quarter. That said, demand is still lower than it was in earlier quarters

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before consumers began to cut back on discretionary spending and purchases of things like automobiles and furniture that include our resins. Finally, during the first quarter, we sold the remaining inventory of our aromatic chemicals that was left after we closed that production facility in the second half of 2022.

Looking ahead at our Advanced Materials segment, we expect some near-term challenges given the continued decline in demand, which is undercutting prices for our products while our raw material costs are falling at a slower rate, as with our carbon distillation business. The decline in energy prices in Europe has helped us offset the overall impact to our margins. Just as important, those lower prices have enabled us to restart energy-intensive production units in the first quarter that had been idle in the third and fourth quarters. This should have a positive impact on the second-quarter performance of our Advanced Materials segment. In addition, we expect to benefit during the spring and summer months from the usual increase in sales of our seasonal products such as sealer base and creosote.

Perhaps the biggest near-term challenge is the unpredictable status of the Chinese economy. During the first quarter, China's economy grew

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4%, but much of the recent production has been for inventory-building rather than as current sales to consumers. This indicates continued low market demand and has a negative influence on pricing. At the same time, with these slow sales domestically, we have seen a significant decline in the prices for many products coming out of China in addition to an increase in exported volumes, pushing down global product prices even further. The big question for the next couple of quarters is whether

this heavy export behavior is permanent, or if Chinese domestic consumption and pricing will recover. With all of that in mind, we do anticipate a rebound from China in the second half of the year. Speaking of challenges, if you have followed our company for a while, you know that we regard workplace safety as paramount, and we are proud that our performance during the past three years ranks us among

the best in class in our industry. In the spirit of full disclosure, however, we experienced three recordable injuries during the first quarter, which is higher than what we had in the previous quarter. While some of these recent cases – such as slips, trips and falls -- could be attributed to working in wet, dark and icy wintery conditions, we continue to emphasize the importance of occupational and process safety. In

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response, we have implemented a series of corrective actions and safety trainings and are committed to getting back to a situation where our performance is based on safe behaviors and having every employee fully invested in our safety program and ultimately their safety. With that, I will now turn the presentation to Srinivas, who will take you through the consolidated financial performance of RAIN on Slide 6. Srinivas, over to you.

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Slide 6 – Srinivasa Rao:

Thank you, Gerry.

Hello, everyone. It is a pleasure to present our financial performance during the March 2023 Quarter.

In the First quarter of 2023, RAIN achieved consolidated net revenue of Rupees 52.10 billion compared to Rupees 44.09 billion in the first quarter of 2022, an increase of Rupees 8 billion. This resulted from an increase in revenue of Rupees 9.73 billion from our Carbon segment offset by decrease of Rupees 1.65 billion from our Advanced Materials segment and Rupees 0.08 billion from our Cement segment.

RAIN's consolidated adjusted EBITDA decreased by Rupees 1,502 million compared to the prior year. This resulted from a decrease in the Carbon segment by Rupees 582 million, a decrease in the Advanced Materials segment by Rupees 574 million and a decrease in the Cement segment by Rupees 346 million.

Now turning to the next slide on Carbon segment performance ...

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Slide 7 – Srinivasa Rao:

Revenue from our Carbon segment was Rupees 40.72 billion for the quarter ended March 31, 2023, as compared to Rupees 30.99 billion for the same period last year.

During the quarter, sales volumes increased by 2% compared to Q1 2022, driven by higher throughputs. The average blended realisation increased by ~28.7%, driven by market quotations, increased raw material prices across all regions and a change in product mix. There was an appreciation of Euro against Indian Rupee by ~4.6% and an appreciation of USD against Indian Rupee by ~9.4%.

Overall, due to the aforesaid reasons, revenue from Carbon segment increased by ~31.4% in Q1 CY23 as compared to Q1 CY22.

Adjusted EBITDA of the Carbon segment decreased by Rupees 582 million as compared to Q1 CY22 due to increased raw material prices partly offset by increased volumes, realisations and appreciation of USD and EURO against Indian Rupee.

Turning to the next slide on the performance of Advanced Materials ...

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Slide 8 – Srinivasa Rao:

Revenue from our Advanced Materials segment was Rupees 7.60 billion for the quarter ended March 31, 2023, as compared to Rupees 9.25 billion for the same quarter in 2022. During the quarter, there was a decrease in volumes of ~26.5%, driven by lower production on account of maintenance shutdowns and closure of the aromatic chemicals business. During Q1 CY23, the average blended realisation increased by ~11.8%, primarily due to higher oil-related quotations and raw material quotations and appreciation of Euro against Indian Rupee by ~4.6%. Due to the aforesaid reasons, revenue from the Advanced Materials segment decreased by ~17.8% during Q1 CY23 as compared to Q1 CY22.

Adjusted EBITDA for the Advanced Materials segment decreased by Rupees 574 million due to a decrease in volumes on account of the temporary shutdown of facilities partly offset by an increase in realizations and appreciation of USD and EURO

against Indian Rupee.

Moving on the next slide on our Cement business ...

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Slide 9 – Srinivasa Rao:

During the First Quarter of CY23, Cement revenue decreased by ~2% compared to Q1 of Calendar Year 2022. The decrease was primarily due to a decrease in volumes of ~1.4% and decrease in realisations of ~0.6%. Cement EBITDA decreased by Rupees 346 million due to higher operating costs and by decreased sales volumes.

Moving on the next slide on debt ...

Slide 10 – Srinivasa Rao

We ended the quarter with total debt of US\$ 1,183 million, including working capital debt of US\$ 146 million. Net debt was US\$ 890 million

and, based on LTM EBITDA of US\$ 452 million, we ended the quarter with a net debt to EBITDA ratio of 2.0x. We are comfortable at this level, as our average borrowing cost stood at ~6.3%. We incurred US \$22 million towards capital expenditures during the quarter.

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With that, I will now turn the Presentation to Mr. Jagan for closing remarks.

Closing Remarks – Jagan Reddy Nellore:

Thank you, Srinivas.

After a year of abnormally high demand and margins for our products, we are coming back to the “old normal”. At the same time, the end of the commodity super cycle, a Chinese economy that remains sluggish and reduced consumer demand around the world has resulted in a downward pricing reset for many of our finished products. Unfortunately, our raw material costs are falling at a slower rate.

As a result, our primary challenge in the near term will be to carefully manage our costs to minimize margin compression until the selling prices for our products and our raw material costs are back in sync. The good news is that we have successfully navigated these cycles in the past, and we are committed to doing so again during the current cycle.

In parallel, we are determined to regain our footing when it comes to safety. We are acutely aware of the grave consequences that can occur in our industry when there is a breakdown in occupational or process safety, and we are committed to restoring our company's best-in-class safety status.

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Finally, if you are not aware, we issued our first publicly available sustainability report last month, and you can view it in the Sustainability section of our subsidiary RAIN Carbon website. This report outlines our commitment to a sustainable environment and maintaining the ecological, social and economic well-being of future generations.

I believe that we have a lot to be proud of – and I hope you agree, after reading the report. At the same time, we also realize that much work remains. As I have said before, we know that nothing will have a greater impact on the success of our business than our sustainability efforts and ability to meet the related needs of our customers and society in general.

Thank you for your continued interest in RAIN Industries Limited, and we look forward to next quarter's presentation.

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Transcription of
Management Commentary on
Un-Audited Financial Results of the Company
(Standalone, Consolidated and Segment)

for the First Quarter ended March 31, 2023

Management:

Mr. Jagan Reddy Nellore – Vice Chairman of RAIN Industries Limited.

Mr. Gerard Sweeney – President of RAIN Carbon Inc.

Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited; and

Mr. Alan Chapple - Director of Corporate Communications at RAIN Carbon Inc.

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Good day ladies and gentlemen.

This is Alan Chapple, Director of Corporate Communications at RAIN Carbon Inc. Welcome to the RAIN Industries Limited earnings discussion for the first quarter of 2023.

With me on the call today are:

- Mr. Jagan Reddy Nellore – Vice Chairman of RAIN Industries Limited.

- Mr.

Gerard Sweeney – President of RAIN Carbon Inc.; and

- Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited

Following the Earnings Presentation and Management Commentary that we released on May 9, 2023, we have been receiving questions from certain investors and analysts regarding industry developments and the status of our expansion projects. Accordingly, RAIN Management will be addressing those questions.

Before we begin, management would like to mention that some of the statements made in today's discussion may be forward-looking in nature, and they could be affected by certain risks and uncertainties. The company's actual results could differ materially from such forward-looking statements.

We will now start the discussion.

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ALAN

Gerry, the first question is with regard to our operations in Europe. Can we sell higher coal tar pitch volumes outside of Europe to compensate for the reduced demand in the region? Also, can we increase the use of alternative raw materials to help keep our raw material costs in check and protect our margins?

Gerard Sweeney

RAIN has logistical capabilities and a global presence that enable us to source raw materials from around the world and send our finished goods back out across the globe to best match our production capacities and locations with shifting global markets. This allows us to economically compete in an increasingly challenging raw material environment and optimize the use of both traditional and alternative raw materials. We have emphasized the use of alternate raw materials where it is advantageous to us – both economically and from a sustainability standpoint. Doing so helped our performance during the past year and provides valuable options for raw material supply.

ALAN

Thanks Gerry, can you provide your views on aluminum-industry capacity and how any increased capacity in the CPC or CTP industries will be impacted?

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Gerard Sweeney

As there is a continuing increase in the production of primary aluminum on a global basis, there is increased demand for CPC and CTP. Although, the growth rate has moderated in recent times, the aluminum industry is growing in certain regions including the Middle East and Asia excluding China, while there is a decline in the production of primary aluminum in other markets such as Europe. There is also an incremental growth in CPC capacity in the Middle East region, matching the demand from new smelter additions. There could be regional imbalances, but overall production of CPC and CTP are growing on a worldwide basis.

ALAN

Is there anything different from this down cycle compared to earlier ones? Do the issues in China seem more structural this time?

Gerard Sweeney

Good question. Our business is a cyclical one, and we have seen upward and downward trends over the years. We had similar situations earlier in 2008, 2013 and 2018. Compared to earlier cycles, this time we saw a sudden fall in prices during end of March and first half of April, unlike in other periods when the downward movement occurred over 2-3 quarters. The market dynamics have changed. However, as we have mentioned in the past, we are prepared for these downward trends and believe we have learned from what we have seen and experienced in the past.

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ALAN

Are the small-sized Chinese calciners facing difficulties due to the Chinese slowdown? Do you envision some of those calciners permanently shutting capacity?

Gerard Sweeney

There are very few small-scale Chinese calciners operating today since the majority of these were shut down during the past 5-10 years as the calcination industry shifted away from plants with a production capacity of less than 100,000 tons. Among the small-sized calciners that do remain, they have generally survived due to the fact

that they are regionally, and niche focused. As a result, they have less exposure to the economic slowdown since they have a stable customer base -- even at reduced capacity. The medium and large size calciners in China have been operating at reduced rates for some time, and as far as we know, there are no reports of imminent closures due to financial concerns. The expectation continues to be there that the second half of 2023 will provide some relief with the restart and startup of domestic smelting capacity.

ALAN

What is normal performance range for the Advanced Materials segment? Also, considering that the major capex investments for that segment have been completed, what will be the new normal for Advanced Materials?

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Gerard Sweeney

As a company metric, we look at EBITDA generation by the Advanced Materials and Carbon business segments as being interdependent. Decisions are made to keep products in one segment versus transferring to the other for further processing based on the best economics for the company. The Advanced Materials segment has suffered from this as well as from macro issues such as high energy prices in Europe and weaker economic conditions, due to lower discretionary spending by the customers.

ALAN

Thank you, Gerry. We now have few questions for Jagan. The first question is related to HHCR. What is the likely capacity utilisation for the HHCR business in 2023 and by when can it be ramped up to optimum capacity?

Jagan Nellore

Thanks, Alan, as we stated in our earlier calls, with energy prices softening in Europe, we started heating up the plant late last month, and production is likely to resume this month. Considering that we are starting in the middle of the calendar year, we expect the plant to run at 40-50% capacity for the remainder of this year and then ramp up over the next 1-2 years. While there is a stiff competition from Asian suppliers, the customers within Europe prefer suppliers locally, due to logistic flexibility,

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shorter lead times and the fact that we can supply these advanced resins in "molten form". Also, with the reduction of production capacity in Europe by others HHCR producers, we expect to achieve higher volumes in next couple of years.

ALAN

Thanks Jagan. Moving on, can you provide an update on the latest court case situation in India and reopening of production lines for CPC in India? Also, are there any updates on the GPC allocation for 2023-24.

Jagan Nellore

Although DGFT has made its allocation of CPC to the aluminum smelters for the financial year 2023-24, however they have yet to make the allocation of GPC to calciners. Considering the reduced GPC allocation, our endeavor is always to try to optimize the calciner operations to the extent possible. Elsewhere, we are awaiting a decision on our appeals before the Honorable Supreme Court on various grounds including the finalization of emission standards for the calcination industry by the Ministry of Environment, Forests, and Climate Change, in accordance with the Hon'ble Supreme Court orders in September 2019.

ALAN

Is Rain Industries planning to buy back any shares?

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Jagan Nellore

Our immediate goal is reduction of debt, considering the increase in the interest rates.

ALAN

Can you provide details regarding our plans for debt repayment and

refinancing? What would be the likely increase in the cost of debt?

Jagan Nellore

The debt markets have been extremely volatile over the last year. We have watched them closely and will continue to watch them to find the optimal time to refinance our debt. As indicated earlier, our intention is to reduce debt with the cash that will be generated as our working capital requirements come down. We are expecting an increase in interest expense as the cost of capital has incre

ased globally due to the actions taken by the central banks to increase rates to offset inflation.

ALAN

Given the higher capacities in South India and we are being a smaller player, how do we compete in an era of large-scale consolidation happening in the industry. Also please provide an update on the energy

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cost trends currently prevailing and how the company is planning to mitigate the same?

Jagan Nellore

Regarding the impact of being a smaller cement player in South India, it is to be noted that the main cost factors for cement are Energy and Logistics. With cogeneration of power by RAIN (being a net exporter of electricity), solar power generation, global presence in petroleum coke and with captive domestic logistics, the cost factors are almost similar to other larger cement producers. Further the cost of petroleum coke and coal are coming down, as noted in second quarter of calendar year 2023 and this should positively impact the business starting second half of 2023.

ALAN

Thanks Jagan. Our final set of questions are for Srinivas. What was the major driver of the NRV provision taken on inventory at the end of the quarter? What kind of steps can we take to minimize the inventory losses going forward?

Srinivasa Rao

Thanks, Alan, the major impact of our recent NRV provision was related to an unexpected rapid fall in prices for our finished products. The products impacted the most were those sold in markets where Chinese product can compete. We have taken steps to minimize the impact of these adjustments by maintaining inventory at lower levels. However, it is

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to be noted that our plants that are dependent on imported raw materials do maintain higher volumes of inventory.

ALAN

Srinivas, the next question is about the effective tax rate is varying substantially quarter on quarter. Is there any specific reason for such wide variations.

Srinivasa Rao

There has been a wide variation in the effective tax rates over last two years. A major impact was the reversal of deferred tax assets in Germany, which from an accounting perspective were written off partially in December 2021 and the balance fully in December 2022. With operations spread across various jurisdictions and a higher concentration of debt only in USA and Germany, there will be variations in the effective tax rate. However, we expect that the effective tax rates will be in the range of 30-32% going forward.

Thank you, Srinivas, Jagan and Gerry.

Ladies and gentlemen, this concludes RAIN's Management Q&A session for the March quarter of 2023.

Call: Aug 2023

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RIL/SEs/2023 August 05, 2023

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Mumbai-400 001 The Manager
Listing Department
The National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of Management Presentation – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

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This is for your information and records.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

RAIN INDUSTRIES LIMITED

Opening remarks for Q2 2023 Management Presentation

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Introduction by Alan Chapple
Hello, ladies and gentlemen. This is Alan Chapple, director of corporate communications and public relations for Rain Carbon Inc.

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Presenters are Mr. Jagan Reddy Nellore – Vice Chairman of RAIN Industries

Limited; Mr. Gerard Sweeney – President of RAIN Carbon Inc.; and Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited.

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Now, if you could turn to Slide 3, Mr. Jagan Reddy will provide an update on key developments in RAIN Group during the Second Quarter of 2023. Thank you, and over to Jagan.

Slide 3 – Jagan Reddy Nellore:

Thank you, Alan.
Good evening, everyone.

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Opening remarks for Q2 2023 Management Presentation

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As you may be seen from Slide 3 of the presentation, we finished the second quarter with an EBITDA of Rupees 6.75 billion. As expected, this was our third consecutive quarter with normalized performance. As you may recollect, we cautioned on the last several calls that the high earnings we enjoyed throughout 2021 and into first half 2022 were the result of opportunistic margins that were fueled by a surge in post-COVID demand and the resulting commodity super cycle. We fully expected that this was an anomaly, and it was – albeit one that we were happy to benefit from.

While things clearly have cooled off, we are very pleased with our Q2 performance given the market correction we saw in March, and the resulting 30-40% drop in product prices led by events in China. We entered the quarter focused on resetting our raw material prices to align with this sales side drop in prices. Needless to say, we have been successful, and are comfortable with our costs entering the second half of 2023.

We also experienced headwinds from abnormally wet weather in North America during the past few months, limiting the seasonal benefit we

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usually capture during Q2 & Q3 from our seasonal creosote and sealer base products.

Also encouraging is the fact that one of our Advanced Materials plants in Europe has returned to service after being idled last September due to high energy costs, allowing us to address some technical and mechanical issues with the

unit.

Slide 4:

Moving on to slide 4, aluminum prices spent most of the second quarter under the \$2,300 level generally considered a healthy price for continued production and possible expansion. While the price has fluctuated from \$2,200 to \$2,300 since April, it has rallied back toward \$2,300 of late.

Despite the softer LME prices, we have not seen any effects on producers during the quarter – presumably because smelters have been

able to offset lower LME prices with declining costs for anodes and the calcined petroleum coke and coal tar pitch required to make them. In China, the expected rally of the economy post-Covid, appears to have fallen flat. Any near-term rebound might require government action to stimulate the economy. If that happens – and if it is successful – we would

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Opening remarks for Q2 2023 Management Presentation

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expect domestic consumption of manufactured goods to improve. That, in turn, would result in increased demand for carbon products to feed the aluminum industry.

Despite the Chinese economy, demand for aluminum remains relatively strong globally, and we remain focused on “managing our margins.” Even with the steep fall in finished product prices during late Q1, we have been able to avoid follow-on write downs and prolonged margin compression during Q2.

Regarding the Cement business, demand continues to be reasonably strong in South India. Although the second quarter performance has been negatively impacted due to the inflated cost of fuel, the good news is that the fuel prices are coming down precipitously, which should positively impact the cement operations in the coming quarters.

With this business update, I will now turn over the presentation to Gerry to take you through industry and other business updates on Slide 5 ...

Gerry ...

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Slide 5 – Gerry:

Thank you, Jagan,

Hello, everyone. It is a pleasure to discuss the Industry Trends during the Second Quarter of 2023.

Turning to slide 5, in our Carbon segment during the second quarter, we experienced a decline in EBITDA primarily due to lower pricing for both calcined petroleum coke and coal tar pitch. On the calcination side of our Carbon business, CPC volumes for the quarter were down approximately 16% compared to the previous quarter, mainly due to shipment timing.

During the quarter, we worked off most of our existing high-priced inventories, and began resetting raw materials with the purchase of raw materials more in line with market.

Looking ahead, we expect CPC and CTP demand will remain relatively flat for the remainder of the year. Our order books are relatively set, and barring any unexpected downward movement in the market, we remain confident of a normalized performance during the second half of 2023.

RAIN INDUSTRIES LIMITED

Opening remarks for Q2 2023 Management Presentation

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Elsewhere in carbon calcination, we are continuing to refine and optimize the production process for our proprietary anhydrous carbon pellets, or ACP. We are also conducting a more detailed product test with one of our customers. Based on our own internal testing, we continue to believe that ACP will be a favorable product for us. Keeping in mind that energy is the largest cost for a smelter, the fact that ACP potentially offers a higher energy efficiency than traditional CPC should enable producers to reduce their energy consumption per ton of aluminum. In doing so, smelters will be able to produce more tons of aluminum with the same level of energy-related emissions.

In India, the Environmental Ministry issued the government's long-awaited National Standards for Emissions in June that apply to the country's calciners and will take effect in mid-2025. With flue-gas desulfurization systems that remove at least 98% of sulfur

dioxide

emissions at our Vizag and SEZ plants, the pollution-control systems on our calcination facilities exceed the pending environmental requirements. As we have said on previous calls, we believe the shaft calciner should not be subject to the import restriction since it is located in a Special

RAIN INDUSTRIES LIMITED

Opening remarks for Q2 2023 Management Presentation

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Economic Zone, and it was developed to cater to export markets. We are seeking clarification from the Honourable Court in this regard.

Moving on to the distillation side of our Carbon segment, coal tar pitch volumes were flat in the second quarter. At the same time, the drop in prices led by China have forced down pitch prices, pressuring margins while we reset inventories.

In our other carbon products category, volumes decreased 5%. This was driven by a 17% reduction in sales of carbon black oil due to weak demand as the CBO deficit caused by Russian sanctions has now been filled by other producers around the world. On a positive note, this was somewhat offset by the seasonal increase in sales of creosote. Finally, while sales of crude naphthalene were up slightly, prices declined due to continued softness in the construction industry.

Turning to our Advanced Materials segment, EBITDA increased quarter over quarter despite volumes remain flat. This was largely driven by increase in realisations coupled with a decline in energy and operating costs during the quarter.

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Opening remarks for Q2 2023 Management Presentation

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In the sub-segment of engineered products, demand for CARBORES®, which is used as a binding product in refractory materials by steel plants, saw a slight decline, largely due to continued weakness in the Asian manufacturing sector. Elsewhere, sales of our PETRORES® specialty coatings were flat and will likely remain so until sales of electric vehicles pick up globally. Finally, while sales of our seasonal asphalt sealer products increased significantly compared to the first quarter, they were not as robust as expected, due to unusually wet weather in North America during the period.

Looking at our chemical intermediates sub-segment, our BTX and phthalic anhydride volumes were lower compared with the previous quarter due to a planned turnaround and plant-inspection activities that

reduced throughput. Sales of our modifiers rebounded somewhat during the quarter, but the volumes are still roughly half of what they were a year ago – again, largely resulting from weak demand by Asian customers. Finally, volumes of refined naphthalene were down nearly 30% due to a slowdown in construction activity and slack demand for naphthalene-containing building materials.

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Opening remarks for Q2 2023 Management Presentation

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Moving on to resins and downstream materials, demand for hydrocarbon resins declined due to economic weakness, which is impacting discretionary purchases of resin-containing products. During the quarter, we also sold the remaining tons of aromatic chemicals that were still at our Castrop-Rauxel facility after we closed the unit late last year. Finally, we began ramping up production of our hydrogenated hydrocarbon resins after completing some equipment changes. We believe our German-based facility is well positioned to compete in the European market for several reasons. First, two of the four HHCR producers in Europe have closed their facilities, significantly reducing the volume of these ultra-pure resins on the market. Second, our location in Europe means that we have a logistical advantage compared to Asian producers when selling to customers on the continent and in North America, as we can supply them with molten product. In addition to reducing the cost of transportation, the shorter supply chain translates to a smaller shipment size, a smaller

carbon footprint, and just-in-time deliveries from within Europe.

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Opening remarks for Q2 2023 Management Presentation

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Looking ahead at our Advanced Materials segment, we are watching the market carefully, as the European market has been challenging with the impact of war.

In terms of our business as a whole, despite the recent market correction we saw on prices, we believe we can continue to perform within our normalized EBITDA range in the near-term. We also expect that increased sales of our advanced resins will be a boost to our earnings and we expect strong third-quarter sales of our seasonal creosote and sealer base products.

Above all, we are focused on protecting our margins, supporting our EBITDA performance. To accomplish that, we know that we must operate our plants as efficiently and cost-effectively as possible and continue to pressure down raw materials as quickly as possible to take advantage of the declining prices for green petroleum coke and coal tar. With that, I will now turn the presentation to Srinivas, who will take you through the consolidated financial performance of RAIN on Slide 6. Srinivas, over to you.

RAIN INDUSTRIES LIMITED

Opening remarks for Q2 2023 Management Presentation

Slide 6 – Srinivasa Rao:

Thank you, Gerry.

Hello, everyone. It is a pleasure to present our financial performance during the June 2023 Quarter.

In the Second quarter of 2023, RAIN achieved consolidated net revenue of Rupees 46.21 billion compared to Rupees 55.27 billion in the second quarter of 2022, a decrease of Rupees 9.06 billion. This resulted from a decrease in revenue of Rupees 6.18 billion from our Carbon segment, a decrease of Rupees 2.87 billion from our Advanced Materials segment and Rupees 0.01 billion from our Cement segment.

RAIN's consolidated adjusted EBITDA decreased by Rupees 5,770 million compared to the prior year. This resulted from a decrease in the Carbon segment by Rupees 4,861 million, a decrease in the Advanced Materials segment by Rupees 722 million and a decrease in the Cement segment by Rupees 187 million.

Now turning to the next slide on Carbon segment performance ...

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Slide 7 – Srinivasa Rao:

Revenue from our Carbon segment was Rupees 33.54 billion for the quarter ended June 30, 2023, as compared to Rupees 39.72 billion for the same period last year.

During the quarter, sales volumes decreased by 8% compared to Q2 2022, primarily driven by delays in shipments. During Q2 CY23, the average blended realisation decreased by ~8.0% on account of lower demand and lower market quotations across all regions. There was an appreciation of EURO against Indian Rupee by ~8.8% and an appreciation of USD against Indian Rupee by ~6.5%.

Overall, due to the aforesaid reasons, revenue from the Carbon segment decreased by ~15.6% in Q2 CY23, as compared to Q2 CY22.

Adjusted EBITDA of the Carbon segment decreased by Rupees 4,861 million as compared to Q2 CY22. EBITDA for current period is normalized compared to prior year, which included opportunistic margins from higher realisations. The reduction in EBITDA is due to lower realisations and decreased volumes, which were partially offset by appreciation of USD and EURO against Indian Rupee.

RAIN INDUSTRIES LIMITED

Opening remarks for Q2 2023 Management Presentation

Turning to the next slide on the performance of Advanced Materials ...

Slide 8 – Srinivasa Rao:

Revenue from our Advanced Materials segment was Rupees 8.93 billion for the quarter ended June 30, 2023, as compared to Rupees 11.80 billion for the same quarter in 2022. During the quarter, there was a decrease in volumes of ~30.8%, primarily driven by lower production on account of closure of aromatic chemicals business and change

es in

product mix based on raw material availability partly offset by an increase

in realisations by 9.3% and an appreciation of EURO against Indian Rupee by ~8.8%.

Due to the aforesaid reasons, revenue from the Advanced Materials segment decreased by ~24.3% during Q2 CY23, as compared to Q2 CY22.

Adjusted EBITDA for the Advanced Materials segment decreased by Rupees 722 million due to a decrease in volumes on account of the temporary shutdown of facilities partly offset by an increase in realisations, reduction in energy prices and appreciation of EURO against Indian Rupee.

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Opening remarks for Q2 2023 Management Presentation

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Moving on the next slide on our Cement business ...

Slide 9 – Srinivasa Rao:

During the Second Quarter of CY23, Cement revenue was almost flat compared to Q2 of Calendar Year 2022. However, there was a decrease in realisations by 5.0% offset by an increase in volumes by 5.1%. Cement EBITDA decreased by Rupees 187 million due to higher operating costs and decreased realisations offset by an increase in volumes.

Moving on the next slide on debt ...

Slide 10 – Srinivasa Rao

We ended the quarter with total debt of US\$ 1,146 million, including working capital debt of US\$ 109 million. Net debt was US\$ 852 million and, based on LTM EBITDA of US\$ 372 million, we ended the quarter with a net debt to EBITDA ratio of 2.3x.

We incurred US \$41 million towards capital expenditures during the first half of the year. We initiated the refinancing of our debt maturing during early 2025 and are expected to complete the same in next couple of weeks.

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Opening remarks for Q2 2023 Management Presentation

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With that, I will now turn the Presentation to Mr. Jagan for closing remarks.

Closing Remarks – Jagan Reddy Nellore:

Thank you, Srinivas.

While challenges around the world and in our business remain, our overall business is performing as anticipated. While we enjoyed the opportunity margins of the last few years, we are back to normal in earnings going forward.

Looking ahead, in our Advanced Materials segment, we are benefiting from more stabilized energy prices in Europe, enabling us to restart some idled production and returning the business to profitability. In addition, improved weather in North America should enable us to capitalize on sales of our seasonal products such as our sealer base through Q3.

On the cautious side, we are entering hurricane season along the Gulf Coast of the United States, which could affect us and our employees.

The good news is that we have learned a great deal from recent hurricanes, hardening our plants and improving our storm-related processes, so we are cautiously optimistic that we can weather the 2023 hurricane season without any extraordinary impact.

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Finally, China remains a wildcard. As long as its economy continues to struggle, demand for some of our finished products such as PETRORES® and CARBORES® could remain soft. Similarly, a lack of domestic consumption will likely result in additional exports of low-cost CPC, coal tar pitch and advanced resins.

But we recognize this, and in response, we are doing all we can – as always -- to carefully manage our costs and work down our higher-cost raw material inventories so we can take advantage of cost resets. Please rest assured that we are committed to protecting our margins and preserving our profitability.

Thank you for your continued interest in RAIN Industries Limited, and we look forward to next quarter's presentation.

Call: Sep 2023

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RIL/SEs/2023 September 6, 2023

The General Manager
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
The National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of Management Commentary – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, please find enclosed herewith the following:

i) Transcript of Management Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the second quarter ended June 30, 2023.

This is for your information and records.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

Good day ladies and gentlemen .

This is Alan Chapple, Director of Corporate Communication s at RAIN Carbon Inc. Welcome to the RAIN Industries Limited earnings discussion for the Second quarter of 202 3.

With me on the call today are :

- Mr. Jagan Reddy Nellore – Vice Chairman of RAIN Industries Limited.

- Mr. Gerard Sweeney – President of RAIN Carbon Inc.; and

- Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited

Following the Earnings Presentation and Management Commentary that we released on August 4, 2023, we have been receiving questions from certain investors and analysts regarding industry developments and the status of our expansion projects. Accordingly, RAIN Management will be addressing those questions.

Before we begin, management would like to mention that some of the

statements made in today's discussion may be forward -looking in nature, and they could be affected by certain risks and uncertainties. The company's actual results could differ materially from such forward -looking statements.
We will now start the discussion.

ALAN

Gerry, the first question is with regard to our operating performance during the quarter ending in June 2023 . How did we generate adjusted EBITDA in our normal range despite reduced volumes and prices in the Carbon segment ?

Gerard Sweeney

There are a combination of factors that contributed to the continued stable performance of the Carbon Segment during Q2. First and foremost, was the timing of the drop in prices for both CPC and CTP due to changes in the Chinese markets that enabled us to renegotiate our raw material prices in the distillation business very quickly to protect our margins. Additionally, our Q2 performance benefited from our usual seasonal demand for a few of our advanced material products. In the calcination business, where we carry larger raw material inventories, we had the majority of our US based sales prices set for the entire first half prior to the market adjustment. So, we had those prices locked in for majority of our Q2 volumes. In India, we did have to renegotiate the majority of our sales prices, and felt more of the "squeeze" of the price drop and resultant margin loss. That is also why we had the large NRV adjustment in Q1 in the segment.

I do want to elaborate however on the macro dynamics of our carbon segment that allow us to "manage our margins" . The Carbon business model is based on converting industrial by -products into key raw materials for major industries. We play specific role with both our suppliers and our customers that allows us to pass on costs to a certain extent. This provides ability to keep raw material costs and sales prices within a certain spread of each other. This is not automatic however, as there have been in the past, and will in the future be, times where it takes us a quarter or two to reset our margins based on our inventory levels.

ALAN

Thanks Gerry. The next question is whether we have increased our usage of alternative raw materials this year? If so, is it benefiting us in a meaningful way? Also, has the ACP plant in the United States been fully commissioned , and when is the second ACP plant in India going to be constructed ?

Gerard Sweeney

The use and benefit of alternative raw materials is based on the economics of these raw materials. With CTP prices very high over the last two years, we have benefited from the use of alternative raw materials in the distillation business. On the topic of ACP, the plant in the US is completed and commissioned. I would remind you however that ACP is a brand new technology, and as such, we are still very much on the learning end of this production unit. We are in fact making some changes to the production line during the second half of this year to improve the throughput volumes and quality of the facility. As explained during the Management Commentary for our Q2 Performance, we are waiting for the results of vigorous industrial testing being conducted by some smelter customers to confirm the technical viability and performance of our calcined ACP product and to determine the actual reduction in CO2 footprint by using calcined ACP in their anodes . At the same time , we are working on improving the productivity of our ACP manufacturing and optimizing the operating costs. The US ACP Plant operations should be stabilizing over coming quarters. We will start the installation of the second ACP Plant in India only after the operation of the US plant is stabilized and fully functioning .

ALAN

What is the current utilisation of the HHCR facility and how is it set to move going forward?

Gerard Sweeney

During the second quarter, we re-started our HHCR plant. As with any other large production facility, there has been an initial stabilization period as we have brought the plant back into operation. We expect to achieve approximately 20- 25% capacity utilization during the third quarter, and by the end of the year expect to be in the 30-40% range . We would then continue to ramp up production throughout 2024 to achieve 80% capacity by early 2025. In addition, as we mentioned during our management presentation, two of the four HHCR producers in Europe have permanently closed their facilities, significantly reducing the locally made volume of these ultra -pure resins in the market. With less competition in Europe, our plant's location in Germany gives us a logistical advantage compared to Asian producers when selling to European customers supplying them with just-in-time molten product .

ALAN

Thanks Gerry. How is the energy situation in Europe and where do you think it is headed?

Gerard Sweeney

As mentioned in our last call , as well as in our management presentation, we are benefiting from more stabilized energy prices in Europe, enabling us to restart some idled production and returning the Advanced Materials business to profitability. With regards to the future of the energy situation in Europe, we feel Europe as a whole is in a much better position than it was a year ago , and while we could see energy price spikes during the winter months , we do not think they will be nearly as drastic as they were a year ago .

ALAN

Thank you , Gerry . We now have few questions for Jagan. The first question is related to the Vizag calcination plant . With the initial allocation of RPC completed for the 2023 to 20 24 period , will the company be restarting the second kiln of the Vizag plant , which was closed since in April 22 , as notified by the Company to the Stock Exchanges.

Jagan Nellore

Thanks for the question, Alan. As a reminder , DGFT, in its initial allocation for Fiscal

Year 2023 to 2024, only allocated 1 million Tons of RPC out of its annual total allocation of 1.4 million tons. So, we do expect further allocations from DGFT for the year based on certain clarifications to be provided the Hon'ble Supreme Court , apart from any eventual re-allocation of RPC volumes which are yet to be surrendered by our calciners, similar to earlier years . Furthermore , we also expect to continue to procure additional RPC from the domestic refineries. Hence we will take a learned decision on the start up of the second kiln after considering all the facts at the appropriate time.

ALAN

Thanks Jagan. Moving on to the next question , when do we expect resolution of legal cases filed in the Supreme Court in India?

Jagan Nellore

The government's long-awaited National Standards for Emissions for the calcination industry in India was issued by the Environmental Ministry in June 2023 , in accordance with the directions issued by the Hon'ble Supreme Court . Those standards will take effect in mid- 2025. With Rain's flue-gas desulfurization systems that remove at least 98% of sulfur dioxide emissions already installed at our Vizag and SEZ plants, the pollution - control systems on our calcination facilities already exceed the pending ,

new environmental requirements.

As we have said on previous calls, we believe our SEZ shaft calciner should not be subject to raw material import restrictions since it is located in a Special Economic Zone and since it was developed to cater to export markets. We are seeking clarification from the Honourable Supreme Court in this regard.

ALAN

Our next question to Jagan is on the Cement segment. Over the last 2 to 3 quarters, the contribution from the Cement business has been lower. Can you shed some light as to when we expect the business to return to normal?

Jagan Nellore

As mentioned during our earlier presentations, cement demand continues to be reasonably strong in South India. Although the second quarter performance has been negatively impacted due to the inflated cost of fuel, the good news is that fuel prices are coming down precipitously, which should positively impact the performance of our cement segment in the coming quarters.

ALAN

Moving on, what is the current status of refinancing of debt and the potential impact on the interest costs?

Jagan Nellore

In mid-August, we completed the refinancing of our long-term debt to push out maturities to 2028 and 2029. Our 390 Million Euro Term Loan B was amended and extended to October 2028. We also paid down approximately 36.5 million Euro of its principal, leaving a balance of approximately 353.5 Million Euro. On our second lien Notes, 30 Million US Dollars of principal was paid off and 450 Million dollars of new second lien notes was raised, with a maturity in September of 2029. Those funds were used to pay off the existing Notes. This leaves us with a balance on the second lien Notes due in April of 2025 of approximately 50 Million dollars, which we expect to pay off with future cashflows prior to maturity.

As interest rates around the world have been rising as Central Banks work to tame the inflation, it was inevitable that borrowing costs would increase. While the refinancing increased our average borrowing cost from approximately 7% to 10%, it was important to extend the maturities on our debt before any macro-economic issues made a refinancing tougher. The net impact on account of the increased interest rates will be about \$25 million per annum. Our current target is to reduce the high cost debt at the earliest available opportunity that includes plans to repay the debt partially.

ALAN

Why couldn't we go for an equity fund raise (either in India or through an IPO of the Carbon Business) to meaningfully reduce our debt and our cost of borrowing?

Jagan Nellore

While an equity raise is always

an option, the Board felt that we should not raise equity when the market conditions are not favorable. Further, with falling prices for both raw materials and finished goods, we expect a reduction in our working capital, which had built up materially over the last 2 years. As those funds are released from our operations, they can be used for reduction of the debt.

ALAN

Thanks Jagan. Our final set of questions are for Srinivas. How are the sanctions impacting the business in Russia?

Srinivasa Rao

We do not import any products into Russia or export any major products from the country. Accordingly, the sanctions have not impacted our business materially. We are doing whatever is required to ensure full compliance with the regulations in the US, Europe and in Russia.

ALAN

With our interest costs set to increase, what steps can we take to ensure our profitability grows at the net profit level?

Srinivasa Rao

The need to be cost-effective in all that we do is always important and always a key focus for the company. We will continue to look for ways to reduce fixed costs and optimize the utilization of our excess cash

balances. We were fortunate that the good performance during the past two years enabled us to pay down a portion of our debt, to limit the amount which was required to refinance at today's higher interest rates.

The good news is that our major capital investments are largely completed – the HHCR plant in Germany, the vertical-shaft calciner in India, and our anhydrous carbon pellets production facility in the United States. We are focusing on optimizing the performance of these recently completed expansion projects.

ALAN

Thanks Srinivas. We have one final question: With the refinancing completed, what are the plans for the cash that will be generated from the business?

Srinivasa Rao

As mentioned in our earlier calls our immediate goal is the reduction of debt, considering the increase in the interest rates.

Thank you, Srinivas, Jagan and Gerry .

Ladies and gentlemen, this concludes RAIN's Management Q&A session for the second quarter of 2023 .

Call: Nov 2023

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RIL/SEs/2023 November 15, 2023

The General Manager
Department of Corporate Services
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Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
The National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of Management Commentary – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, please find enclosed herewith the Transcript of Management Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the third quarter ended September 30, 2023.

This is for your information and records.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

Page 1 of 13

Good day ladies and gentlemen.
This is Saranga Pani, General Manager Corporate Reporting and Investor Relations at RAIN Industries Limited. Welcome to the RAIN Industries Limited Q&A session for the Third quarter of 2023.
With me on the call today are:
- Mr. Jagan Reddy Nellore – Vice Chairman of RAIN Industries Limited.
- Mr. Gerard Sweeney – President of RAIN Carbon Inc.; and
- Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited

Following the Earnings Presentation and Management Commentary that we released on November 7, 2023, we have been receiving questions from certain investors and analysts regarding industry developments and the status of our expansion projects. Accordingly, RAIN Management will be addressing those questions in today's call.

Before we begin, management would like to mention during this call, we may touch upon forward-looking statements, which encompass various topics such as performance, trends, objectives, and strategies. Please be aware that these statements are rooted in our current expectations and may be influenced by potential risks and uncertainties. Certain factors could potentially lead to outcomes differing from those predicted by these forward-looking statements.

With that, we will now start the discussion.

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Sarang

Gerry, the first question is with regard to our volumes across segments. If we look at the last 5 - 7 years, our volumes across segments have stayed the same or decreased. How and by when do we expect to grow the business?

Gerard Sweeney

There are 3 main contributing factors to volume apathy we have experienced over the last 5 - 7 years. By far the largest contributing factor has been the import restrictions on GPC & CPC into India, which was implemented back in October 2018. This greatly impacted the ability to execute our global CPC strategy which reduced volumes in the Carbon segment. Since the completion of our vertical shaft calciner project in 2020, we have been operating at only ~45% of capacity in India. We were also impacted in the US as CPC imports into India have only been allowed by Aluminium smelters, since 2018.

Also contributing to the volume reduction are both the divestment of our Polymers business in 2020, and the closure of our aromatic chemicals production in 2022. We remain hopeful that we may get some relief on the import restrictions of petroleum coke into India, which could positively impact our volumes in 2024, and we will provide more color during our next investor call in February 2024.

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Sarang

Thanks Gerry. The next question is, what was the extent of order spill over from the previous quarter? Are we on track to pick up those delayed volumes to positively impact 4th quarter?

Gerard Sweeney

We did see some delayed shipments in the third quarter, which impacted our profitability. However, those were secondary. The main impact on our earnings was the inability to reset our raw material costs. Delayed third quarter volumes will be delivered during the fourth quarter. We would caution, however, that as shipments delay in a retreating market, the follow-on shipments tend to follow the same pattern. As such, we really expect volumes to be normal for the fourth quarter, as seasonal volumes depart our portfolio of demand. Any of the slippages from the third quarter will not add incremental volume to the fourth quarter.

Sarang

The next question is why there was no break-down of volume, revenue and EBITDA given for each of the product categories, which used to be provided in earlier quarters. Was there any specific reason for removal of this? Can this be provided again going forward?

Gerard Sweeney

Good question and happy to shed some light. We continue providing the

detailed breakup of volumes, revenue, and EBITDA for each business segment to provide better information to the investor community.

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However, the product-wise volumes and realizations have become more business-sensitive, with increased volatility across all geographies. So we took the opportunity to rearrange how we disclose volumes and revenues. Prior to doing the same, we did first take a hard look at how other companies do this in the public space as well, because we do not want to do anything that would ultimately jeopardize our business.

Sarang

Thanks Gerry, in continuation to the questions on inventories, and Inventory cycle management - what plans does management have to address NRV impacts in the future?

Gerard Sweeney

We are in a cyclical business and we are coming off an extremely strong up cycle. On some of our products, we even realized record high prices due to this super commodity cycle. Over the last two quarters, prices have fallen as much as 50%. As we have mentioned earlier, once we experience a change in market direction, there is a time lag in resetting of raw material prices, and the usage of our raw materials slows as well. This usually lasts for a quarter or two, where we renegotiate our raw material pricing, and sometimes this necessitates an NRV adjustment. Given the market tumble from these record-high prices, selling prices have continued to trend downward for a protracted period of time. This has prolonged the process of resetting our raw material pricing and stabilizing our margins. We believe the NRV adjustments have now dealt with the falling sales prices, and barring further market drops, we believe that no further adjustments will be needed.

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Sarang

Has there been any margin improvement experienced so far during the current quarter?

Gerard Sweeney

There is no doubt that this market drop has been unique, due to unique market conditions we experienced during the super-commodity cycle in 2021 and 2022. We are dealing with the drop as quickly as possible, and believe we will re-establish our margins in part, but not in total, during the fourth quarter.

Sarang

What are the normal margins for the advanced materials segment?

Gerard Sweeney

We are pleased that our advanced materials segment has returned to profitability after a very difficult 2022, due to record high energy prices in Europe. The margins for advanced materials have been moving toward normal as energy prices have declined. Currently, oil price increases have impacted margins a bit, and we are hopeful to return to normal margin levels during the first quarter of 2024. Please note, this business is seasonal in nature, with higher volumes during the second and third quarters than during the first and fourth quarters.

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Sarang

Thanks Gerry, our next question is with regard to Capex. Are there any growth projects in the pipeline

in which RAIN is considering? What gives the management comfort that it can again invest in major growth projects

given the lack of contribution from the previous investments?

Gerard Sweeney

There are no major growth capital projects currently in the pipeline. There is clear guidance from our Board for management to focus on debt reduction over CAPEX in the near term. So that is where our focus will be. Recent major growth projects have certainly not contributed as meaningfully as anticipated, since each has encountered unique headwinds outside of our possible visibility when going through the analysis and approval process.

Our Vertical Shaft Calcination Project has been impacted due to the Indian petroleum coke import restrictions. We believe that the Government may relax the import restrictions, which is a positive development that will enable both of our facilities in India to operate at a higher capacity. That project will then start making a meaningful impact on our earnings.

Our Hydrogenated Hydro-Carbon Resins plant has been hampered by start-up problems due to the usage of advanced technology and then was greatly impacted due to record-high energy prices and falling demand for the product within Europe. After restarting the facility during the second quarter of 2023, production has been stabilized and customers are comfortable with our quality. We look forward to now building our customer base over the next few quarters and improving the performance of the HHCR plant.

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We realize investors have been waiting for positive contributions from these major investments for some time now. We believe all the technical issues have now been addressed and hope to operate at a higher capacity and generate sufficient returns during 2024.

Sarang

Thanks Gerry, our next question How does the company ensure financial stability and resilience against market fluctuations, economic downturns, or other potential challenges that may arise over the long term? And what measures do we have in place to mitigate risks that could impact the stock value over a prolonged holding period?

Gerard Sweeney

As mentioned earlier, we are a cyclical business. As such, our earnings will fluctuate. We experienced some record quarterly earnings during 2021 & 2022, so once a downturn is hit, it is to be expected that we will have some quarters of adjustment. One positive about experiencing a down cycle is the release of cash back to our company, that was trapped in the working capital during the high pricing cycle. While earnings have been down year to year, we have released roughly 185 million dollars in cash back into the business. This will allow us to work toward the board's directive to reduce debt as a priority moving forward. A reduction of debt should go a long way toward improving investor confidence.

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Sarang

Thank you, Gerry. We now have a few questions for Jagan. The first question is related to the Vizag calcination plant. By when can we expect the official ruling from Committee for Air Quality Management (CAQM)? In the absence of a favorable ruling, can we still increase the capacity utilization of our Indian CPC plants to more than 45%? CAQM has released a notification dated November 2nd seeking requirement requests for pet coke – are we going to request enough material to ensure 100% capacity utilization? How much is needed for Rain, including the SEZ plant?

Jagan Nellore

Thanks Sarang. To start with, we have two important developments in the

last six months. Initially, the Ministry of Forests and Environment set essentially the calciner emission standards during June 2023 and all Indian Calciners are mandated to comply with those Emission standards from the middle of 2025 onwards. As mentioned in our management presentation, the Honorable Supreme Court of India in October 2023 has formally passed further action on t

he imports of petroleum coke into the country to CAQM and to take a decision within 3 months. We are awaiting an official ruling from CAQM and are hoping that there will be some relaxation on the import of petroleum coke that will likely result in increased capacity utilization of our Indian CPC units.

Sarang

Thanks Jagan. Moving on to the next question, what is the status of the ACP plants? Will we go ahead with the construction of the Indian ACP plant even if we do not get a favorable ruling from CAQM?

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Jagan Nellore

We are awaiting feedback from Aluminum Smelters based on more trial batches of ACP tested in their Carbon Anodes and the stabilization of our US ACP Plant. Once the production of our US ACP Plant is stabilized and cost optimization is achieved, we will start the construction of the Indian ACP plant. ACP is for optimizing and improving the quality of the raw material and reducing Rain's carbon footprint.

Sarang

Moving on to the next question, In the closing comments, Management mentions that the company is "dedicated to delivering value and growth for our investors". How do we plan to do the same? As the company is trading at a deep value zone, are there any plans to increase buyback shares by the company?

Jagan Nellore

Management is focused on steering the Company through the turn in the cycle to ensure it comes out with the ability to reduce debt. We were unable to focus on debt repayments in the past due to growth capital projects. When spending on them was completed, we had to invest in the working capital requirements of the Company due to the run up in commodity prices. We believe that focusing on debt reduction will drive value for the Company's shareholders. At this time, we do not have any plans to buy-back shares of the Company and any future decision in this regard will be subject to Board approvals.

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Sarang

Moving on to the next question, recently the Ministry of Corporate Affairs has relaxed norms for Indian companies to list outside of India? Does RAIN have any plans to evaluate such opportunities?

Jagan Nellore

RAIN has a Wholly Owned Subsidiary in the USA, which is the holding company for the global carbon business. Once the headwinds subside, we can consider listing of the carbon business, which is again subject to the Board approvals.

Sarang

Moving on to the next question, how do you see the Cement business performing in the next few quarters?

Jagan Nellore

We have consumed almost all of the high cost raw materials in the inventory in Q3 and are hoping to benefit from the relatively lower coal prices currently prevailing. We also expect that the demand for cement will improve in the coming quarters with the monsoons over and the start

of the construction season.

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Sarang

Moving on to the next question, are there any growth plans for the company to venture into the next generation businesses such as products for supply to Lithium-ion Batteries?

Jagan Nellore

RAIN is the leading producer, outside China, for specialty coating / binding materials for carbon anodes used in the lithium-ion Batteries. These specialty coating materials comprise 7-15 % of the graphite composition and are used for both natural and synthetic graphite. RAIN has, and is developing, strategic partnerships with various producers and recycling companies to enhance its presence in this market. RAIN has plans to focus more on research, and development of synthetic graphite anode materials for Lithium-ion Batteries and will provide more color about these plans at the appropriate time.

Sarang

Thanks Jagan. Our final set of questions are for Srinivas.

What are the terms of the newly issued senior secured notes and the extended Term loan? When can we start repaying both and what are the premiums and penalties for early repayment?

Srinivasa Rao

The Notes due 2029 are non-callable

for two and a half years and carry a prepayment premium of about 6 percent until 2026, which will further

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reduce each year thereafter. The term Loan is non-callable for 6 months and thereafter can be repaid with no prepayment charges. The Term Loan has a principal amortization clause which requires principal payments of 2.5% in the first year and 5% in each subsequent year. These are paid on a quarterly basis with the first payment due December 2023.

Sarang

How much debt are we looking to repay over the next 12 months? What plans do we have for the remaining cash? Other than the 50 Million dollars due in April of 2025, what is the extent of debt we are planning to repay considering the working capital flexibility? And when?

Srinivasa Rao

As mentioned in the management presentation, we have repaid 70 million dollars during the refinancing in August 2023. Management is focusing on debt reduction which will come from the release of working capital. While some of it has already been generated, we are evaluating long term requirements and the best strategy to deploy excess funds, taking into consideration, tax expenses, foreign exchange rates and interest rates. Our plan is to reduce the debt by at least 15 to 18% in the next 18 months.

Sarang

What was the amount paid to the investment bankers and lawyers for the debt refinancing, and was it expensed through the profit and loss statement or the balance sheet? Does the finance cost for the quarter consist of any one-time costs, if so to what extent?

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Srinivasa Rao

As mentioned in the management presentation as well as in the financial results, we have expensed the deferred financing cost of approximately

3.9 million dollars related to the refinanced debt, which would have been amortized over the next 1 to 1.5 years, till Q1 2025. We incurred approximately 20 million dollars towards the refinancing in August which is accounted for as deferred finance cost and will be amortized over the life of the debt, until 2028 and 2029. These figures can be seen in the debt schedule provided in the press release. The costs associated with the refinancing were incurred related to financial auditors, bankers, lawyers, and rating agencies .

Thank you, Srinivas, Jagan and Gerry.

Ladies and gentlemen, this concludes RAIN's Management Q&A session for the Third quarter of 2023.

Call: Nov 2023

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RIL/SEs/2023 November 7, 2023

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Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
The National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of Management Presentation – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, please find enclosed herewith the Transcript of Management Presentation on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the third quarter ended September 30, 2023.

This is for your information and records.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

RAIN INDUSTRIES LIMITED

Opening remarks for Q3 2023 Management Presentation

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Introduction by Sarang
Hello, ladies and gentlemen. This is Saranga Pani, General Manager
Corporate Reporting and Investor Relations for Rain Industries Limited.

In just a moment, we will take you through the performance of RAIN Industries Limited during the Third Quarter of 2023.

Presenters are Mr. Jagan Reddy Nellore – Vice Chair man of RAIN Industries

Limited; Mr. Gerard Sweeney – President of RAIN Carbon Inc.; and Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited.

Before we begin, management would like to mention during this call, we may touch upon forward-looking statements, which encompass various topics such as performance, trends, objectives, and strategies. Please be aware that these statements are rooted in our current expectations and may be influenced by potential risks and uncertainties. Certain factors could potentially lead to outcomes differing from those predicted by these forward-looking statements. Additionally, we will be delving into specific non-GAAP estimated financial metrics, and the accompanying slides provide the related non-GAAP reconciliations.

Now, if you could turn to Slide 3, Mr. Jagan Reddy will provide an update on key developments in RAIN Group during the Third Quarter of 2023. Thank you, and over to Mr. Jagan.

RAIN INDUSTRIES LIMITED

Opening remarks for Q3 2023 Management Presentation

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Slide 3 – Jagan Reddy Nellore:

Thank you, Sarang and Good evening, everyone.

On Slide 3 of the presentation, we finished the third quarter with an EBITDA of Rupees 3.76 billion. This unexpected result was driven by falling product prices, delayed shipments, and a slower than expected reset to our raw materials prices. This is not a paradigm shift and was observed in the past when there was a precipitous fall in the sales prices. However, one of the benefits of a down cycle is the release of cash invested in working capital. During the last three quarters approximately US\$187 million of working capital got released.

We had expected to maintain our historically normal operating margin for Q3. However, continued firm demand for raw materials created prolonged negotiations, and ultimately did not allow us to reach our forecasted goal for the raw material prices for the quarter. As a result, our margins were squeezed during the quarter.

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Opening remarks for Q3 2023 Management Presentation

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Although this phenomenon was seen in prior down cycles, it was different this quarter with bit more choppiness and less predictability. A combination of firmer demand for anode raw materials in the Middle East and somewhat in China

and, the GPC prices dropped, but not enough relative to the drop in CPC prices. We also experienced some headwinds on coal tar prices, as global availability was limited due to lower production of steel, and crude prices rose strengthening the liquids side of that pricing model. We will be more diligent going forward to anticipate the unpredictable variations in prices, especially during the times of record high prices that have prevailed for most of our products over the last

couple of years.

While we clearly underperformed during the quarter, we believe it is pretty much isolated and are fighting to get back into our normal range quickly. While we entered the 3rd quarter focused on resetting our raw material prices to align with the sales price drops, we saw across our major carbon markets. This, combined with delays in customer shipments, ultimately delayed working through older higher priced inventories, especially in the Carbon calcination business.

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Opening remarks for Q3 2023 Management Presentation

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On the positive side, we have taken what we believe are the last of our NRV adjustments during the quarter and expect to move forward with more normalized margins, and therefore normalized earnings. Also, an important development is that the Hon'ble Supreme Court of India formally passed further action on the imports of petroleum coke into the Country to the Committee for Air Quality Management (or CAQM), which was established to address these areas of environmental regulations.

We await an official ruling from CAQM and are hopeful that there may be some relaxation on import of GPC that will likely result in increased capacity utilization of Indian CPC capacities. As a reminder, we are currently limited to running our facilities in India at about 45% of capacity because of the import restrictions.

Slide 4 - Jagan Reddy Nellore: Safety

Turning to slide 4, I want to take a minute to discuss safety. We begin every weekly, monthly and quarterly internal meeting with a review of our safety performance. Safety is given paramount importance across all our

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Opening remarks for Q3 2023 Management Presentation

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Plants as our employees are our most important assets. Our Quest-for-Zero incidents has helped drive our Lower Total Recordable Incident Rate ("TRIR") of 0.30 for 16 of the Carbon and Advanced Materials plants for the period ended September 30, 2023. This rate is considered best in class however, we will continue with our goal of a Quest-for-Zero. We work to achieve this through our Global safety team who implement safety programs such as our Management Walkthroughs and continuously provide Safety awareness training both in person and virtually. They also manage a safety awards program which not only recognizes our employees but also our Contractors.

Slide 5 - Jagan Reddy Nellore:

Moving on to slide 5, aluminum prices spent most of the third quarter floating around \$2,200 MT level, which is generally considered a healthy price for continued production and possible expansion. Where we have concern, is the continued shrinking of regional premiums in the US and

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Opening remarks for Q3 2023 Management Presentation

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Europe. Some smelters rely on these premiums for their regional competitiveness, and this could affect them moving forward. Despite softer demand conditions globally, we have not seen any material effects on producers to date this year – while we have seen reduced overall demand - it has been relatively minor and contained at around 5%. This is basically considered our contractual shipping tolerance. We have also seen positive movement on smelter material costs for inputs, including alumina, calcined petroleum coke and coal tar pitch, as well as global

freight rates. This can also help assuage the rather languishing LME price moving forward.

Regarding the Cement business, demand continues to be reasonably strong in South India. As mentioned during the second quarter, we have seen fuel prices coming down, which helped the third quarter back to improved operating margins which should continue in coming quarters as well.

With this business update, I will now turn over the presentation to Gerry to take you through industry and other business updates on Slide 6 ...
Gerry ...

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Slide 6 – Gerry:

Thank you, Jagan,

Hello, everyone. It is a pleasure to discuss the key commodity price trends and business update during the Third Quarter of 2023. In our Carbon segment during the third quarter, we experienced a 17% decline in pricing and a 6% decline in volumes for calcined petroleum coke or CPC compared to the previous quarter. CPC prices continued to fall in the quarter, and we saw a decline in volumes primarily related to the timing of shipments.

Moving on to the distillation side of our Carbon segment, coal tar pitch volumes increased by 2% in the third quarter. Pitch prices have decreased by 12% in third quarter compared to previous quarter driven by the drop in prices out of China, this against raw material prices drop of only \$30 per ton in the quarter. Additionally, we had increased costs due to an early renewal of a key tar supply contract in exchange for a prolongation of the contract, strategically this was important to ensure security of raw material supply in the medium term.

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Opening remarks for Q3 2023 Management Presentation

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In our other carbon products category, volumes have increased marginally by 1%. Finally, while sales of crude naphthalene were up slightly, prices declined due to continued softness in the construction industry.

Looking ahead, we expect CPC and CTP demand will remain relatively flat for the remainder of the year. Our order books are relatively set and

barring a major global event or escalation of existing conflicts we do not expect any major deviations.

Our Advanced Materials segment EBITDA was down by 3.6% driven by lower seasonal sales, change in product mix and offset by a decline in energy costs during the quarter compared to the second quarter.

In the sub-segment of engineered products, demand for CARBORES®, which is used as a binding product in refractory materials remained flat quarter over quarter, and demand for our PETRO RES® specialty coatings were relatively flat and will likely remain so until sales of automobiles pick up globally. Finally, sales of our seasonal asphalt sealer products decreased marginally compared to the second quarter,

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they were not as robust as expected this year as unusually wet weather in North America curtailed sales during the period.

Looking at our chemical intermediates sub-segment, our BTX and phthalic anhydride volumes were higher compared with the previous quarter due to a restart after maintenance shutdown activities last quarter.

Moving on to resins and downstream materials, while volumes were flat, prices were off primarily related to the mix of products sold. Our HHCR facility ran smoothly during the quarter and the quality of product is meeting customer expectations.

Slide 7 – Gerry:

Moving to Slide 7 on Revenue by End-industry, as you could observe, Aluminium Industry contributed about 47% of consolidated revenues and the balance 53% is generated from varied industries including Steel, Carbon Black, etc. With continued increase in production of Primary Aluminium; there will be increase in demand for both of our key Carbon Products (

CPC and CTP).

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Opening remarks for Q3 2023 Management Presentation

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With that, I will now turn the presentation to Srinivas, who will take you through the consolidated financial performance of RAIN on Slide 8.

Srinivas, over to you.

Slide 8 – Srinivasa Rao:

Thank you, Gerry and Good Evening everyone.

In the Third quarter of 2023, RAIN achieved consolidated net revenue of Rupees 41.43 billion compared to Rupees 55.59 billion in the third quarter of 2022, a decrease of Rupees 14.16 billion. This resulted from a decrease in revenue of Rupees 12.19 billion from our Carbon segment, a decrease of Rupees 1.78 billion from our Advanced Materials segment and a decrease of Rupees 0.19 billion from our Cement segment.

RAIN's consolidated adjusted EBITDA decreased by Rupees 6,020 million compared to the prior year. This resulted from a decrease in the Carbon segment of Rupees 6,913 million offset by an increase in the Advanced Materials segment of Rupees 788 million and an increase in the Cement segment of Rupees 105 million.

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Opening remarks for Q3 2023 Management Presentation

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Slide 9 – Srinivasa Rao:

Moving to Slide 9,

Revenue from our Carbon segment was Rupees 29.39 billion for the quarter ended September 30, 2023, as compared to Rupees 41.58 billion for the same period last year.

During the quarter, sales volumes decreased due to lower throughputs.

The average blended realisation decreased by ~23.5% on account of lower market quotations across all regions. There was an appreciation of EURO against Indian Rupee by ~12.0% and an appreciation of USD against Indian Rupee by ~3.6%.

Overall, due to the aforesaid reasons, revenue from the Carbon segment decreased by ~29.3% in Q3 CY23, as compared to Q3 CY22.

Adjusted EBITDA of the Carbon segment decreased by Rupees 6,913 million as compared to Q3 CY22. EBITDA for the current period is lower as compared to the previous year, which included opportunistic margins from higher realisations. Further, the reduction in EBITDA is due to lower realisations coupled with decreased volumes and margin contraction, which were partially offset by appreciation of USD and EURO against Indian Rupee.

RAIN INDUSTRIES LIMITED

Opening remarks for Q3 2023 Management Presentation

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Slide 10 – Srinivasa Rao:

Turning to the next slide on the performance of Advanced Materials ...

Revenue from our Advanced Materials segment was Rupees 8.58 billion for the quarter ended September 30, 2023, as compared to Rupees 10.37 billion for the same quarter in 2022. During the quarter, there was a decrease in volumes, primarily driven by closure of aromatic chemicals business partly and decrease in realisations by 2.6 % offset by an appreciation of EURO against Indian Rupee by ~12.0% .

Due to the aforesaid reasons, revenue from the Advanced Materials segment decreased by ~17.2% during Q3 CY23, as compared to Q3 CY22.

Adjusted EBITDA for the Advanced Materials segment increased by Rupees 788 million due to reduction in energy prices and appreciation of EURO against Indian Rupee offset by a decrease in volumes on account of closure of aromatic chemicals business.

Slide 11 – Srinivasa Rao:

RAIN INDUSTRIES LIMITED

Opening remarks for Q3 2023 Management Presentation

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Moving on the next slide on our Cement business ...

During the third quarter of CY23, Cement revenue decreased by 5.1% as compared to Q3 CY22 due to a decrease in realisations of 4.7% coupled with a decrease in volumes by 0.4%. Cement EBITDA increased by Rupees 105 million compared to Q3 of CY 22 due to improved margins and a reduction in operating costs.

Slide 11 – Srinivasa Rao: Update on Refinancing of Debt
Moving on the next slide on debt ...

During August 2023, the Group refinanced the long-term debt,

extending maturity to September 2029 and October 2028. During refinancing, the Group has repaid US\$70 million in principle of long-term debt. After refinancing the group has \$450M of senior secured notes due September 2029 with an interest rate fixed at 12.25%, a Euro Term Loan B of €353.5M with a variable rate of EURIBOR plus 5% and \$50M of senior secured notes due April 2025 with a fixed rate of 7.25%. Though there is an increase in the interest rates for our long-term debt, this is in-line with the increase in the market rates over the last few years. If we notice, the Euribor which has been in negative rates since 2015 has turned to

RAIN INDUSTRIES LIMITED

Opening remarks for Q3 2023 Management Presentation

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positive rates since July 2022 and is currently in the range of 3.5 to 4%. Similarly, while LIBOR was around 1% in 2017 and currently SOFR that replaced LIBOR is trading more than 5% in 2023. The 10-year US treasury yields also doubled over the last 5 years.

Slide 12 – Srinivasa Rao:

Now moving on to next slide on debt summary....

As we have been indicating, we expect the working capital requirements of the Group to trend towards 2021 levels when we ended the year with approximately \$346M of net working capital. As of the end of September approximately \$187M of working capital has been released, and the quarter ended with approximately \$429M of net trade working capital. The majority of the release has been driven by the calcination side of the business as prices in other areas have not fallen as dramatically.

With the refinancing in August approximately \$70M of long-term debt was repaid and with the strong cash balance we are evaluating options to deploy cash for debt reduction as we continue to pursue the long-term leverage ratio of below 3 times gross debt to EBITDA.

RAIN INDUSTRIES LIMITED

Opening remarks for Q3 2023 Management Presentation

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From a liquidity perspective we ended the quarter with \$200M of undrawn credit facilities. Cash borrowing accounted for approximately 70% of the utilization while letter of credits to support trade purchases accounted for the other 30%.

The Group spent approximately \$56 million on its maintenance capital expenditure and plant turnarounds during the nine-months period ended September 30, 2023. We expect the full year capital expenditure and plant turnaround expenditure will be around \$80-90 million.

With that, I will now turn the Presentation to Mr. Jagan for closing remarks.

Closing Remarks – Jagan Reddy Nellore:
Thank you, Srinivas.

RAIN INDUSTRIES LIMITED

Opening remarks for Q3 2023 Management Presentation

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Reflecting on the quarter, we acknowledge that our earnings have faced challenges due to the current economic conditions, we want to emphasize our strong belief that these are temporary setbacks and not a paradigm shift.

History has shown that economies and markets go through cycles, and although we are currently experiencing historically low earnings, we are confident that things will return to normal soon. We remain committed to adapting, innovating, and making the necessary adjustments to position our company for long-term success.

Rest assured that we are dedicated to delivering value and growth for our investors. We appreciate your patience and continued confidence in our vision and capabilities. Together, we will navigate these challenging times and emerge stronger.

Thank you for your continued interest in RAIN Industries Limited, and we look forward to next quarter's presentation.

Call: Feb 2024

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RIL/SEs/2024 February 29, 2024

The General Manager
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Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East,
Mumbai – 400 051

Dear Sir/ Madam,

Sub: Transcript of Management Commentary on Annual Audited Financial Results for the Quarter and Financial Year ended on December 31, 2023 – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, please find enclosed herewith the Transcript of Management Commentary on Annual Audited Financial Results (Standalone, Consolidated and Segment) for the Quarter and Financial Year ended on December 31, 2023.

This is for your kind information and record.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

Good day ladies and gentlemen .
This is Saranga Pani , General Manager Corporate Reporting and Investor Relations at RAIN Industries Limited . Welcome to the RAIN Industries Limited Q&A session for the Fourth quarter of 202 3.
With me on the call today are:
- Mr. Jagan Reddy Nellore – Vice Chairman of RAIN Industries Limited.
- Mr. Gerard Sweeney – President of RAIN Carbon Inc.; and
- Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited

Following the Earnings Presentation and Management Commentary that we released on February 24, 2024, we have been receiving questions from certain investors and analysts regarding industry developments and the status of our expansion projects. Accordingly, RAIN Management will be addressing those questions in today's call .

Before we begin, management would like to mention during this call, we may touch upon forward-looking statements, which encompass various topics such as performance, trends, objectives, and strategies. Please be aware that these statements are rooted in our current expectations and may be influenced by potential risks and uncertainties. Certain factors could potentially lead to outcomes differing from those predicted by these forward-looking statements.

With that, we will now start the discussion.

Sarang

Gerry, the first question is with regard to our margins. As we mention ourselves a converter, acknowledging even a one quarter lag effect, shouldn't the margins have been stabilised by now? Why didn't we see that in the last quarter? Are we really a converter or is there a change in our business model?

Gerard Sweeney

Thank you. This is a good question. Yes, we are historically a converter and both our Carbon Calcination and Distillation businesses run on a managed margin business model concept. As we mentioned several times during the upcycle in our business, just because we are a converter, and focus on managing our margins, does not mean we are not a cyclical business. We still have cycles to our business. As a converter, we strive for a stated margin of \$ 70-90 per ton for our product. Our product and raw material prices do vary depending on demand. As such, as a converter, regardless of the pricing cycle, high or low, we strive to manage the business in a margin range of \$ 70-90 per ton. This is what provides for our normalized earnings level of \$60 -80 million per quarter. Post Covid, from early 2021 until the end of 2022, we experienced strong demand that led to escalating pricing throughout the period. As a result, we had higher than usual margins, due to the constant run up of product prices far and above our raw material prices. We called

that an

"opportunity margin," where we made margin above our normal \$ 70-90 per ton target. As reiterated during our calls, it is essential for investors to maintain a realistic perspective regarding our quarterly earnings, particularly in relation to normalized margins. While we have seen higher margins in some quarters, it is crucial to understand that sustained earnings above normalized margins may not always be the norm. Our commitment remains steadfast in delivering sustainable growth over the long term, even if it means fluctuations in some quarters.

In the first half of 2023, our markets experienced a significant downturn, primarily triggered by the resurgence of Chinese exports amidst their economic slowdowns. This led to a gradual retreat in prices throughout Q2, with some stabilization observed mid-year. However, the summer months saw a further decline in prices, fueled by a reduction in raw material costs, largely driven by increased Chinese exports once again. Since then, the market for our products has witnessed a steep decline, plummeting from previous highs ranging between \$900 to \$1400 per ton depending on the product, to current levels hovering around \$400 to \$700 per ton.

While it would have been ideal for prices to decline steadily, mirroring the market's ascent, the reality has been a protracted and erratic descent. This prolonged downturn has hindered our ability to swiftly recalibrate raw material costs and restore our customary margins. Over the past few quarters, we have been relentlessly tailing product and raw material prices as they fluctuate downwards.

Encouragingly, we believe we have now reached the market's nadir in Q1 and are hopeful about a return to more conventional earnings in the first half of this year. However, it is important to acknowledge that we still have to work through overpriced inventories to attain this goal. This challenging market environment underscores the importance of adaptability and strategic decision-making in navigating through turbulent times.

Sarang

Next Question: Management mentions a normalized EBITDA of \$70-90 per ton margin as a converter . Does that mean this should result in a higher margin percentage realization during lower pricing periods ?

Gerard Sweeney

Absolutely, you are exactly correct . It is a proven fact that re-establishing our margin percentage will yield a higher realization percentage compared to when we had higher pricing. This historical trend underscores why we prioritize discussing our business in terms of unit margin rather than percentage margin. Whether our product is priced at \$30.00 or \$10.00 per ton, our focus remains on maintaining our normal per ton margin. This approach ensures that we remain resilient and adaptable to market fluctuations, ultimately safeguarding our profitability.

Sarang

Thanks Gerry . The next question is whether we still have some high value inventory carrying over from the last few quarters or are we done with those at the end of Q4? Also, can we expect contribution on the delayed and deferred shipments of Q4CY23 in the coming months?

Gerard Sweeney

Thank you for this question, as it allows me to explain more clearly what has been happening during this prolonged fall in product prices. We have made considerable progress in utilizing our high-value inventories from the previous year. While we do not have precise figures, it is likely that we will deplete the remaining stock by the end of Q1, positioning us for profitability across most products by Q2. However, our focus will be on restoring our traditional managed margins as we navigate through this inventory clearance phase, presenting a challenge we are eager to tackle in Q2. Rest assured; we are fully committed to achieving this goal as swiftly as possible .

Sarang

The next question is , in the opening remarks it was mentioned about some additional

ional CPC and CTP capacity to be introduced in India and elsewhere.

Is it possible to quantify the upcoming capacities and mention the regions in which these capacities are likely to come up? Will this negatively impact the demand -supply scenario for both the products?

Gerard Sweeney

In the short term, the imminent capacity additions, constituting 10-15% of the existing capacity in this region, may pose challenges to the demand - supply equilibrium for both products. However, looking ahead over the next couple of years, we anticipate a gradual absorption of this incremental production with the demand arising from the aluminium capacity expansions in India and the Middle East. These expansions of CPC and CTP are poised to align with new customer expansions, fostering a more balanced market landscape. At present, beyond these forthcoming expansions, there are no confirmed plans that have come to our attention. This forecast underscores a strategic approach to navigating market dynamics while maintaining a vigilant eye on potential opportunities for growth.

Sarang

What are the capacity utilization s for carbon and advanced materials in CY23 and what can we expect in 2024 ?

Gerard Sweeney

Our Carbon segment operated in the range of 65 -70% during 2023. Our Advanced Materials segment operated at a capacity utilization of 75%. As we navigate through the ebbs and flows of our industry, it is important to acknowledge the seasonal variations that impact our operations, particularly with certain products. Historically, we have observed lower demand for our seasonal offerings during the fall and winter months,

aligning with our fourth and first quarters, respectively.

While we can not pinpoint exact targets for plant capacity utilization in 2024, we are optimistic about the trajectory ahead. We anticipate improved capacity utilization in our CPC plants as we progress through the year, given the recent relief granted by the Hon'ble Commission for Air Quality Management or CAQM from petroleum coke import restrictions in India. Also, given the disruption to global shipping due to recent hostile acts, we are hopeful our Advanced Materials segment will continue to benefit from the higher demand we are currently experiencing in the future ..

Sarang

Our next question is relating to Advanced material segment, Europe has seen an exodus of major players from the chemicals industry as well as closure of aluminum smelters. Will this have had an impact on RAIN 's customer and supplier base ?

Gerard Sweeney

It is true that European chemical industry has seen a major impact over the last several years . This is mainly due to oversupply in the region . In most cases, we are or were not direct competitors with large players like Dupont, BASF and others in the marketplace . They made huge volumes of fairly stock chemicals in a standard grade . We are a more niche player making specific chemical compounds for our customer base. The only impact we are seeing specific to consolidation of these major players, is on the side of some raw material supply . We are comfortable with our position though, and our placement in the market long term .

Sarang

Are there any segments/ products within the advanced materials business that are facing structural headwinds and may need to be reviewed from a business viability perspective going forward?

Gerard Sweeney

In the volatile landscape of Advance Materials, challenges are commonplace, particularly with fierce competition from Asian players . However, our strategic niche in Europe, specializing in custom compounds on a local scale, affords us resilience amidst these headwinds. While growth may be tempered, our focus remains on adding substantial value to downstream feeds, ensuring stability and sustainability in the long term .

Sarang

The advanced materials business was a disappointment in H2 2023 .

Though not a subject of impairment, the continued low margins despite plant reopening are a cause of concern. what is the roadmap to get to higher EBITDA (at least 15%) for this product group ?

Gerard Sweeney

While the Advanced Materials segment faced challenges in the second half of 2023 due to plummeting product prices, we have successfully navigated through this phase and anticipate brighter prospects ahead. Our strategic restructuring initiatives and the reduction of major capacities in Europe, are poised to bolster our historical margins and position us for sustained growth in the future.

Sarang

Can you provide the capacity utilisation of the HHCR plant for the last six months and the expected utilization for 2024?

Gerard Sweeney

In regard to the update on the HHCR Plant, we are currently operating at about 30% - 40% capacity. With two major suppliers permanently closing their European operations and the ongoing Red Sea shipping crisis, our customers are reassessing their procurement strategies. To ensure a steady supply, they are increasingly considering the local sources. This strategic shift is resulting in an uptick in sales demand, underscoring the resilience of the HHCR business. As we navigate these challenges, we remain optimistic about our trajectory, buoyed by the prospect of continued improvement alongside broader economic recovery.

Sarang

What is the expected capex for 2024?

Gerard Sweeney

We expect the capex for 2024 should be in the range of US \$75-80 Million including turnaround costs. This is our normal level of Capex without any major projects.

Sarang

Thank you, Gerry. We now have a few questions for Jagan. The first question is relating to the recent CAQM order. Have we got full import freedom for our new vertical shaft plant (SEZ)? Can we import RPC as well as CPC for blending? When can we expect the announcement on SEZ unit commissioning to the full capacity? And restarting of the second line that was closed earlier? With the latest CAQM orders can we expect the capacities to be utilized above 90% plus? If yes, how soon?

Jagan Nellore

Thanks, Sarang. We are pleased with the relief granted by the Hon'ble Commission for Air Quality Management or CAQM by relaxing petroleum coke import restrictions. The overall limit for import of RPC by Calciners was increased from 1.40 million tons per annum to 1.90 million tons per annum. All Calciners in India would benefit from such increase in limit for importing RPC into India. Further, CAQM has also increased the limit for import of CPC by Aluminium Smelters from 0.5 million tons to 0.8 million tons from Financial Year 2025 -26; considering the incremental production of Primary Aluminium in India. Further, our Vertical Shaft Calciner set-up in the Special Economic Zone is eligible to import both RPC and CPC for use within the SEZ Plant. These measures would help us to increase the capacity utilization of our CPC Plants. We already initiated various steps for ramping-up the capacity utilization; including discussing with both our customers for incremental supplies and with the suppliers for sourcing incremental sourcing of raw materials. We also need to make logistical planning to source higher volume of raw materials and supply higher volume of finished products to Aluminium Smelters. There will be gradual improvement in Capacity Utilization over next few quarters. The increased capacity utilization would certainly lower the per ton fixed costs.

Sarang

Thanks Jagan. Moving on to the next question, Query regarding comparing RAIN's underperformance in its Carbon segment versus its competitors in India. We have noted that competitors' results are not impacted as much as the profitability impact on RAIN in the recent past. Why are our operating margins less than competitors in India in the carbon segment in the last few quarters?

Jagan Nellore

e

Our performance is not comparable to other players in the industry, primarily because we operate on a global scale, with operations and plants strategically positioned across three continents. It is crucial to acknowledge that the market dynamics in India significantly differ from those in other parts of the world.

In the past, we proactively maintained higher inventory levels of various

raw material grades in India to safeguard against potential disruptions in RPC supply resulting in shutting down of calcination facilities . This was essential to ensure uninterrupted facility operations , in the event of lower allocation or delays in import allocations and to meet the stringent quality specifications demanded by our valued customers. However, this approach, while necessary, had its drawbacks, particularly when faced with fluctuating raw material prices. The elevated inventory volumes exacerbated the impact of falling raw material prices, resulting in increased costs and operational challenges. However, our strategic approach, including increased capacity utilization and optimized import limits, empowers us with operational agility in sourcing raw materials.

Moving forward, we are committed to enhancing our operational efficiency and flexibility, leveraging our global presence and optimizing our supply chain management. By doing so, we aim to mitigate risks, drive down costs, and further strengthen our position in the industry.

Sarang

Moving on to the next question, we have not heard any update on our many of the new areas we embarked upon few years back which included vertical farming. Any progress on them? Any new plans to install solar power plants which got scrapped long back, given that we had surplus land to utilize for same?

Jagan Nellore

We continued with our Green Power Initiative of Solar Power Plants for captive consumption within our Cement Plants. We have aggregate capacity of 19 MW within our Cement Business and combined with our Waste -heat recovery Power Plants at both our Cement Units; we generate 40% of our electricity consumption captively within the Company. Our immediate target is to implement the Global CPC Blending Project as quickly as possible. We had worked on such Global CPC Blending Plan until July 2018, before introduction of import restrictions in India. We have to make commercial, operational, and logistic changes to increase the capacity utilisation of CPC Plants over next few quarters .

Sarang

Moving on to the next question , we had developed ACP thorough R&D back in 2018 and continued to develop that product. In last management commentary it was mentioned that the product is in testing by smelters. Now with RPC restrictions relaxed , what is the future plans with our ACP plants? Are we going ahead with them or reviewing them ? Please confirm whether management expects significant contribution from that product in 2024 . To our understanding blended CPC and ACP are supplementary, is that correct? If so, will we still continue with ACP Capex plans in India? If yes, when is that expected and how much Capex is needed for that?

Jagan Nellore

As an update on the progress of our ongoing R&D project focused on Anhydrous Carbon Pellets or ACP, we would like to inform that this initiative is strategically aimed at meeting the long -term demand for RPC, essential for manufacturing the ever -increasing demand for CPC from our valued Aluminium Smelters.

We have received promising feedback from couple of North American Aluminium Smelters, which has fueled our determination to enhance the competitiveness of manufacturing ACP. Our efforts are concentrated on optimizing the conversion cost while utilizing marginal grade RPC for ACP production, which is essentially high dense raw material. Notably, the utilization of ACP will not only bolster cost -efficiency but also contribute to a significant red

uction in CO2 emissions, aligning with the sustainability goals of our Aluminium Smelters.

Moreover, our exploration extends beyond mere substitution. We are actively investigating diverse applications for ACP and are diligently

pursuing patent protection to safeguard our intellectual property rights. Once the operations of the ACP Plant in the USA are stabilized, we will seamlessly transition to advancing the ACP Project in India.

It is important to emphasize that while ACP does not directly contribute to incremental revenues, its adoption as a substitute for RPC or in CPC manufacturing processes for use by the Aluminium Smelters underscores its strategic importance. ACP represents a tangible opportunity for our partners to not only optimize costs but also demonstrate a commitment to environmental stewardship. ACP is a transformative journey shaping a future that is both economically viable and environmentally sustainable.

Sarang

Moving on to the next question, how do you see the Cement business performing in the next few quarters?

Jagan Nellore

The cement demand is expected to surge across South India, fueled by a multitude of factors that promise to drive sustained growth in the industry. In recent times, this region has witnessed an unparalleled momentum in infrastructure development spearheaded by visionary governmental initiatives. From ambitious road networks to transformative urban rejuvenation projects, these endeavors have not only accelerated economic progress but also propelled the demand for cement.

Moreover, the burgeoning construction of residential dwellings, both in the bustling urban centers and the burgeoning rural landscapes, has contributed significantly to the escalating demand for cement products. This trend underscores the robustness of our market and the enduring need for quality building materials to cater to the evolving needs of our communities.

As we look ahead to the promising prospects of CY 2024, our projections indicate a continuation of this remarkable volume growth trajectory. We remain steadfast in our commitment to meeting this burgeoning demand, ensuring seamless supply chains and unwavering quality standards to sustain our market leadership.

Furthermore, amidst the global economic landscape, we are pleased to report that the prices of critical inputs such as coal and fuel-grade petroleum coke remain stable and well within control. This scenario not only bolsters our operational efficiency but also safeguards the resilience of our cement business, especially considering that almost 40% of the energy required for the cement plant operations comes from captive renewable energy sources.

Sarang

Thanks Jagan. Our final set of questions are for Srinivas.

With capacity utilization going to improve in coming quarters, will working capital requirements delay our debt reducing plan to next year? Do we still plan to reduce the debt by at least 15-18% over the next 15 months? Noted that \$50 million debt is expected to be repaid in April 2025. How much more is expected to be repaid during the next one year?

Srinivasa Rao

Our plan to reduce the Term Debt has not changed. There will be incremental need for working capital with increase in sales volume, specifically CPC volume over next few quarters. We will meet such incremental need of working capital either through Working capital loans or from funds released from operations through lower prices for our end-products. We have adequate liquidity to repay the balance amount of CY 2025 Notes of US\$ 50.0 million due in April 2025. Our focus is to reduce the Euro-denominated Term loan, both as per the amortization schedule and also to use any surplus cash from the business.

Sarang

What are our strategies to bring down the interest cost?

Srinivasa Rao

As we completed the refinancing of both our Long -term Debt (US Dollar denominated se

cond -lien bonds and Euro denominated first -lien bank debt) during August'2023; before they become current and extended their maturities to September 2029 and October 2028, respectively. As Euro Term Loan B is a floating interest loan, any reduction in EURIBOR will reduce the interest cost. We are optimizing all working capital borrowings to the maximum extent possible, and we will also reduce the amount of long-term debt to reduce the interest cost, over next few years.

Sarang

The "other expenses " line time increased significantly in this quarter. What are the main reasons for the increase and are these temporary or permanent in nature? What is the likely run rate of other expenses going forward?

Srinivasa Rao

Other expense line item includes costs like power and fuel, outward freight, other selling and distribution expenses, repairs and maintenance, consultancy charges etc. The increase in the cost compared to last quarter was around 10%. This majorly include increase in the power and fuel cost in cement business due to increase in production and sale s volumes compared to Q3 2023. Overall other expenses line item for the current year was lower than last year.

Sarang

What is the likely cost saving from the initiatives taken by the management such as consolidating corporate offices, optimising operations etc.?

Srinivasa Rao

We are consolidating corporate offices to optimize administrative expenses and we also initiated the process for reduction of certain workforce , to reduce the SG&A Costs. The benefit of these cost reduction initiatives will be realized partly during CY24 and fully in CY25.

Sarang

The next question is regarding the impairment loss during the quarter. We have overall Goodwill on balance sheet of approx. INR 6,000 crore. We have impaired approx. INR 750 crore. Request you to share the CGU wise impact . What is the threshold margin for carbon business below which such a review is triggered again . With the higher Cost of capital (would have increased due to increase in debt to 12.5%), the current Target operating model of 15% EBITDA for carbon is too close for comfort and management should consider aiming for a higher EBITDA target to have a sustainable business - any clarification on this would be highly appreciated .

Srinivasa Rao

We have assessed the impairment in all Cash Generating Units and also engaged Independent Experts to analyze the potential impairment in certain CGUs. Both the management estimates as well as the experts' reports were reviewed by the auditors and made provision for impairment in the CGUs of Carbon – Calcination and Carbon – Distillation. For the impairment charge in Carbon – Calcination; we have taken the revised business plan, considering the relief granted by CAQM from import restrictions in India . We are of the view that with expected normalization of the margins; with re -sets of both raw -material costs and the finished goods prices and i ncreased capacity utilization, the realisable values will be higher than the carrying -values and we will be re -assessing them at the end of each period for any indication of further impairment and an in -depth analysis at the end of each financial year.

Sarang

The management commentary speaks about "taking additional time to implement the revised business strategy". Is this pertaining just to the CPC blending strategy or to other parts of the business as well? What is the likely duration for implementing the new strategy?

Srinivasa Rao

Over last few quarters, we are operating both of Indian CPC Plants in the range of 55% - 60% capacity utilization . Four out of six Kilns in our SEZ plant are operating at lower capacity and the remaining two kilns were not yet started, considering the shortage of raw materials . Now, we initiated the steps to start the operations at the remaining two kilns and the process of start -up would take

about 3 – 4 months to start manufacturing of CPC.

We also need to make logistic arrangements to handle higher volumes. Accordingly, there will be gradual increase in the capacity utilisation of CPC Plants, even after the relief is granted by CAQM in mid of February 2024 .

Thank you, Srinivas, Jagan and Gerry .

Ladies and gentlemen, this concludes RAIN's Management Q&A session for the Fourth quarter of 2023.

Call: Feb 2024

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RIL/SEs/2024 February 24, 2024

The General Manager
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
The National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of Management Presentation on Annual Audited Financial Results for the Quarter and Financial Year ended on December 31, 2023 – Reg.

Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, please find enclosed herewith the Transcript of Management Presentation on Annual Audited Financial Results for the Quarter and Financial Year ended on December 31, 2023.

This is for your information and records.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

RAIN INDUSTRIES LIMITED

Opening remarks for Q4 2023 Management Presentation

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Introduction by Sarang
Hello , ladies and gentlemen. This is Sarang Pani , General Manager Corporate Reporting and Investor Relations for Rain Industries Limited .

In just a moment, we will take you through the performance of RAIN Industries Limited during the Fourth Quarter of 2023.

Presenters are Mr. Jagan Reddy Nellore – Vice Chairman of RAIN Industries Limited; Mr. Gerard Sweeney – President of RAIN Carbon Inc.; and Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited.

Before we begin, management would like to mention during this call, we may touch upon forward -looking statements, which encompass various topics such as performance, trends, objectives, and strategies. Please be aware that these statements are rooted in our current expectations and may be influenced by potential risks and uncertainties. Certain factors could potentially lead to outcomes differing from those predicted by these forward -looking statements. Additionally, we will be delving into specific non -GAA P estimated financial metrics, and the accompanying slides provide the related non -GAAP reconciliations.

Now, if you could turn to Slide 3, Mr. Jagan Reddy will provide an update on key developments in RAIN Group during the Fourth Quarter of 2023 . Thank you, and over to Mr. Jagan .

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Opening remarks for Q4 2023 Management Presentation

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Slide 3 – Jagan Reddy Nellore :

Thank you , Sarang and Hello E veryone ,
Turning to Slide 3 of the presentation let us begin with safety, we closed CY 2023 with a TRIR , Total Recordable Incident Rate, of 0.24 for Carbon and Advanced Material Plants marking a nother consistent year of safety performance, and still surpassing the industry benchmark . Our commitment to constant improvement remains unwavering , as we continue towards our objective of practicing safety as a way of life and progressing towards being an incident -free organization.

We finished the Fourth quarter with an EBITDA of 2.78 billion Rupees and full year with an EBITDA of 20.14 billion Rupees . The results were below expectations due to several factors. The largest impact was the continued decline in pricing for our two largest products, CPC and CTP . We have been chasing prices and costs down the curve as sales prices have come off significantly , and worst of all gradually, through out the third and fourth quarters of 2023 . Other contributing factors included declines in our usual, seasonal markets and heavy annual plant maintenance in the fourth quarter . Despite our hope that the product price drops would level off after

a precipitous drop

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in the second quarter , prices continued to drop throughout the second half of 2023, and even our volumes dropped versus our expectations due to delayed or deferred customer shipments .

In our Carbon Segment, our EBITDA margin dropped to below 10% vs a normal range of 16%-18%, and the Advanced Materials segment recorded a negative EBITDA margin due to seasonal lower demand and under -absorption of costs due to planned maintenance shutdown activities .

The calcined petroleum coke (or, "CPC") market began its march downward from the peak more precipitously once again during the third quarter. Yet, even as we turned our inventory and brought in cheaper, replacement raw materials, the market continued to fall underneath us, not allowing us to reestablish our margins. This continued in the fourth quarter with CPC prices, but at a slower pace than in the third quarter. Customer shipments then slipped due to weaker aluminum market conditions affecting our fourth quarter volumes. The fall in product prices in our distilled Carbon products, especially CTP, trailed CPC price declines in the third quarter. We did get the full impact however in Q4, where we experienced severe margin compression. The majority of this is attributable to Chinese / Asian price drops, based on a recessionary economy there forcing volumes into the export market.

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As we reflect on the recent challenges faced by our company, particularly within our major Carbon segment products, it is essential to acknowledge the difficulties while also emphasizing the potential for a brighter future ahead. Over the past few quarters, we have encountered significant obstacles, primarily stemming from the relentless decline in sales prices and slipping sales volumes. Despite our best efforts to adjust costs accordingly, we found ourselves caught in a cycle where prices continued to fall, further impacting our margins. Additionally, elongated shipping schedules due to reduced customer production rates have added to the complexity of our situation, as we strive to manage inventories against a declining sales schedule. However, amidst these challenges, there is reason for optimism. Our company has a history of resilience, and we have successfully navigated similar downturns in the past. While the fall from record-high product price levels has been unpredictable, we remain steadfast in our commitment to "right the ship" and restore our margins to traditional levels. It is important to recognize that the prices of our main customer industry 'Aluminium' have remained relatively healthy despite the prevailing market conditions. This resilience serves as a beacon of hope as we work towards stabilizing our operations.

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Opening remarks for Q4 2023 Management Presentation

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Looking ahead, historical data suggests that price resets typically last around one to two quarters. Although we anticipate another quarter or possibly two of challenges, we are optimistic about returning to our normal earnings range soon.

While the continuous tumbling market declines since the third quarter of 2023 presented unforeseen hurdles, it is essential to understand that our business model and the markets we serve remain fundamentally strong. Despite the underperformance in the latter half of 2023, there has been no paradigm shift that will have a lasting negative impact on our company.

As we move into Q1 2024, we are beginning to see signs of market stabilization, which bodes well for our prospects. As we reset our raw material prices, we anticipate a return to normalized margins.

Slide 5 – Jagan Reddy Nellore:

Moving to slide 5, on

the positive side for our Carbon Segment , during last year, the Hon'ble Supreme Court of India delegated a review of its restrictions on the importation of Raw Petroleum Coke (or, "RPC") and CPC to the Commission for Air Quality Management (known as "CAQM "). CAQM has just

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Opening remarks for Q4 2023 Management Presentation

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recently, on February 15, 2024, submitted its findings. These include stepped increases to the allowable, annual importation quantities of RPC by Indian calciners and CPC by Indian aluminium smelters , in order to help feed aluminium smelting expansions. This will allow Indian calciners like RAIN to import more RPC in order to produce more CPC in India. In this order, we have also been granted relief to import GPC as feedstock and CPC product for blending at our SEZ, Special Economic Zone, shaft calcining facility. This relaxation in the imports of RPC and GPC should enable our calcination facilities to operate at optimum capacity including executing the global CPC blending strategy , as was done prior to the Indian import restrictions were put into place in mid -2018 . Though it will take some time to move forward with reestablishing this global GPC/CPC supply chain , we are very appreciative of receiving the relief granted by the Hon'ble CAQM . Currently, we are observing a variety of economic indicators across different world economies, presenting a mixed picture. In the United States, there is a sense of stability, and with it being an election year, there is even a possibility of a buoyant economy. Conversely, Europe is grappling with challenges stemming from inflationary pressures and ongoing conflicts. However, there is a silver lining in Europe as energy costs have returned to pre -war levels, which

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Opening remarks for Q4 2023 Management Presentation

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is expected to have a positive impact on the EU industry. In China, there are signs of a potential recession, although it remains uncertain how the central government will intervene to stimulate the economy. Despite these fluctuations, one notable positive factor is the sustained healthy LME aluminum price, which remains above \$2,000 per ton, offering optimism for the industry.

Regarding our Cement segment, demand continues to be reasonably strong in our primary South Indian market. The favorable price decline for the fuels required to produce cement, which were seen in the third quarter have continued into the fourth quarter, boosting our margins. The fuel price trend is expected to continue in the coming months. In addition, our Cement segment has increased its in-house generation of low-cost, clean electricity from our waste -heat and expanded, solar power plant capacity. Consuming more of this in-house electricity has also helped RAIN to improve operating margins in its Cement segment in the fourth quarter.

With this business update, I will now turn over the presentation to Gerry to take you through industry and other business updates on Slide 6 ...

Gerry.....

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Opening remarks for Q4 2023 Management Presentation

Slide 6 – Gerard Sweeney :

Thank you, Jagan, Hello, everyone. It is a pleasure to speak with you again. Moving on to slide 6, Market publications consistently project a positive outlook for the performance of aluminium, both in terms of production volume and price. Forecasts suggest that global aluminium production will be more robust over the next couple of years compared to the cumulative output of the past five years. This indicates a growing demand for our core Carbon products, CPC and CTP, which will be essential to support the expansion of smelters. We will be closely monitoring the development of smelters' consumption over the ne

xt several quarters in comparison to the aluminum market's capacity to absorb the additional CPC and CTP that will be introduced in India and elsewhere.

In recent quarters, there have been closures of aluminum smelters in Europe and North America, primarily due to regional cost pressures related to energy. However, this is not reflective of a decline in demand for our Carbon products. As new smelting capacities come online and begin operations, we anticipate a surge in demand for our key Carbon products, surpassing any lost volumes from closures.

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Opening remarks for Q4 2023 Management Presentation

Vigilant market monitoring coupled with the ability to make swift and appropriate proactive business decisions will be crucial in navigating this dynamic landscape.

Slide 7 – Gerry:

With regards to key commodity price trends and our business during the fourth quarter of 2023, the Carbon segment experienced a 7% decline in pricing offset by an increase of 7% in volumes .

The volume increase was primarily attributable to the CPC business, where volumes were up 16% over the third quarter . Despite this increase in CPC volume, margins were very thin with prices dropping another 7% compared to previous quarter and did not allow us to benefit profit -wise, except to move inventory .

Moving on to the distillation side of our Carbon segment, coal tar pitch volumes decreased by 11% in the fourth quarter compared to the previous quarter .

Pitch prices decreased by 7% in the fourth quarter , driven by aggressive price declines from China . Prices for our coal tar raw material dropped 12% in the same quarter , but we had to work off our existing inventories to catch up.

RAIN INDUSTRIES LIMITED

Opening remarks for Q4 2023 Management Presentation

In our Other Carbon Products category, volumes have increased by 3%, and prices increased by 7%.

Our Advanced Materials segment 's EBITDA was negative in the fourth quarter. This was disappointing after maintaining profitability for the prior three quarters, in this segment . This was driven by lower seasonal sales, under -absorption of fixed costs due to maintenance activities and weaker pricing driven by market quotations .

In the "Engineered Products " sub-category , CARBORES®, and our petroleum

based , PETRORES® were negatively impacted due to the situation in the Red Sea which increased shipping costs and reduced volumes. The largest volume impact to Engineered Products was related to our asphalt sealer base products which are not in high demand in the winter months, where volumes dropped approximately 6,000 metric tons compared to the third quarter . Looking at “Chemical Intermediates ,” our BTX and phthalic anhydride volumes were higher compared with the previous quarter due to a restart after maintenance shut down activities in the third quarter .

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Moving on to “Resins and Downstream Materials ” in our Advanced Materials segment , while volumes increased , prices fell primarily related to commodity price declines. Our HHCR facility continued to run smoothly , however , it did incur a prolonged shutdown due to the hydrogen plant being down for maintenance in the fourth quarter. Contrary to the disruptions which our Engineered Products business is experiencing from the Red Sea issues , we are benefiting from these same circumstances with our HHCR products , as we have seen increased regional pricing and new demand for our products. As we have noted in past discussions, most of our competition for these resins comes from Asia, through the Red Sea.

S

lide 8 – Gerry:

Moving to Slide 8 on Revenue by end-industry, as you can observe, the aluminium industry contributed about 4 8% of our consolidated revenues . The balance 52% is generated from varied industries including cement, steel, and carbon black. Over the last several years , our sales to the aluminium industry have remained in this range. With the recent relief we have received in India related to the petcoke import restrictions , we would expect the future share of sales to the alumin ium industry to increase most likely , as we return to our

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global blend strategy and more fully utilize our capacities globally. In fact , with this relief from import restrictions, our available calcining capacities now make us the largest merchant calcin ing company in the world. So, we are now the largest calciner as well as the largest coal tar pitch upcycler in the world.

With that, I will now turn the presentation to Srinivas, who will take you through the consolidated financial performance of RAIN on Slide 9.

Srinivas, over to you .

Slide 9 – Srinivasa Rao:

Thank you, Gerry and Hello everyone.

In the Fourth quarter of 2023, RAIN achieved consolidated net revenue of 40.79 billion Rupees compared to 54 .11 billion Rupees in the Fourth quarter of 2022, a decrease of 13 .32 billion Rupees . This resulted from a decrease in revenue of 13 .00 billion Rupees from our Carbon segment, a decrease of 0. 48 billion Rupees from our Advanced Materials segment offset by an increase of 0.16 billion Rupees from our Cement segment.

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RAIN's consolidated adjusted EBITDA decreased by 4.12 billion Rupees compared to the prior year. This resulted from a decrease in the Carbon segment of 4.87 billion Rupees, offset by an increase in the Advanced Materials segment of 0.67 billion Rupees and an increase in the Cement segment of 0.08 billion Rupees.

Slide 10 – Srinivasa Rao:

Moving to Slide 10, during the recent times, due to the ongoing geopolitical situations, macroeconomic factors, including rising interest rates and volatility in energy costs impacted the economic environment in which all our Five Cash Generating Units ("CGUs") operate across globe.

Due to these macroeconomic factors, the recoverable values in two of our CGUs are below their carrying values due to the increase in Weighted Average Cost of Capital (WACC) which is primarily driven by the significant increase in cost of capital by 150 -200 bps during the current year and increase in operating costs.

Considering the recoverable amounts based on fair value less cost of disposal and value-in-use estimates, the Group recognised a non-cash impairment charge towards Goodwill in Consolidated statement of profit and loss

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amounting to 5,606 million Rupees in Carbon – Calcination and 1,712 million Rupees in Carbon – Distillation.

On February 15, 2024, Commission for Air Quality Management, New Delhi has issued order giving relief to the petcoke import restrictions which was also considered in determining the impairment charge.

There could be increase in capacity utilisation and higher sales volumes which could result in improvement in performance of CGU of Carbon - Calcination. However, the Group would take additional time to implement the revised business strategy and the same is subject to normal implementation risks.

Slide 11 – Srinivasa Rao:

Moving to Slide 11,

Revenue from our Carbon segment was 29.33 billion Rupees for the quarter ended December 31, 2023, as compared to 42.33 billion Rupees for the same period last year.

During the quarter, sales volumes decreased due to

lower demand and delayed shipments. The average blended realisation decreased by ~ 26.8% on account of lower market quotations across all regions.

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There was an appreciation of the Euro against the Indian Rupee by about 6.8%, and an appreciation of the US Dollar against the Indian Rupee by about 1.3%. Overall, due to the aforesaid reasons, revenue from the Carbon segment decreased by about 30.7% in the fourth quarter of 2023, as compared to the fourth quarter of 2022.

Carbon segment Adjusted EBITDA decreased by 4, 870 million Rupees , as compared to the fourth quarter of 20 22, driven by lower volumes and margin compression due to delay in the reset of raw material costs in -line with fall in finished goods prices, which were partially offset by appreciation of the US Dollar and E uro against the Indian Rupee.

Slide 12 – Srinivasa Rao:

Turning to the next slide on the performance of Advanced Materi als.

Revenue from our Advanced Materials segment was 7.20 billion Rupees for the quarter ended December 31, 2023, as compared to 7.68 billion Rupees for the same quarter in 2022.

The increase in volumes was primarily driven by the timing of maintenance shutdowns. During the fourth quarter of 20 23, realisations decreased by 15. 4% due to fall in commodity prices and a change in product mix , offset by an

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appreciation of the Euro against the Indian Rupee by about 6.8%. Due to the aforesaid reasons, revenue from our Advanced Materials segment decreased by about 6.3% during the fourth quarter of 20 23, as compared to the fourth quarter or 20 22.

Adjusted EBITDA increased by 669 million Rupees as compared to the fourth quarter of 2022, due to increased volumes, reduced energy prices and appreciation of the Euro against the Indian Rupee.

Slide 13 – Srinivasa Rao:

Moving on the next slide on our Cement business ...

During the fourth quarter of 2023, cement revenue increased by 3.8% as compared to the fourth quarter of 20 22, due to increase s in volumes by 11.0% , offset by a decrease in realisations by 6.5%.

Our Cement segment Adjusted EBITDA increased by 85 million Rupees due to increased volumes and lower operating costs.

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Slide 14 – Srinivasa Rao:

Moving on the next slide on debt ...

During August 2023, the Group refinanced the long-term debt, extend ing maturity to September 2029 and October 2028 . During refinancing , the Group has repaid 81 million US Dollars in principle of long-term debt and an additional repayment of approximately 50 million US Dollars towards short -term debt.

From a liquidity perspective we ended the year with 237 million US dollars of undrawn credit fa cilities. Cash borrowing accounted for approximately 69% of the utilization , while letter of credits to support trade purchases accounted for the other 31%.

The Group spent approximately 72 million US dollars on its maintenance capital expenditure and plant turnarounds during the year ended December 31, 2023.

With that, I will now turn the Presentation to Mr. Jagan for closing remarks.

Closing Remarks – Jagan Reddy Nellore :

Thank you, Srinivas .

As we reflect on the challenges encountered during the fourth quarter, it is important to recognize that our earnings were impacted by the current market

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cycle, economic conditions, and the need to flush out expensive inventories. However, we want to instill confidence by emphasizing that these hurdles are temporary and do not signify a permanent shift in our trajectory. We firmly believe

that our earnings will gradually return to our historical levels in the forthcoming quarters. This optimistic outlook stems from several factors: firstly, as we work through the high-priced inventories, we anticipate a normalization of our earnings; secondly, we foresee a correction in raw material prices, further contributing to our financial recovery; and finally, we are preparing to realign our supply chains to accommodate the expected increase in the CPC production in India.

Throughout this down cycle, we have remained proactive in enhancing our cost efficiency. Our team has implemented significant and sustainable cost-saving measures, not only to safeguard our current earnings but also to fortify them for the future. We have undertaken initiatives such as consolidating corporate offices, optimizing operations, and streamlining our workforce. Moreover, amidst the challenges, we have discovered opportunities. One such advantage of a down cycle is the release of cash invested in the company's working capital. We experienced this positive influx during 2023, enabling us to strategically allocate these funds. Notably, we utilized a portion of these

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resources to reduce long-term debt during the refinancing completed in August, as well as to prepay required amortization payments to the term loan B lenders. In total, debt was reduced about 130 million US dollars compared to year end 2022.

In closing, I want to reiterate that we are building a portfolio of innovative products that not only meet the changing needs of society, but actively shape a better tomorrow. We are talking cleaner, greener solutions for green steel, energy-efficient batteries, and hygiene products that prioritize public health and wellbeing. This is not just about selling products; it is about contributing to a future where technology and sustainability go hand-in-hand. With this vision as our guide, we are confident in not only securing our own company's future, but also playing a vital role in building a cleaner, healthier world for everyone. Thank you for your continued interest in RAIN Industries Limited, and we look forward to next quarter's presentation.

Call: May 2024

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RIL/SEs/2024 May 21, 2024

The General Manager
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East,
Mumbai – 400 051

Dear Sir/ Madam,

Sub: Transcript of Management Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the First Quarter ended March 31, 2024 – Reg.

Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, please find enclosed herewith the Transcript of Management Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the First Quarter ended March 31, 2024.

This is for your kind information and record.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

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Good day ladies and gentlemen .

This is Saranga Pani , General Manager Corporate Reporting and Investor Relations at RAIN Industries Limited . Welcome to the RAIN Industries Limited Q&A session for the First quarter of 2024 .

With me on the call today are :

- Mr. Jagan Reddy Nellore – Vice Chairman of RAIN Industries Limited.
- Mr. Gerard Sweeney – President of RAIN Carbon Inc.; and
- Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited

Following the Earnings Presentation and Management Commentary that we released on May 9, 2024, we have been receiving questions from certain investors and analysts regarding industry developments and the

status of our expansion projects. Accordingly, RAIN Management will be addressing those questions in today's call .

Before we begin, management would like to mention during this call, we may touch upon forward -looking statements, which encompass diverse topics such as performance, trends, objectives, and strategies. Please be aware that these statements are rooted in our current expectations and may be influenced by potential risks and uncertainties. Certain factors could potentially lead to outcomes differing from those predicted by these forward -looking statements.

With that, we will now start the discussion.

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Sarang

Gerry, the first question is with regard to our Carbon volumes . We have seen one of the weakest quarters for RAIN in terms of volumes in the recent past. Can we make up for the lost volume of CPC observed in Q1 in the remaining quarters?

Gerard Sweeney

Thanks, Sarang. The first quarter of 2024 was the lowest in terms of volumes in the CPC business in the recent past. The delay in shipments was a combination of several factors. Customers worldwide were destocking throughout second half into Q1 , after carrying extra stocks for the past couple of years , due to continually rising prices . In essence, the mentality pivoted to, "Why would I commit to more volume than I absolutely need right now, when I know, the price is continuing to fall ? This was especially the case in India, where several other factors played into the market causing smelters to pause on their decision making, further complicating the situation. Indian smelters were dealing with our Q1 as their fiscal Q4, which is historically a destocking quarter . Also, the smelters were waiting for the official ruling of Hon'ble Commission for Air Quality Management or CAQM that was to be issued under the directives of the Hon'ble Supreme Court of India . All knew change was coming, but without a clear understanding of the outcome, buyers were extremely cautious

in

committing to volumes. The CAQM order was ultimately released in February 2024 that has provided better comfort for the industry to move forward. While this timing and market uncertainty resulted in reduced sales volume, the surge in aluminum prices —reaching US\$2500 and beyond in April —provides a critical factor for optimism. We anticipate

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stability in volumes during the remainder of the year but do not anticipate making up these Q1 volumes .

Sarang

Thanks Gerry . The next question is: What is the management view on the current situation of Chinese side in terms of exports and pricing? Do you think that situation has bottomed out, or is there a risk , that there is continued irrational behavior there?

Gerard Sweeney

It is a good question. I want to be clear here . While no one likes that the Chinese Calciners dropped the market, the market was due for a correction, and they were not irrational in the way they continually dropped their prices . The Chinese were caught with roughly 5 million MT of GPC when the market collapsed . Instead of dealing with it as we have through NRV adjustments and several quarters of reduced margins, they left that material in their ports and imported new lower cost GPC and processed that material . This resulted in an instant reinstatement of margins and competitive edge . They will need to deal with the high -priced inventories at some point in the future, but it created a huge arbitrage that we have been trying to deal with over the last several quarters . This is what renders this period truly distinctive .

This situation also played out in Europe, where integrated refinery producers of CPC, simply process their own production of GPC . So, they simply take the GPC product at immediate market price, so bear no exposure from the cost perspective .

Encouragingly, we have observed a substantial reduction in this arbitrage. From once towering above \$100 per ton, we now predominantly observe worldwide pricing nearing parity or achieving it outright.

Sarang

Are the issues around the Lake Charles Power Plant outage behind us?

Gerard Sweeney

For clarity's sake, the unexpected outage in our power plant was caused by power surge multiple times during a storm locally . It tripped the turbine causing rather extensive damage, which is taking the better part of 6 months to correct . We anticipate completing the repairs in the coming months and being back online early in the second half . This event is fully insurable, but obviously we would prefer to be back online asap.

Sarang

The next question is , can we take it that based on the current market trend, margins will normalise for second half of 2024. Is that the right understanding and direction from management?

Gerard Sweeney

We typically refrain from offering explicit guidance on future earnings . I will however provide some context. We anticipate that unit margins on our global CPC products will gradually normalize during the second half.

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Sarang

With the blast furnace capacities decreasing worldwide and the EAF capacities increasing, how is that dynamic playing out for our company? Is it a net negative or a net positive?

Gerard Sweeney

There are two distinct paths to steel production: Blast Furnaces vs. Electric Arc Furnaces

Blast Furnaces with their roots tracing back to ancient China, represent the more traditional approach to steel production. In modern blast furnaces, coke (or purified coal) plays a pivotal role. It melts iron ore, yielding pig iron. To refine the steel, oxygen is injected into the furnace. This process reduces the carbon content and eliminates impurities. While blast furnaces are effective, they occupy significant space and emit substantial carbon dioxide. However, they produce excellent quality steel.

Integrated Steel Mills are the mainstay of our coal tar raw material supply .

So here, we are affected by the reduction in output . This is why we have made significant investment over the last several years to pivot to the use of alternate tar compounds, bolstering our supply worldwide .

Electric Arc Furnaces or EAFs are a newer incarnation of metallurgical furnaces, which derive their power from electricity. These furnaces melt scrap metal and recycled materials by passing electric current through graphite electrodes. The resulting electric arc generates intense heat, melting the furnace's contents. EAFs boast rapid production capabilities

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and typically have the benefit of lower initial cost compared to blast furnaces.

The rising adoption of electric arc furnaces will drive demand for graphite

electrodes, which rely on coal tar pitch during their manufacturing process. In summary, the utilization of electric arc furnaces offers distinct advantages, making them a beneficial choice for RAIN.

Sarang

Our next question is : What is the overall impact of Red Sea crisis on RAIN , as we have noted in opening remarks that it has both positive and negative effect on us .

Gerard Sweeney

In regard to the impact of the Red Sea Crisis on us, we have not exactly quantified the effects precisely. I would say it is an overall positive impact on us and will outline both the positive and negative aspects.

The positive impact is that the crisis has sparked increased demand for our Hydrogenated Hydrocarbon Resin or HHCR products in the Advanced Materials segment. As you may be aware , as a result of our delayed and then operating reliability issues, we had teething troubles in stabilization of the operations . This was in a difficult market where Chinese producers were being aggressive on pricing . Since the Red Sea crisis however, European and Mediterranean buyers have seen the reliable availability of our production and are favoring our local products over those from Asia . During the first quarter, we observed a surge in volumes from this segment, directly benefiting our top line. Additionally, more normalized energy prices after the Russian energy crisis, have allowed us to lower costs .

On the flip side, we mostly felt reduced demand on our Engineered products in the Advanced Materials segment due to Red Sea issues . Likewise, the disruptions in container traffic channels led to lower volumes for supply into Asia . These products are remarkably high value and critical to lithium -ion battery production in Asia, as a result they are now finding them away around these issues because they can absorb the added container cost. While the Red Sea Crisis has presented both opportunities and obstacles, our strategic adaptability and resilience will guide us through these turbulent waters.

Sarang

Can you quantify the expected smelter restarts in Europe and North America and the timeline for the same?

Gerard Sweeney

At this point, we cannot quantify or put a timeline on smelter restarts or new builds, as these are dependent on our smelter partners. They certainly will not affect the demand for this year .

Sarang

Our next question is on Advanced Materials segment: Can you provide more details regarding the engineered products segment? Is the demand back to where it was some quarters ago? Are we planning any capacity increase in that segment?

Gerard Sweeney

In our recent earnings presentation, we highlighted the performance of our Engineered product segment. Notably, this segment outperformed Q4 in terms of volumes , but is not completely back on volumes to last year . We observed an uptick in both our Carbores and Petrores products, despite the Red Sea over the past quarters . There remains room for improvement though, in pricing. While it has remained relatively flat over the last 1 -2 quarters, we are actively working to enhance it further.

On the positive side, our HHCR capacity utilization is showing signs of improvement across successive quarters now. We anticipate this trend to continue as the European Economy gradually normalizes. Factors such as lower inflation rates and reduced energy costs contribute to our optimism. Consequently, we expect increased demand for these products, leading to improved capacity utilization.

Sarang

Thank you , Gerry . We now have a few questions for Jagan. The first question is relating to the India CPC business. What is the status regarding the ramp up of the Indian CPC plant? Are we seeing the benefit from the CAQM order as expected in February 2024. Can we expect additional volumes starting from Q2 itself?

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Jagan Nellore

Thanks, Sarang. To start with, we received the CAQM order in mid-February 2024 with increase in the allocation limits of GPC to calciners from existing 1.4 million tonnes to 1.9 million tonnes from fiscal year beginning April 2024 onwards. This will benefit the DTA plant which was operating at approximately 50% capacity for the past few years. We have already witnessed this in the preliminary allocation by DGFT for FY 2024 - 25 during April 2024. However, the second part of the order regarding the approval for allocation for the SEZ Unit, it is still under implementation stage where certain approvals from authorities are in progress, and we expect the process to get completed at the earliest. Once the CAQM Order passed under the directions of the Hon'ble Supreme Court of India is implemented, we can see the increase in volumes from the India business.

Sarang

Thanks Jagan. Moving on to the next question , With the ramp up of HHCR in Germany and SEZ in India, how are we managing the cash requirements - both for working capital and stabilisation cost for these plants.

Jagan Nellore

We have made all necessary preparations to ramp up production at both plants - HHCR in Germany and SEZ CPC plant in India. Currently, we are awaiting the required approvals for the SEZ Plant in India and anticipating a surge in demand for HHCR in Germany. Fortunately, we do not foresee

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any significant investments needed to stabilize these new facilities. Additionally, due to the recent decrease in raw material and finished goods prices, our existing working capital should be sufficient for meeting the incremental funding requirements.

Sarang

Moving on to the next question, what the capex is planned for 2024.

Jagan Nellore

Over the past couple of years, our management and Board have maintained a cautious approach when it comes to major capital expenditures. As you may have observed, there have been minimal new capital outlays during this period, despite several proposals being in the pipeline. Our primary objective remains debt reduction in the near future.

However, it is essential to emphasize that maintaining our existing plants requires ongoing maintenance capital expenditures. Approximately US \$70-75 million per annum is allocated for this purpose. This investment ensures the smooth operation and longevity of our facilities.

Sarang

Moving on to the next question, we are expecting a 50% capacity

utilisation in our HHCR facility by the end of the year. What is stopping us from ramping the capacity faster? Is it mainly to do with the stability of the plant or is it more of a demand issue?

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Jagan Nellore

As previously discussed, HHCR products are high-quality and environmentally friendly that meet the requirements of our diverse clientele across various industries. However, it is essential to acknowledge that HHCR is an energy-intensive product, and cost-effective production remains a critical goal.

Over the past two years, we have grappled with a significant challenge: the soaring energy prices. This surge has directly impacted our plant's operational capaci

ty. Notably, some of our competitors in the European region have either permanently or temporarily shut down their plants due to the same energy-related concerns.

But there is good news on the horizon. Energy prices are gradually returning to pre-spike levels, and recent developments—such as the Red Sea crisis—have led to increased demand. As a result, we are strategically ramping up our plant's capacity to 50% for the time being. Our long-term plan involves a gradual production increase to 70-80%, all while carefully navigating the volatile market dynamics.

As you are aware, balancing supply and demand are crucial. We aim to avoid situations where excessive inventory outpaces demand, adversely affecting pricing. Moreover, the preference of the European players to source locally rather than from China bodes well for our stability and sustained demand growth. Our commitment to quality, efficiency, and adaptability positions us well for the future.

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Sarang

Moving on to the next question, can you provide some guidance on the improvement/performance of Cement EBITDA in 2024

Jagan Nellore

As we analyze the current trends and future prospects, we discover a landscape shaped by both challenges and opportunities for the Indian Cement Industry, which is on an upward trajectory. According to a recent Crisil report, we can expect moderate growth of 4-6% in the fiscal year 2024-25. However, this growth comes against the backdrop of a high base set by the previous three fiscal years. Rising raw material costs pose a challenge that the industry must navigate.

Encouragingly, power and fuel costs for the cement sector are projected to decrease by 13-15% in the current fiscal year. This reduction is attributed to softening coal prices. Such cost optimization measures are crucial for sustaining growth and profitability. Adding to this, as mentioned in our earnings presentation, our expanded solar electricity generation to the existing waste-heat power generation, will not only reduce the carbon footprint but also reduce our overall cost of production.

India's cement industry is gearing up for expansion. Over the next five fiscal years, it aims to augment its capacity by a staggering 150-160 million tonnes per annum. This strategic move is fueled by the anticipation of increased demand from the infrastructure and housing sectors.

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Currently, the industry has a manufacturing capacity of 595 million tonnes per annum. Notably, approximately 119 million tonnes per annum were added in the previous five fiscal years, reflecting the industry's commitment to growth.

The demand for cement is poised to surge in the current fiscal year due to the government's unwavering focus on two critical areas: Affordable Housing and Infrastructure Development . Despite the positive outlook, we must acknowledge the realities. Incremental supply and intense competition have led to lower realizations . In the near term, we will need to navigate these challenges while capitalizing on growth opportunities that will have an impact on the EBITDA .

Sarang

Thanks Jagan. Our final set of questions are for Srinivas.

With US \$ 50 million SSN due in April 2025 (becoming short -term in nature), what is the plan/source from the management in repaying the debt. Also, can you provide some guidance on overall debt reduction by management over the next 1 -2 years.

Srinivasa Rao

Thanks, Sarang. We are sitting with a liquidity position of US\$ 473 million as at the quarter end March 2024 which include cash balance of approximately US\$ 240 million and balance relating to the undrawn credit facilities. As mentioned in the earlier calls, we are moving from the high price market to the downfall cycle which will benefit us from the working capital release point of view and increase in the cash inflows. The US\$ 50 million note is due in

April 2025 which is the lowest cost debt in our entire capital structure. We are vigilant about the same and are confident in repaying the same on the due date , without making any incremental borrowing . Just to add, during our refinancing in August 2023 , we have reduced the overall debt by around US\$ 130 million (\$80 million of long-term debt and \$50 million of short -term debt) . Post refinancing, we have repaid approximately Euro 10 million of Term loan B in Germany in the fourth quarter of 2023. In addition, we also repaid Euro 33 million in April 2024 totaling to reduction of approximately Euro 43 million till date post refinancing the overall debt.

Sarang

On page 11 of the investor presentation, our cash outflow from financing activities is Indian Rupees 521 Crore . With our interest payment being Indian Rupees 235 Crore and debt repayment of Indian Rupees 8 Crore , what relates to the remaining outflow?

Srinivasa Rao

Just to clarify in detail, the interest expense of Indian Rupees 235 Crore in the income statement is based on accrual basis whereas in the cash flow statement, the outflow of interest payment is based on actual cash movement, which can be higher or lower than accrual. In the current quarter, there was an interest payment/outflow of Indian Rupees 345 Crore in the financing activities as the interest was due for payment on half-yearly basis on the Senior Secured Notes in US (in March and September). Apart from that, there was interest on lease liabilities

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payment amounting to Indian Rupees 25 Crore during the quarter and repayment of non -current borrowing amounting to Indian Rupees 8 Crore. The balance amount majorly relating to distribution of dividend to minority shareholders during the quarter, as mentioned in our unaudited financial results point 5 in the notes to accounts, which is also classified as financing cash outflows .

Sarang

Our next question is on the Effective Tax Rate (ETR). What is our consolidated effective tax rate? Are there ways to optimise our tax outflow? Last year, our tax outflow was Indian Rupees 344 Crore with our adjusted profit after tax being Indian Rupees 153 Crore ?

Srinivasa Rao

This is a good question. Based on the entities / locations , we operate across globe and the enacted tax rates at respective jurisdictions, our global effective tax rate (ETR) should be in the range of 30 -32%. However, as we mentioned in earlier earnings calls , we are not recognizing the deferred tax assets in Germany on the tax attributes like un-claimed interest expense carry forward and unabsorbed tax losses carry forward due to the accounting standards restrictions in certain situations. Similar is the case in US, post the Tax Cuts and Jobs Act in 2017, where there is limitation in the interest expense allowance, certain deferred tax asset portion were un-recognised. Also, with few entities in profit with low tax rate and few entities in losses with high tax rate, will have impact on the overall ETR for the group .

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Sarang

Our next question is during the closing remarks, in the last slide of the presentation, it was mentioned that the focus for 2024 was cost control. Also, in the call it was mentioned that some initiatives were taken in this regard already. Can you elaborate on the same.

Srinivasa Rao

As mentioned by Mr. Jagan during the earnings presentation discussion, we cannot control the markets, but we can control our costs. During this down cycle where the prices are falling from the abnormal range, we see more pressure on the margins and unlike our earlier cycles, which lasted for 2-3 quarters, we are seeing this for a longer period. During this tough situation, management is diligently working on various initiatives to reduce the cost , which we can , by some proactive steps. The measures we have taken are like consolidating corporate offices, reduction

of manpower , reduction in the travel costs, optimizing the operational performances etc. We should see the benefit of these in the coming periods .

Sarang

Our next question is , we are sitting with a cash position of approximately US\$ 240 million. What are the management plans in optimizing the same. Are we generating any treasury income on the same and where is it reported in the Statement of Profit and Loss ? Also, what is the management strategy in utilizing the same when we are sitting on the high debt in the books.

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Srinivasa Rao

This is a good question. If we see the debt in the Group, it is mostly residing in US and Germany in the form of Senior Secured Notes and Term Loan B, respectively. However, the cash balance of US\$ 240 million is in various geographies that we operate including India, US, Germany , Canada and Belgium. There are tax implications if we want to move the funds from one geography to other and also considering the maintenance capex and other working capital requirements, we maintain minimum cash balance required at each entity. If any excess funds are available , they are generally invested in fixed deposits on which we earn an interest income depending on the various geographies. The interest income is presented in financial line item of "other income" in the Statement of Profit and Loss. Just to add, we generated an income of Indian Rupees 1,212 million for the year ended December 31, 2023, and Indian Rupees 476 million for the quarter ended March 31, 2024.

Sarang

Our last question for today is, during last quarter there were additional one-time finance costs that were expensed off. Hence current quarter finance cost should have been lower by approximately INR 30 crores, but it was not the case. Any reason? And what would be the steady state finance cost per quarter?

Srinivasa Rao

We have completed the refinancing in August 2023 and hence there was a one-time additional impact of Indian Rupees 347 million on account of charge off of deferred finance cost relating to prior refinancing during Third quarter of 2023. As the refinancing got completed in mid of Q3, we have seen partial effect of increase in interest expense during that period.

During fourth quarter of 2023, we have seen the first-time full impact of increase in interest expense on the overall debt. Hence the interest cost was Indian Rupees 242 Crores in Q3 and 245 Crores in Q4 of 2023. In Q1 of 2024, we have interest expense cost of Indian Rupees 235 Crores which reduced due to partial reduction of Term Loan B to the extent of Euro 10 million. Based on current position, we expect the interest cost to continue in the same range and may reduce further in future based on reduction in overall debt.

Thank you, Srinivas, Jagan and Gerry.

Ladies and gentlemen, this concludes RAIN's Management Q&A session for the First quarter of 2024.

Call: Aug 2024

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RIL/SEs/2024 August 6, 2024

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Department of Corporate Services
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Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
The National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of Management Presentation – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, please find enclosed herewith the Transcript of Management Presentation on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the second quarter and half year ended June 30, 2024.

This is for your information and records.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

Page 1 of 23
Introduction by Sarang

Greetings to everyone. A warm welcome to you all for today's Management presentation from RAIN Industries Limited. My name is Sarang Pani, and I serve as the General Manager of Corporate Reporting and Investor Relations at Rain Industries Limited.

Earlier today, we have released our results for the quarter and half year -end June 30, 2024, and the same is also posted on our website.

Shortly, we will guide you through the performance highlights of RAIN Industries Limited for the Second Quarter of 2024.

The speakers for today are:

Mr. Jagan Reddy Nellore – Vice Chairman of RAIN Industries Limited,

Mr. Gerard Sweeney – President of RAIN Carbon Inc., and

Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited.

Before we proceed, the management would like to note that during this management discussion, forward-looking statements may be discussed that include various subjects such as outcomes, trends, targets, and strategic directions. These statements rely on our current projections and are subject to risks and uncertainties that could cause actual results to vary materially from those suggested by these forward-looking statements. There are

Page 2 of 23

certain risk factors that could lead to results differing significantly from our predictions. The discussion today contains certain non-GAAP financial measures; the related non-GAAP reconciliations are provided in the accompanying slides.

Please turn to Slide 3 at this time, where Mr. Jagan Reddy will offer insight into the key developments at the RAIN Group during the Second Quarter of 2024. Thank you, and I now hand it over to Mr. Jagan.

Slide 3 – Jagan Reddy Nellore:

Thank you Sarang and greetings to all,

As we turn our attention to Slide 3, let us start with a focus on safety. At the end of second quarter, our Carbon and Advanced Materials segments reported a year-to-date Total Recordable Incident Rate (or, TRIR) of 0.22 as per OSHA guidelines. During the second quarter, these segments encountered only a single recordable incident involving a muscle strain due to manual labor within one of our facilities. Such incidents are regrettably common, highlighting the risks associated with physical overexertion and the importance of our program to continuously re-train our colleagues on the importance of prioritizing

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their physical well-being. Consistent with our prior discussions, our dedication to safety is steadfast. Our safety programs are being continuously refined to meet the changing patterns observed in our operations and the wider industry. During the course of 2024, we are also pleased to announce that we are implementing OSHA reporting guidelines to our Cement segment, so that all three of RAIN's s

egments

will be able to report common, global safety statistics very soon.

Regarding financials, the second quarter concluded with an EBITDA of 4.9 billion Rupees, marking progress towards more normalised levels of earnings, despite being below the average historical performance. The improvement was unexpected and due, in part, to customers accelerating certain shipments, particularly within our distillation sector, thus shifting sales from the third quarter into the second quarter. Initially, this suggested a possibility of increased demand and subsequent order growth for the remainder of the year. However, this does not seem to be the case. There has been no uptick in orders for the second half of the year. Essentially, the accelerated second-quarter shipments have merely preponed revenue ahead of the third quarter. In line with

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previous projections, we continue to expect gradual recovery towards normalized earnings but do not foresee achieving this until the first quarter of 2025.

In the second quarter, we saw welcome progress with the restoration of margins in our Carbon segment. We are now approaching the margin levels we have historically achieved for our two primary carbon products: calcined petroleum coke (or, CPC) and coal tar pitch (or, CTP), after a sustained period where margins were narrowed. This shift is encouraging and results from two main developments. Initially, the margin contraction that affected CPC and CTP has leveled out. Despite a phase of improved realizations throughout 2021 and 2022, a decline

began in the second quarter of 2023 which presented substantial challenges to maintaining stable prices for our products. Prices have now largely equalized after persistently navigating through a pricing arbitrage exceeding \$100 over several financial quarters.

The second notable factor aiding in this stabilization of margins is related to the costs of our raw materials. We have succeeded in aligning

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our raw material expenses more closely with the selling prices of CPC and CTP, our major products in the Carbon segment .

Our most significant challenge going forward is increasing the volumes of our key Carbon -segment products CPC and CTP . While this effort will require time, it underpins why we are projecting a timeline continuing into the first quarter of 2025 to regain our historical range of earnings within this business segment .

Despite ongoing challenges with volume s in our Carbon segment , we observed an EBITDA margin of approximately 12 -14% in the second quarter, approaching our usual range —an enhancement from the first quarter's EBITDA margin range of 8 -10%. The pricing in the CPC market within the Carbon segment is under continuing downward pressure . However, we anticipate that any additional price declines will be offset by decreases in the cost of raw materials.

We are also pleased to inform you that the Regulatory Authorities in India have allowed import of Green Petroleum Coke (or, GPC) in line

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with the Order from the Hon'ble Commission for Air Quality Management (or, CAQM) which was passed under the directions of the Hon'ble Supreme Court of India for our Special Economic Zone (or, SEZ) Unit in Visakhapatnam . This will enable us to increase production at our SEZ unit to its full capacity by the end of calendar year 2024. However, we are still awaiting the permission of the Regulatory Authorities for import CPC into our SEZ unit for blending, in accordance with the import permission which was granted by CAQM in their Order .

Importantly, our sales volume of CPC in the second quarter of 2024 marked a substantial rise compared to both the preceding quarter and the same quarter of the previous year. Our efforts remain concentrated on further expanding our global sales volumes of CPC, which have already rebounded in India during the second quarter

, in line with our

expectations. Global aluminum industry forecasts continue to be strong, with aluminum prices around the \$2,500 level, supported by relatively low energy costs and anticipations of a robust worldwide economy throughout the rest of the year.

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Regarding our Carbon segment's distillation operations, product prices reached a point of stability during this quarter, even as supply volume pressures escalated. Current trends in aluminum prices , coupled with the recent, previously mentioned , advantageous decisions in India , which favor improvements in our CPC capacity utilization there , are contributing to an increased market confidence in our vital Carbon segment markets. As we progress into the latter half of 2024, our improved margin performance instills confidence for a projected resumption of normalized margins in forthcoming quarters. This potential upswing contrasts with the past year -and-a-half of waning global industrial activities.

Our Advanced Materials segment has shown consecutive quarters of increased volumes and profitability, propelled by declining natural gas costs and surging demand, especially in our HHCR resins business , based in Europe . We are exceptionally satisfied with these developments, which stem in part from shipping complications in the

Red Sea. These disruptions have led many European customers to reconsider the long-term consistency and dependability of their
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historical supply chains rooted in Asia. Consequently, we are not only expanding our sales in Europe but also broadening our customer network.

Globally, economic indicators remain largely positive until date. In the United States, economic resilience persists, despite recent inflationary pressures, reflecting continued strong consumer spending on goods and housing. Europe is seeing a reduction in energy prices approaching those seen before the conflict in Ukraine, coupled with recovery indicators in the industrial sector. China recently conducted its central convention to set its economic directives for the next five years. It is premature for concrete conclusions, but it is expected that some fiscal stimulus measures were planned.

We remain optimistic that RAIN has the capability to navigate through difficulties in this segment and capitalize on new prospects.

Regarding our Cement segment, the industry in India has experienced modest growth of 2-3% this quarter due to a slowdown in construction
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activities during the general elections. Nonetheless, external reports forecast a 7-8% annual increase in cement volumes for the fiscal year 2024-25, fueled by consistent demand from infrastructure and housing sectors. Post-elections, the government's allocation of significant development funds for infrastructure, approval of more housing schemes, along with industrial expansion throughout India—especially given the government stability in Andhra Pradesh, which is keen on developing and constructing its state capital—should enhance cement demand in southern India. Recent industry analysis predicts that between 63 and 70 Million tonnes of new production capacity will be added to the cement industry in India over the fiscal years 2024-25 and 2025-26, about 33-35 Million tonnes of which is anticipated in Fiscal Year 2024-25 itself. Capacity utilization is also projected to increase to 71% in Fiscal Year 2024-25, up from 70% in Fiscal Year 2023-24, propelled by rising cement volumes.

Considering these circumstances, we are hopeful about RAIN's ability to manage any challenges ahead in our Cement segment and leverage potential opportunities.

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Now, I will hand over the presentation to Gerry who will provide further updates on the industry and our business on Slide 4...

Gerry.....

Slide 4 – Gerard Sweeney :

Thank you, Jagan, Hello, everyone. It is a pleasure to speak with you

again.

Proceeding to slide 4, industry reports are predicting a favorable trend for aluminum's market performance, countering the previously observed decline in prices and customer demand. Projections indicate that the worldwide production of aluminum is expected to strengthen over the next few years, surpassing the total production of the last five years.

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Slide 5 – Gerry:

As we look at slide 5, in terms of key commodity price movements and

their impact on our business for the second quarter of 2024, we noticed an increase, particularly in Benzene prices. This rise benefitted portions of our liquid businesses in our Advanced Materials segment and the "Other Carbon Products " category of our Carbon segment . Our Carbon segment experienced a 20% surge in volume growth during the second quarter , although prices for that segment's Calcined Petroleum Coke (or, CPC) and Coal Tar Pitch (or, CTP) remained relatively stable or saw a slight decline.

In the CPC market, there was a rebound in demand both in India and the US, recovering from what we missed in the first quarter. Regarding CPC pricing, we observed a drop in raw material costs that aligned with declining CPC prices. Interestingly, this was the first occurrence since the peak of CPC prices.

Moving to the distillation part of our Carbon segment, CTP sales

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volumes stayed unchanged from the first quarter, while CTP prices witnessed a 6% decrease in the second quarter, which followed a 10% decrease in the first quarter due to substantial resistance to pricing.

Our coal tar raw material prices showed minor change during this same period. In other areas of our Carbon segment, specifically within its "Other Carbon Products " category, we saw a marginal increase in both volumes and pricing when compared to the previous quarter.

We are also happy to announce that o ur Advanced Materials segment maintained its strong EBITDA performance into the second consecutive quarter, with volumes exceeding our expectations. Following an optimistic start in the first quarter, we continued to see an upward trajectory in both pricin g and volume.

In the "Engineered Products" category of our Advanced Materials sector, the quantities of both CARBORES® and also petroleum -derived PETRORES®, remained comparatively unchanged following a

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significant uptick in the first quarter, with prices also remaining steady.

Within the "Chemical Intermediates" category of this segment , our BTX products experienced stable volumes with an uptick in pricing, whereas the volumes for phthalic anhydride declined as prices rose.

Turning our attention to the "Resins and Downstream Materials" category within the Advanced Materials segment , there was minor change in both volume and price compared to the previous quarter. Although the disruptions in Red Sea ship ping routes adversely affected the volume of products from our "Engineered Products" business in Asia, the se same adverse events have conversely been advantageous for our "Resins and Downstream Materials" category in Europe. The region has shown increased demand for our HHCR materials, regarded as "made -in-Europe". Clients in Europe and the Mediterranean are recognizing the dependability advantage of sourcing from RAIN's lo cal production of HHCR, especially following another supply chain issue affecting the ir alternative supplies from Asia.

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Slide 6 – Gerry:

On Slide 6, which focuses on revenue distribution by end -industry, you will see that the aluminium sector accounted for approximately 42% of our total consolidated revenues on a Last Twelve Months (or, LTM) basis as of June 2024. This marks a 6% decline from Calendar Year 2023, mainly due to diminished volume in our Carbon Calcination business in the first quarter of 2024. We anticipate a rebound to the

usual range of 4 3% to 44% by the close of 2024. Our remaining revenue streams come from various industries, including the important construction and carbon black sectors.

I will now hand over the presentation to Srinivas, who will discuss RAIN's consolidated financial performance on Slide 7.

Srinivas, the floor is yours.

Slide 7 – Srinivasa Rao:

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Thank you, Gerry, and Hello everyone.

During the second quarter of 2024, RAIN reported a consolidated net revenue of 40.56 billion Rupees marking a 5.65 billion Rupees reduction from 46.21 billion Rupees during the same period in 2023. The downturn was primarily due to a 5.58 billion Rupees revenue fall in our Carbon segment and a 0.53 billion Rupees drop in our Cement segment, partially mitigated by a 0.46 billion Rupees rise in our Advanced Materials segment.

Furthermore, RAIN experienced a decrease in consolidated adjusted EBITDA by 1.85 billion Rupees compared to the previous year, attributed to a 1.78 billion Rupees reduction in the Carbon segment, a 0.06 billion Rupees reduction in the Cement segment, and a 0.01 billion Rupees decline in the Advanced Materials segment.

Slide 8 – Srinivasa Rao:

Moving to Slide 8, we can see that, for the quarter ending on June 30, 2024, our Carbon segment reported revenue of 27.95 billion Rupees, a decrease from 33.53 billion Rupees during the same period in the previous year.

This quarter's increase in sales volume, however, was mostly attributed to a rise in our CPC volumes. Customers from Asia and the Middle East restocked during this quarter following a destocking period in the first quarter of 2024, and some shipments slated for the third quarter were brought forward. However, in the second quarter of 2024, there was a ~24.1% reduction in average blended realization due to lower market prices across all geographical areas. Currency fluctuations saw the Euro appreciate by ~0.4%, and the US Dollar by ~1.5%, both against the Indian Rupee. Consequently, revenues from the Carbon segment saw a ~16.6% year-over-year decline in the second quarter of 2024 for the reasons mentioned.

The Adjusted EBITDA for the Carbon segment fell by ₹1,779 million compared to the second quarter of the previous calendar year. The primary causes were delays in adjusting raw material costs to align with drops in finished goods prices. This impact was partially mitigated by higher volumes and the strengthening of both the US Dollar and the Euro against the Indian Rupee.

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Slide 9 – Srinivasa Rao:

Moving on to slide nine, we can see the Advanced Materials segment's performance.

During the quarter ending June 30, 2024, our Advanced Materials segment earned revenues totaling 9.40 billion Rupees, which is an increase from the 8.94 billion Rupees generated during the same period last year.

The uptick in our BTX sales stuck to the expected quarterly patterns, with additional boosts in this segment coming from elevated HHCR sales volumes. These were due to the previously mentioned supply chain interruptions of many European and Mediterranean customers in their historical Asian supplies, caused by the Red Sea crisis. Our consistent and reliable HHCR production volumes in our European plant underpinned and supported the increased sales demand from

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customers for our HHCR materials. In the second quarter of 2024, despite a 16.1% drop in average selling prices, revenue growth in this segment was partially mitigated by the Euro appreciating against the Indian Rupee by approximately 0.4%. Consequently, revenues for the Advanced Materials sector saw an approximate rise of 5.2% in the second quarter of 2024 in comparison to the same quarter the previous year.

Adjusted EBITDA fell by 9 million Rupees in contrast to the second quarter of 2023, as lower average selling prices were somewhat compensated for

by higher volume sales and the strengthening of the Euro relative to the Indian Rupee.

Slide 10 – Srinivasa Rao:

Moving on to slide 10, we can look at our Cement segment, which experienced a 14.3% decline in revenue in the second quarter of 2024 compared to the same period in 2023, attributable to an 8.0% fall in realizations and a 6.8% reduction in volumes.

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The Adjusted EBITDA for our Cement segment saw a downturn of 59 million Rupees, as lower realizations were compounded by rising operating expenses.

Slide 11 – Srinivasa Rao:

Moving on the next slide on debt, slide 11.

The second quarter concluded with a gross debt of 970 million US dollars, which includes working capital debt of 117 million dollars. The net debt stood at 747 million dollars, and, with an LTM EBITDA of 177 million dollars, our net debt to EBITDA ratio was 4.2x. Over the next few quarters, as performance improves and debts are paid down, we anticipate this leverage ratio to gradually approach 3.0x.

During the span of the past six months, our Euro-denominated Term Loan saw a reduction by 48 million US Dollars, driven by 35 million dollars in repayments and the remaining 13 million dollars ascribed to the foreign exchange impact due to US dollar / Euro fluctuations.

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In terms of liquidity, we closed the quarter with 432 million dollars, comprised of a 206 million dollar cash balance and 226 million dollars available in undrawn credit facilities.

The Group allocated roughly 35 million dollars for maintenance capital expenditures and plant turnarounds in the first half of 2024.

I will now pass over the presentation to Mr. Jagan for his concluding remarks.

Closing Remarks – Jagan Reddy Nellore:

Thank you, Srinivas.

Reflecting on the first half of 2024, we have observed sustained margin pressures in our Carbon segment, continuing from 2023. Nonetheless, signs of recovery emerged within this quarter. We predict that margin pressures will diminish in the latter half of the year, and we foresee margins normalizing in the first half of 2025. Our management team is also strategically working towards boosting our CPC volumes in the

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second half of 2024 due to the Honorable Commission for Air Quality Management (or, CAQM) having raised the total green petroleum coke raw material import quota in India from 1.4 million tons per annum to 1.9 million tons per annum. This is encouraging, especially given that

our Domestic Tariff Area plant in India is already back to operating at full capacity. Additionally, with the recent approval for RAIN to import green petroleum coke at our Special Economic Zone (or, SEZ) location in India during the current quarter, we expect increased capacity utilization rates there in the second half as well. We are currently awaiting permission to import CPC at our SEZ facility, as stipulated by the Honorable CAQM's Order, which will then further enhance operations at our global calcining plants and expand our market presence in Asia and the Middle East.

Regarding our Advanced Materials segment, the stable margins noted over the past two quarters signal a continuation of this trend in the subsequent quarters.

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And regarding our Cement segment, as previously stated in our opening remarks, we expect a rise in demand over the next few quarters due to the Indian Government's increased emphasis on infrastructure spending and decreasing operational expenses, which should aid in margin enhancement.

As iterated on our previous quarter's call, while market conditions are beyond our control, cost management remains within our purview. We have begun putting into place significant cost-reduction strategies across all regions, with the anticipation of realizing their positive impact in subsequent quarters. One example of these savings can be seen in the ad

justments to EBITDA in our earnings report, which includes provisions for severance costs in Germany.

To conclude, my heartfelt thanks go out to our committed employees for their exceptional efforts during these trying times. Their dedication and tenacity are crucial for steering our company through this period of adversity. Although the past year has been fraught with obstacles, our resolution towards RAIN's long-term prosperity has not wavered. We

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are optimistic that our strategic measures will forge a path towards a fortified and resilient establishment.

We appreciate your ongoing support for RAIN Industries Limited and eagerly anticipate sharing further updates in the upcoming quarterly presentation.

Call: Nov 2024

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RIL/SEs/2024 November 6, 2024

The General Manager
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Mumbai-400 001 The Manager
Listing Department
The National Stock Exchange of India Limited
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Dear Sir/Madam,

Sub: Transcript of Management Presentation – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, please find enclosed herewith the Transcript of Management Presentation on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the third quarter ended September 30, 2024.

This is for your information and records.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

Page 1 of 22
RAIN Industries Limited
Management Commentary on Developments and Performance
during Third Quarter of 2024

Introduction by Sarang

Greetings to everyone. A warm welcome to you all for today's management presentation from Rain Industries Limited. My name is Sarang Pani and I serve as the General Manager of Corporate Reporting and Investor Relations at Rain Industries Limited.

Earlier today, we have released our results for the quarter and nine months - ending September 30, 2024, and the same is also posted on our website.

Shortly, we will guide you through the performance highlights of Rain Industries Limited for the Third Quarter of 2024.

The speakers for today are:

Mr. Jagan Reddy Nellore – Vice Chairman of Rain Industries Limited,

Mr. Gerard Sweeney – President of Rain Carbon Inc., and

Mr. T. Srinivasa Rao – Chief Financial Officer of Rain Industries Limited.

Before we proceed, the management would like to note that during this management discussion, forward-looking statements may be discussed that
Page 2 of 22

include various subjects such as outcomes, trends, targets, and strategic directions. These statements rely on our current projections and are subject to risks and uncertainties that could cause actual results to vary materially from those suggested by these forward-looking statements. There are certain risk factors that could lead to results differing significantly from our predictions. The discussion today contains certain non-GAAP financial measures; the related non-GAAP reconciliations are provided in the accompanying slides.

Please turn to Slide 3 at this time, where Mr. Jagan Reddy will offer insight to the key developments at the RAIN Group during the third quarter of 2024. Thank you, and I now hand it over to Mr. Jagan.

Slide 3 – Jagan Reddy Nellore:

Thank you Sarang and greetings to all,

Turning to Slide 3 of the presentation, let us begin with safety. We finished the third quarter of 2024 with one recordable incident and a Total Recordable Incident Rate of 0.20 in our carbon and advanced materials businesses. This demonstrates a continued improvement over the previous quarter. The one incident in these businesses during the third quarter was related to a mechanic falling from a scaffolding
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ladder. Fortunately, the employee was not seriously injured and has returned to work.

As discussed in our previous calls, our unwavering commitment to safety remains a top priority. We continuously adapt our safety initiatives to address evolving trends observed both at our plants and across the industry. A significant part of this effort is our ongoing roll-out of OSHA safety reporting norms in our Cement segment, which we aim to complete by 2024. This initiative will enable us to re

port a total recordable incident rate (TRIR) for each of our three business segments on a consistent, apples-to-apples basis. Additionally, it will enhance our ability to share safety lessons learned, increase employee awareness, and provide learning tools across the entire group. These measures will make RAIN an even safer place to work.

Transitioning to our financial performance, we concluded the third quarter with an EBITDA of 2.92 billion Rupees. As previously discussed, we anticipated the third quarter results would be lower than our second quarter earnings. This outcome was influenced by several
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factors: volumes decreased as expected, due to some shipments being advanced to the second quarter by our customers and others being delayed beyond the third quarter due to unexpected maintenance outages on the customer side, particularly in our carbon distillation business.

As highlighted during our last call, the impressive second-quarter performance was boosted by earlier-than-anticipated coal tar pitch (or, "CTP") shipments, and should not be seen as a return to our historical earnings levels. In our carbon businesses, we continue to face margin

challenges driven by both market competition and unique, situational circumstances. As we move towards the end of the year, our focus is on re-establishing our unit margins to stabilize our earnings. This step is crucial for achieving our objectives as we approach 2025.

In line with our strategic plan to reduce fixed costs, we will be optimizing operations at our manufacturing plants, responding to current demand conditions, as necessary.

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During the second quarter, we saw a recovery in our carbon business margins. However, the third quarter presented some hurdles, particularly in our carbon distillation operations. The primary challenge was the rising market price for tar raw materials, which contrasted with declining CTP prices. This price increase was driven by a global reduction in tar production, caused by curtailments and closures of certain blast furnace steel mills. As you may know, global steel production remains subdued, with some producers shutting down their facilities earlier than expected. This reduction in coal tar production has led to a decreased supply for distillers, pushing up tar prices despite weaker overall market conditions for finished products.

Despite these challenges, we remain optimistic and focused on the future. Our main objective in the Carbon segment is to enhance our volumes in both calcination and distillation products. We aim to achieve this by increasing production and optimizing capacity utilization throughout 2025. We are confident that with strategic planning and execution, we can navigate these market dynamics and achieve our goals.

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As discussed earlier, part of the reason for the third quarter Carbon volumes being down versus the second quarter is attributable to unforeseen maintenance disruptions at two of our major coal tar pitch customers, delaying their shipments out of the third quarter. Sales of Calcined Petroleum Coke (or, "CPC"), on the other hand, were up over 16% higher versus the second quarter. We expect CPC volumes to maintain this higher growth level during the fourth quarter and beyond in 2025 due to relaxation in the Indian import restrictions which were in place since 2018. The CPC market maintained a posture of downward pressure on pricing during the third quarter, but in recent weeks we have seen a functional shift in China for pricing of both green petroleum coke (or, "GPC") raw materials and the finished product calcined petroleum coke (or, "CPC"). Prices appear to have finally begun to change course, on these materials. This is the first price improvement in China since the first quarter of 2023.

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As you may remember, we outlined last quarter that our GPC

raw

materials were back in line with current market CPC prices. Now, if prices can improve going forward, this should help restore the remainder of our margins.

In our Carbon segment's distillation business, product prices remained stable during the quarter, but raw material costs crept up due to reduced coal tar availability, for reasons mentioned earlier. Entering the final quarter of 2024, the strengthening of carbon product prices in China gives us optimism of a potential return to normalized margins during 2025, marking a shift from the last couple of years of declining global industrial output trends.

Our Advanced Materials segment continues to perform positively. Volumes were down slightly for the Petro Chemical Intermediates products, but they held strong for the quarter for our high-valued

Engineered Products , for our HHCR products and for our Resins.

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Profitability took a hit due to raw material shortages in Europe, impacting our Advanced Materials segment and leaving us scrambling for supply. We anticipate the usual seasonal and year -end decline in volumes during the fourth quarter. However, we remain confident that the resilience of our Resins business will sustain profitability for the Advanced Materials segment through year -end. Despite the uncertainties created by war and political tensions globally, positive economic signals continue across major global regions. In the United States, the economy has remained robust, underscoring sustained consumer demand for goods and housing. Admittedly, industrial indicators remain tepid, but the economy seems to be healthy . In Europe, energy prices have remained manageable throughout the year, while the industrial sector continues to wait for signs of demand resurgence.

In late September, following several months of failing to meet post -pandemic growth targets, the Chinese government initiated a comprehensive series of economic stimulus measures. These efforts aim to rejuvenate the economy by boosting consumer spending,

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encouraging investment, and supporting key industries. The measures include tax cuts, increased infrastructure spending and financial support for small and medium -sized enterprises, all designed to stabilize and accelerate economic recovery. These actions are expected to have a particularly positive impact on our Carbon business segment.

Regarding our Cement segment, the Indian cement industry, the second largest globally after China, is experiencing significant consolidation. Smaller , regional producers are struggling in an increasingly challenging operating environment, leading to their exit from the sector. This trend has paved the way for a wave of consolidation, as national -level firms acquire these regional players.

Over the past decade, capacities exceeding 220 million tonnes per year have changed hands, according to industry estimates. This consolidation, coupled with greenfield expansions by leading companies, has impacted the industry's pricing power. Cement companies are aggressively pursuing higher market shares, often resorting to competitive pricing strategies to boost sales. An industry

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executive recently noted, "This is one of the key reasons for the sharp drop in realizations this calendar year."

Despite these challenges, we remain optimistic about our Cement segment. The Indian government's initiatives to increase infrastructure spending and the normalization of fuel costs provide a favorable backdrop. We are confident in our ability to navigate these challenges and continue to perform strongly in the market.

Now, I will hand over the presentation to Gerry who will provide further updates on the industry and our business on Slide 4...

Gerry

Slide 4 – Gerard Sweeney :

Thank you, Jagan . Hello, everyone. It is a pleasure to speak with you again.

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The prospects for

the global aluminum industry remain positive, with aluminum prices hovering around the 2,600 -US dollar mark, aided by relatively low gas prices and the expectation of robust demand amid relatively low LME inventories going forward.

Forecasts suggest that global aluminum production will increase over the next couple of years compared to the cumulative output of the past five years. This, together with the strong LME aluminum price and a functional shift in prices in China, provide reason for optimism.

Slide 5 – Gerry:

As we look at slide 5, with regards to key commodity price trends and our business during the third quarter of 2024, prices were relatively flat, except for Benzene. The benzene price is high enough though, so the reduction is not too concerning at this point.

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Slide 6 – Gerry:

On Slide 6, which focuses on revenue distribution by end -industry, you will see that the aluminium sector accounted for approximately 42% of our total consolidated revenues on a Last Twelve Months (or, LTM) basis as of September 2024. This marks a 6% decline from Calendar Year 2023, mainly due to diminished volume in our Carbon Calcination business in the first half of 2024. We anticipate a rebound to the usual range of 43% to 44% by the close of 2024. Our remaining revenue streams come from various industries, including the important construction and carbon black sectors.

Slide 7 – Gerry :

On Slide 7, our Carbon segment experienced an overall 6% increase in volumes, driven by CPC, while prices declined for CTP quarter over quarter.

In the CPC business, sales volumes were up 16% over the second quarter, continuing the momentum after a weak first quarter . CPC sales

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prices were flat to slightly down, and we saw raw material prices remain flat.

On the distillation side of our Carbon segment, CTP sales volumes were down almost 13% from the second quarter, due to the previously mentioned delay of two major customer shipments. CTP prices decreased in the third quarter, driven by aggressive price pushback against prices for our coal tar raw material that were up, further pressuring margins.

Elsewhere in our Carbon segment, our Other Carbon Products volumes decline by 2% and pricing were flat compared to the previous quarter .

We are pleased that our Advanced Materials segment's EBITDA remained positive for the third consecutive quarter, with strong volumes. After a promising first half of 2024, the trend has held in both pricing and volume.

In our Advanced Materials segment's "Engineered Products" sub -category, volumes of CARBORES®, and our petroleum based,

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PETRORES®, have held now for two consecutive quarters, after a significant increase in the first quarter .

Volumes in the "Chemical Intermediates" sub -category were down 20%, majorly related to low margin products .

Moving on to the "Resins and Downstream Materials" sub -category, volumes and prices were both relatively flat versus the previous quarter.

The Red Sea shipping disruptions continue to positively impact both our "Engineered Products" and "Resins" volumes . All are benefiting from a "made -in-Europe" customer preference emerging from those shipping disruptions for materials coming out of Asia. This benefit includes our HHCR materials, which have seen increased regional demand.

Customers in regions close to our production site are realizing the reliability benefit of having RAIN's HHCR as a locally produced supply.

I will now hand over the presentation to Srinivas, who will discuss RAIN's consolidated financial performance.

Srinivas, the floor is yours.

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Srinivas:

Thank you, Gerry, and Hello everyone , staying on Slide 7 .

During the third quarter of 2024, RAIN reported a consolidated net revenue of 39.06 billion Rupees , marking a reduction of 2.37 billion Rupees from

41.43 billion Rupees during the same period in 2023. The downturn was primarily due to revenue decreases of 1.58 billion Rupees in our Carbon segment , 0.13 billion Rupees in our Advanced Materials segment and 0. 66 billion Rupees in our Cement segment .

Furthermore, RAIN experienced a decrease in consolidated adjusted EBITDA by 0.84 billion Rupees compared to the previous year . This was attributed to reductions of 0.52 billion Rupees in the Carbon segment , 0.12 billion Rupees in the Advanced Materials segment , and 0.20 billion Rupees in the Cement segment .

Slide 8 – Srinivasa Rao:

Moving to Slide 8, we can see that, for the third quarter , ending on September 30, 2024, our Carbon segment reported revenue of 27. 81 billion Rupees, which was a decrease from 29.39 billion Rupees during the same period in the previous year.

During this quarter, our increase in volumes was primarily driven by higher CPC volumes due to higher capacity utilization from Indian CPC plants post the relief granted by CAQM in February 2024 and the implementation of the same during the third quarter. During the third quarter of 2024, the average blended realisation decreased by about 21.0% on account of lower market quotations across all regions. There was an appreciation of the Euro against the Indian Rupee by about 2.3% and an appreciation of the US Dollar against the Indian Rupee by about 1.3%.

Overall, revenue from the Carbon segment decreased by about 5.4% in the third quarter of 2024, as compared to the third quarter of 2023.

The Adjusted EBITDA for the Carbon segment fell by 523 million Rupees compared to the third quarter of the previous year. This was driven primarily by continued pressure on margins, which was partially offset by increased volumes and appreciation of the US Dollar and the Euro against the Indian Rupee.

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Slide 9 – Srinivasa Rao:

Moving on to slide nine, we can see the Advanced Materials segment's performance.

During the quarter ending September 30, 2024, our Advanced Materials segment earned revenues totaling 8.45 billion Rupees, which was a decrease from 8.58 billion Rupees during the same period in the previous year.

During this quarter, there was increase in volumes by 8.8% primarily driven by higher throughput from our HHCR plant supported by the Red Sea crisis and higher demand compared to the same period in the previous year . During the third quarter of 2024, average realisations decreased by 9.5% due to fall in commodity prices offset by an appreciation of the Euro against the Indian Rupee by about 2.3%. As a result , revenue from the Advanced Materials segment decreased by about 1.5% during the third quarter of 2024, as compared to the third quarter of 2023.

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Adjusted EBITDA fell by 122 million Rupees in contrast to the third

quarter of 2023, due to fall in commodity prices partially offset by increased volumes and appreciation of the Euro against the Indian Rupee.

Slide 10 – Srinivasa Rao:

Moving on to slide 10, we can look at our Cement segment, which experienced a 19.2% decline in revenue in the third quarter of 2024 compared to the same period in 2023, attributable to an 8.8% fall in realizations and an 11.3% reduction in volumes due to the extended monsoon in key markets.

The Adjusted EBITDA for our Cement segment saw a downturn of 199 million Rupees, due to decreased realisations coupled with decreased volumes and a marginal increase in operating costs.

Slide 11 – Srinivasa Rao:

Moving on the next slide on debt, slide 11.

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The third quarter concluded with a gross debt of 952 million US dollars, which includes working capital debt of 102 million US dollars. RIL's net debt stood at 711 million US dollars, and, with an LTM EBITDA of 166 million US dollars, our net debt to EBITDA ratio was 4.3x. Over the next few quarters,

as performance improves and debts paid down, we anticipate this leverage ratio to gradually approach 3.0x.

During the span of the past nine months, our Euro-denominated Term Loan saw a reduction by 33 million US Dollars, driven by 35 million US dollars in repayments offset by 2 million US dollars towards the foreign exchange impact due to US dollar / Euro fluctuations.

In terms of liquidity, we closed the quarter with 469 million US dollars, comprised of a 241-million US dollar cash balance and 228 million US dollars available in undrawn credit facilities.

The Group allocated roughly 55 million US dollars for maintenance capital expenditures and plant turnarounds during the first nine months

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of 2024.

I will now pass over the presentation to Mr. Jagan for his concluding remarks.

Closing Remarks – Jagan Reddy Nellore:

Thank you, Srinivas.

2024 has presented its challenges, with market movements veering unpredictably as they stabilize from the highs of 2022 and early 2023. However, amidst the turbulence, we have received long-awaited relief in India from import restrictions after six years, and we are enthusiastic about operating our Indian carbon calcination facilities at maximum capacity. Despite these positive developments, some market indicators still raise concerns.

Our commitment remains to scrutinize every entity expenditure, ensuring it is both necessary and in RAIN's best interest. We will continue to rigorously evaluate raw material costs, striving to procure

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the optimal products and manufacture in locations that maximize profitability. This relentless pursuit of efficiency and cost management is a testament to our team's dedication.

Looking ahead, the future is promising. Noteworthy are the recent announcements of our new demonstration plant for Energy Storage Materials and Battery Anode Materials in Canada, along with joint

development agreements. These initiatives position RAIN as a significant player in the burgeoning E V and other battery market s. Already an established supplier to the Chinese battery market, we bring years of experience in serving major manufacturers. The demonstration plant will solidify RAIN's reputation for excellence in battery technology, allowing us to showcase our products' current relevance while exploring new supply chain opportunities.

We are excited about the future and confident in our strategies to navigate the complexities ahead. The dedication and hard work of our teams are paving the way for continued success and growth. Together, we will seize the opportunities that lie ahead and ensure RAIN's prosperity in the evolving market landscape.

We appreciate your ongoing support for Rain Industries Limited and eagerly anticipate sharing further updates in the upcoming quarterly presentation.

Call: Feb 2025

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RIL/SEs/2025 February 25, 2025

The General Manager
Department of Corporate Services
BSE Limited Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
The National Stock Exchange of India Limited Bandra Kurla Complex
Bandra East
Mumbai – 400 051
Dear Sir/Madam,

Sub: Transcript of Management Presentation on Annual Audited Financial Results for the
Quarter and Financial Year ended on December 31, 2024 – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, please find enclosed herewith the Transcript of
Management Presentation on Annual Audited Financial Results for the Quarter and Financial Year ended on December 31,
2024.

This is for your information and records.
Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary
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RAIN Industries Limited
Management Commentary on Developments and Performance
during Fourth Quarter of 2024
Introduction by Sarang
Greetings to everyone. A warm welcome to you all for today's management
presentation from Rain Industries Limited. My name is Sarang Pani, and I
serve as the General Manager of Corporate Reporting and Investor Relations at Rain Industries Limited.

Earlier today, we have released our results for the fourth quarter and year-
ended December 31, 2024, and the same is also posted on our website.

Shortly, we will guide you through the performance highlights of Rain
Industries Limited for the Fourth Quarter of 2024.

The speakers for today are:
Mr. Jagan Reddy Nellore – Managing Director of Rain Industries Limited,
Mr. Gerard Sweeney – President of Rain Carbon Inc., and
Mr. T. Srinivasa Rao – Chief Financial Officer of Rain Industries Limited.

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Before we proceed, the management would like to note that during this
management discussion, forward-looking statements may be discussed that
include various subjects such as outcomes, trends, targets, and strategic

directions. These statements rely on our current projections and are subject to risks and uncertainties that could cause actual results to vary materially from those suggested by these forward-looking statements. There are certain risk factors that could lead to results differing significantly from our predictions. The discussion today contains certain non-GAAP financial measures; the related non-GAAP reconciliations are provided in the accompanying slides.

Please turn to Slide 3 at this time, where Mr. Jagan Reddy will offer insight to the key developments at the RAIN Group during the fourth quarter of 2024. Thank you, and I now hand it over to Mr. Jagan.

Slide 3 – Jagan Reddy Nellore:

Thank you Sarang and greetings to all,
Turning to Slide 3 of the presentation, let us begin with safety. We finished the fourth quarter of 2024 with two recordable incidents and a Total Recordable Incident Rate (or "TRIR") of 0.13 for the twelve months ended December 2024. This refers to all three of our business segments and marks an improvement over the year. It also keeps RAIN firmly positioned as "best in class" in terms of safety as an industrial operator. Just to add, we implemented the International Safety Standards even in our Cement Business from the current year. The two recordable incidents which we had during the fourth quarter were both in the "slip, trip and fall" category, and relatively minor in nature. Fortunately, neither employee was seriously injured, and both have returned to work.

Our unwavering commitment to safety is driven not by the pursuit of statistical goals or industry accolades, but by the genuine care we hold for the well-being of our employees. They deserve to feel safe and supported within our company, and we are dedicated for creating such an environment. To this end, we continually adapt our safety strategies and initiatives to address evolving trends, both within our plants and across the industry.

Turning to our financial performance, we concluded the fourth quarter with an EBITDA of 3.90 billion Rupees and ended the year with an

EBITDA of 14.98 billion Rupees. While the fourth quarter EBITDA showed improvement over our third quarter earnings and surpassed the previous year's quarterly results, we recognize that we have not yet achieved our normalized quarterly EBITDA target. The primary factor influencing our return to normalized earnings is related to raw materials.

Specifically, obtaining the right quality raw materials at favorable prices has posed significant challenges for some of our businesses over the past several quarters.

In our Carbon segment businesses, we continue to face pressures on volume and margins due to market competition and unique raw material supply circumstances. As we enter the new year, our focus is on re-establishing our normalized operating margins to stabilize our overall performance. This step is crucial for achieving our Calendar Year 2025 objectives, and we remain cautiously optimistic about our prospects in the current Calendar Year.

Aligned with our strategic plan to reduce fixed costs, we spent the second half of 2024 optimizing operations at our manufacturing plants

and adjusting our global workforce to match current demand conditions. These efforts have enabled us to reduce costs while maximizing productivity, ensuring that we remain competitive and efficient in our operations.

In our Carbon segment's calcination business, the supply situation has been particularly perplexing. Despite a global decrease in demand for Calcined Petroleum Coke (or CPC) following the downturn in early 2023, demand and pricing for raw material Green Petroleum Coke (or GPC) have remained surprisingly robust. This resilience is primarily

driven by demand from the emerging battery anode materials (or BAM) sector.

Over the past five years, the demand from the BAM sector has been somewhat sporadic, largely dependent on the availability of natural and synthetic graphite. However, it has become increasingly evident over the last few quarters that the demand for GPC from the BAM sector is not a passing trend but a likely permanent shift.

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Initially, the incursion of BAM sector demand was confined to the global markets for ultra- low sulfur GPC (below 1% sulfur) and low metals GPC products. This happened during periods when the demand for graphite raw materials was strong, causing initial disruptions limited to ultra -low

sulfur GPC. As the BAM sector has expanded, what was once transient demand has transformed into consistent and ongoing demand, as this

emerging sector seeks sufficient raw materials to sustain its growth.

Consequently, despite the steep decline in CPC prices over the past two years, GPC prices have remained comparatively high. This persistent demand from the BAM sector has maintained upward pressure on GPC prices, creating a unique supply challenge for our calcination business.

The calcination industry has taken some time to fully grasp and respond to the significant changes in the market dynamics. Historically, calciners have been able to offer the highest prices for anode-grade GPC, giving them priority access to the globally available GPC supply. Although the BAM sector previously entered the market and paid higher premiums,

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this only occurred during swing periods and typically in "up -market" situations. What was once perceived as a temporary or minor disruption is now a perma

nent fixture in the global GPC demand portfolio, with the BAM sector consistently paying premium prices compared to traditional anode grade GPC users.

Over the past year, as we observed the development of this new demand, it became evident that its impact on calcination margins necessitated a response. The calcination market is now facing the realities of the evolving GPC supply marketplace. In the initial two months of 2025, we observed a notable surge in both demand and prices for ultra- low to mid- sulfur GPC with reduced metal content. This

increase was primarily fueled by the increased demand from the BAM manufacturers in China.

Initially, prices rose towards the end of 2024, in anticipation of the Chinese New Year, with pre -holiday restocking activities. It was expected that prices would stabilize after the holiday, but this did not

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occur. Instead, prices for both GPC and CPC continued to climb in China as we entered 2025.

For the calcination industry, this tipping point has initiated a long-awaited directional change in prices. In early 2025, we are witnessing a rebalancing of the GPC -CPC relationship. CPC prices are once again ascending, aligning more closely with the cost s of GPC. This adjustment is resulting in normalized calcination margins for the first time in the past two years.

This 2025 change in market direction is an important step in re-establishing our margins and now allows us to move forward with our plan to maximize our sales in India and the surrounding region, as we leverage our unique, global CPC production capacities, logistics and blending assets to reinstate our global blend strategy.

Now, to take you back to 2024, and back to looking at our two carbon businesses together again as one Carbon segment, we experienced a 5% quarter -over-quarter decline in volumes during the fourth quarter,

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mostly driven by CPC, while prices were relatively flat quarter over quarter.

Drilling into this, in our Carbon segment's calcination business, CPC sales volumes were down 9% versus our strong third quarter volumes,

but still consistent with our expectations . Looking forward from the end of 2024, we expect CPC sales volumes to increase during the course of 2025, building up gradually throughout the year, as we continue to ramp up our vertical shaft calciner production capacity in our SEZ plant in India and begin to re- start our unique , integrated, global blend strategy almost after a gap of six years. As you will recall from our prior calls, the return to the global blend strategy is now achievable due to relaxation of Indian import restrictions, which had been in place since July 2018. And, while CPC markets were basically flat in pricing during the fourth quarter, we have seen, as mentioned above, a functional shift in China for pricing of both GPC raw materials and the finished product, CPC. Prices have not just changed direction, they have decisively done so, with CPC prices in China rising substantially in the first two months of 2025 .

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This significant structural change in the Carbon Calcination business and the transformation underscores the critical importance of securing access to GPC, especially in light of the increasing competition from BAM manufacturers. Rest assured, we are strategically positioned to navigate these changes and capitalize on emerging opportunities.

In our Carbon segment's distillation business, 2024 saw continued raw material disruption from the war in Europe, coupled with drastic curtailments in a weak global steel industry. This greatly reduced the availability of coal tar to our carbon distillation facilities. Native European supply has been reduced, and, while our flexible logistics infrastructure has been set up to pull in raw materials from longer distances, we are forced to do so at a currently higher cost .

Further in our Carbon segment's disti

llation business, product prices increased modestly during the quarter, working to keep pace with increasing coal tar raw material prices. Volumes increased by 6% versus the third quarter, in -line with expectations. Entering the first quarter of 2025, we expect modestly higher volumes in our carbon distillation business, attributable to some of the expected volume demand increase from European aluminium smelters. Meanwhile, prices for the first quarter are expected to roll over for both coal tar raw material and finished coal tar pitch . Elsewhere in our Carbon segment, our Other Carbon Products volumes remained at reasonably strong levels, in the fourth quarter, although prices declined compared to the previous quarter.

Shifting now to our Advanced Materials segment, we are pleased that EBITDA has remained positive during the quarter , and, although the fourth quarter is traditionally weaker due to seasonality, the segment finished with a strong performance for the year. After a promising first half of 2024, the positive trend held up in the second half in both pricing and volumes , and our Advanced Materials segment continues to perform well into 2025 .

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Upon examining the sub- categories within this segment, the quarterly volumes for our Engineered Products declined as anticipated. This decrease can be attributed to seasonality factors and reduced volumes of some high -value materials, including our premium CARBORES®. However, the Chemical Intermediates sub- category compensated for this decline with robust sales, particularly for our BTX materials. In contrast, the Resins and Downstream Materials sub -category experienced lower volumes despite strong demand for our HHCR resins in the fourth quarter. This decline was due to a combination of reduced availability of raw materials and planned maintenance activities at our HHCR unit.

Throughout the year in Europe, energy prices remained manageable, with the exception of the fourth quarter when they rose due to seasonal cold weather. Despite the stability in energy costs, the industrial sector continues to await definitive signs of a demand resurgence. The market is still in a state of anticipation, hoping for stronger indications of recovery and growth.

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We had anticipated the usual seasonal decline in Advanced Materials volumes during the fourth quarter. However, we were correct to remain confident that the resilience of our non-seasonal products would sustain profitability for our Advanced Materials segment through year-end.

As we look at 2025, the economies in Europe and the US appear to be improving overall, with some positive developments supporting industrial production. These developments should be positive for us in our major markets and there is some hope that peace efforts will be successful both in Ukraine and the Middle East.

Regarding the proposed tariffs by the United States on imports from various countries, including Canada and Europe, our management team is committed to a thorough analysis once the tariffs are officially initiated, and guidelines are published.

We are closely monitoring the situation and will keep our investors informed as more information becomes available. Our priority remains

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to ensure that we continue to operate efficiently and maintain our competitive edge in the market.

In regard to the Cement segment, the cement industry in India faced numerous challenges in 2024, including moderate capacity utilization, lower sales realization, and a contraction of margins, all of which

impacted both the topline and the bottom line of our Cement segment.

In 2024, growth for the cement industry in India decelerated to 4.5 -5.5%

on a high base, following three consecutive years of strong growth. Construction activity slowed during the second and third quarters due

to several factors, including a

prolonged heatwave, labor shortages

during the general elections period, and seasonal weakness during the

monsoon. This combination of factors led to a slowdown in demand, continued capacity additions, and industry consolidation, resulting in

declining realizations.

Despite these challenges, the industry anticipates an 8% growth in sales by 2025. This optimistic outlook is driven by several factors:

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- Increased rural consumption aided by improved firm cash flows
- Sustained healthy demand for urban housing
- Expected increases in government spending on infrastructure projects.

In the South Indian cement industry, where we operate, we are anticipating positive growth in 2025. This growth is expected to be driven by strong demand from various infrastructure projects, particularly with the increased emphasis on constructing the new capital, Amaravathi, in Andhra Pradesh state, as well as numerous irrigation projects.

Although the Indian cement industry encountered significant challenges in 2024, the outlook for our Cement segment in 2025 is promising. The expected growth is projected to be fueled by both rural and urban demand, alongside government-led infrastructure initiatives. This combination of factors positions our Cement segment for a better year ahead.

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Now, I will hand over the presentation to Gerry who will provide further updates on the industry and our business on Slide 4...

Gerry

Slide 4 – Gerard Sweeney:

Thank you, Jagan . Hello, everyone. It is a pleasure to speak with you again.

The outlook for the global aluminium industry remains positive, with aluminium prices stabilizing around the 2,600 -US dollar mark. This stability is supported by relatively low natural gas prices and the expectation of increased demand amid persistently low LME inventories. In 2024, global primary aluminium production reached a new record high, increasing by 3% year over year. Despite this increase in production, LME inventories remained low.

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The production increases in 2024 were primarily driven by the Yunnan province in China, although these increases are expected to taper off. Looking ahead, smelting expansions in India and Indonesia are set to lead the way for 2025 start-ups. Additionally, several new smelter projects are scheduled to come online in 2026 in various regions outside of China.

Overall, the industry is poised for growth, buoyed by favorable pricing, low natural gas costs, and anticipated demand resurgence.

Slide 5 – Gerry:

Referring to slide 5, which outlines key commodity price trends and our business performance during the fourth quarter of 2024, we observed that prices remained relatively stable, with the exception of benzene. While benzene prices experienced a reduction, they are still at reasonably high levels, so this decrease is not particularly alarming at this time.

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Additionally, it is important to note that natural gas prices in Europe reached an 18- month high, largely due to the winter season and the curtailment of certain gas supplies to Europe during the year. This has had a significant impact on the overall energy market in the fourth quarter 2024.

Slide 6 – Gerry:

Moving to slide 6, which focuses on revenue distribution by end - industry, you will see that the aluminium sector accounted for approximately 42% of our total consolidated revenues in 2024. We anticipate a rebound to the usual range of 44% by the end of 2025. Our remaining revenue streams are diversified across various industries, including the important construction and carbon black sectors.

Slide 7 – Gerry :

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On Slide 7, our Carbon segment experienced an overall 5 % decrease in volumes, driven by CPC , while prices declined for Other Carbon products quarter over quarter.

In the CPC business,

sales volumes were down by 9 % versus the third quarter due to timing of shipments. CPC prices remained stable , and the same held true for GPC raw material prices also .

On the distillation side of our Carbon segment, CTP sales volumes were up by 6% compared to the third quarter , and CTP prices largely rolled over from the third quarter.

Elsewhere in our Carbon segment, our Other Carbon Products volumes declined by 2% and pricing declined by 12% compared to the previous

quarter , which was in line with changes to fuel oil quotations .

As mentioned earlier, we are pleased that our Advanced Materials segment's EBITDA performed well and contributed positively despite seasonality and increased natural gas prices over third quarter .

In our Advanced Materials segment's Engineered Products sub-category, volumes of PETRORES ® have increased , but our volumes

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for asphalt sealers and other pitch oils were significantly down compared to third quarter .

Volumes in the Chemical Intermediates sub -category were up by 27% due to higher throughput and price changes, driven by benzene quotations.

Moving on to the Resins and Downstream Materials sub -category, volumes have decreased due to reduced availability of raw material and weaker demand from coating industry, but prices were up compared to previous quarter , driven by continued supply chain issues from Asian markets to Europe.

I will now hand over the presentation to Srinivas, who will discuss RAIN's consolidated financial performance.
Srinivas, the floor is yours.

Srinivas:

Thank you, Gerry, and Hello everyone, staying on Slide 7.

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During the fourth quarter of 2024, RAIN reported a consolidated net revenue of 36.49 billion Rupees , marking a reduction of 4.30 billion Rupees from 40.79 billion Rupees during the same period in 2023. The reduction was primarily due to revenue decrease s of 3.20 billion Rupees in our Carbon segment and 1.62 billion Rupees in our Cement segment ; offset by increase of 0.52 billion Rupees in our Advanced Materials segment .

RAIN 's consolidated adjusted EBITDA for fourth quarter increased by 1.12 billion Rupees compared to the previous year . This was attributed to an increase of 0.88 billion Rupees in the Carbon segment and 0.90 billion Rupees in the Advanced Material s segment , offset by a decrease of 0.66 billion Rupees in the Cement segment .

Slide 8 – Srinivasa Rao:

Moving to Slide 8, we can see that, f or the fourth quarter , ending on December 31, 2024, our Carbon segment reported revenue of 26.13 billion Rupees, which was a decrease from 29. 33 billion Rupees during the same period in the previous year.

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During this quarter, the increase in volumes in our Carbon segment was primarily driven by higher CPC volumes due to higher capacity utilization from Indian CPC plants after the relief granted by the Hon'ble CAQM during February 2024, and due to the gradual implementation of the same. During the fourth quarter of 2024 , the average blended realization decreased by about 16.0% on account of lower market quotations across all regions. There was an appreciation of the Euro against the Indian Rupee by about 0.6% and an appreciation of the US Dollar against the Indian Rupee by about 1.4%.

Overall, due to the previously mentioned reasons, revenue from the Carbon segment decreased by about 10.9% in the fourth quarter of 2024, as compared to the fourth quarter of 2023.

However, the Adjusted EBITDA for the Carbon segment increased by 883 million Rupees compared to the fourth quarter of the previous year. This was driven primarily by increased volumes, cost optimization measures implemented by the company and appreciation of both the

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US Dollar and the Euro against the Indian Rupee, which was partially offset by a decrease in realizations .

Slide 9 – Srinivasa Rao:

Moving on

to slide nine, we can see the Advanced Materials segment's performance.

During the quarter ending December 31, 2024, our Advanced Materials segment earned revenues totaling 7.72 billion Rupees, which was a n increase from 7.20 billion Rupees during the same period in the previous year.

During this quarter, the increase in volumes was primarily driven by a higher throughput in our Chemical Intermediates sub-segment . During the fourth quarter of 2024, average blended realisation decreased by

3.6% due to a fall in commodity prices, offset by an appreciation of the Euro against the Indian Rupee by about 0.6%. Due to the previously mentioned reasons, revenue from the Advanced Materials segment increased by about 7.3% during the fourth quarter of 2024, as compared to the fourth quarter of 2023.

Adjusted EBITDA increased by 89.7 million Rupees compared to the fourth quarter of 2023, due to increased volumes and the appreciation of the Euro against the Indian Rupee, partially offset by fall in commodity prices.

Slide 10 – Srinivasa Rao:

Moving on to slide 10, we can look at our Cement segment, which experienced a 38.1% decline in revenue in the fourth quarter of 2024 compared to the same period in 2023, attributable to a 12.4% fall in realizations and a 29.4% reduction in volumes due to consolidation of market.

The Adjusted EBITDA for our Cement segment saw a downturn of 657 million Rupees, due to decreased realisations coupled with decreased volumes and a marginal increase in operating costs.

Slide 11 – Srinivasa Rao:

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Moving on to the next slide on debt, slide 11.

The fourth quarter concluded with a gross debt of 918 million US dollars, which includes working capital debt of 96 million US dollars. Our net debt stood at 699 million US dollars, and, with an LTM EBITDA of 179 million US dollars, our net debt to EBITDA ratio was 3.9x. Over the next few quarters, as performance improves and debt gets paid, we anticipate this leverage ratio to gradually approach 3.0x.

During current year, our Euro-denominated Term Loan saw a reduction by 57 million US Dollars, driven by 35 million US dollars in repayments coupled with 22 million US dollars in foreign exchange impact, due to appreciation of US dollar against Euro.

In terms of liquidity, we closed the quarter with 428 million US dollars, comprised of a 219-million US dollar cash balance and 209 million US dollars available in undrawn credit facilities.

With the existing cash and cash equivalents, and with undrawn working-capital loan facilities, the company is well placed both to repay its US

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denominated Secured Notes of 44 million US dollars, which is due in April 2025, and fund cash requirements in medium term. The major long-term debt repayments are scheduled to start in October 2028.

The group had spent approximately 78 million US dollars for maintenance capital expenditures and plant turnarounds during the 2024 across all locations. I will now pass over the presentation to Mr. Jagan for his concluding remarks.

Closing Remarks – Jagan Reddy Nellore:

Thank you, Srinivas.

The year 2024 has undeniably presented its challenges, with market movements oscillating unpredictably as they recover from the highs of 2022 and early 2023. Amidst the turbulence, we have witnessed a significant breakthrough in India: through the relief granted by CAQM on the import restrictions after six long years. This change has

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invigorated our enthusiasm as we now have the opportunity to operate our Indian carbon calcination facilities at optimum capacity and seamlessly reintegrate our global blend strategy.

While these positive developments are encouraging, we must remain

vigilant as few market indicators continue to raise concerns. Our steadfast commitment is to scrutinize every expenditure, ensuring it is

both necessary and in the best interest of the company. We will persist in rigorously evaluating all our costs, including raw material expenses, to procure optimal products and manufacture in locations that maximize profitability. This relentless pursuit of efficiency and cost management underscores our team's dedication. We are resolute in our efforts to navigate these uncertain times and remain committed to achieving sustainable growth and success.

Looking ahead, the future is promising. Noteworthy are the recent announcements of our new research and development laboratory and demonstration plant for Energy Storage Materials and Battery Anode Materials in Canada, along with government grants in Canada and

Page 28 of 28
Germany, and joint development agreements. These initiatives position RAIN as a significant player in the burgeoning EV and other battery markets. Already an established supplier to the Chinese battery market, we bring years of experience in serving major manufacturers. The demonstration plant will solidify RAIN's reputation for excellence in battery technology, allowing us to highlight our products' current relevance while exploring new applications and supply chain opportunities.

We are excited about the future and confident in our strategies to navigate the complexities ahead. The dedication and hard work of our teams are paving the way for continued success and growth. Together, we will seize the opportunities that lie ahead and ensure prosperity in the evolving market landscape.

We appreciate your ongoing support for Rain Industries Limited and eagerly anticipate sharing further updates in the upcoming quarterly presentation.

Call: May 2025

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RIL/SEs/2025 May 15, 2025

The General Manager
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East,
Mumbai – 400 051

Dear Sir/ Madam,

Sub: Transcript and Management Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the First Quarter ended March 31, 2025 - Reg.

Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, given below is the link to the Management Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the First Quarter ended March 31, 2025 :

Link for Management Commentary:

[https://rain-industries.com/images/RIL-Q1-2025-Q&A. mp3](https://rain-industries.com/images/RIL-Q1-2025-Q&A.mp3)

Please also find enclosed herewith the Transcript of Management Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the First Quarter ended March 31, 2025.

This is for your kind information and record.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

Page 1 of 15 Sarang
Good day ladies and gentlemen.
Welcome to the Rain Industries Limited Q&A session for the First quarter of 2025. My name is Saranga Pani, and I serve as General Manager of Corporate Reporting and Investor Relations at Rain Industries Limited.

The speakers for today are:

- Mr. Jagan Reddy Nellore – Managing Director of Rain Industries Limited
- Mr. Gerard Sweeney – President of Rain Carbon Inc.; and
- Mr. T. Srinivasa Rao – Chief Financial Officer of Rain Industries Limited

Following the Earnings Presentation and Management Commentary released on 8 May 2025, we have received various questions from investors and analysts concerning recent industry developments and their potential impact on our company's performance. RAIN Management will be addressing these questions during today's call.

Before we proceed, the management would like to note that during this management discussion, we may make forward -looking statements that include various subjects such as outcomes, trends, targets, and strategic directions. These statements rely on our current projections and are subject to risks and uncertainties that could cause actual results to vary materially from those suggested by these forward -looking statements. There are certain risk factors that could lead to significant deviations from our predictions.

With that, we will now start the discussion today with Gerard Sweeney...

Page 2 of 15

Sarang:

Gerry, the first question is regarding a general business update . Can you please speak in detail about the raw material strategy for the CPC, CTP and the advanced material segments? What kind of alternate raw materials are we talking about? Will it impact our margins?

Gerard Sweeney

Thank you Sarang for the question . As mentioned in our earlier calls, we have seen strong demand for our raw materials due to varying conditions in all segments. In the Carbon segment's Calcination business, the incursion of demand from Battery Anode Material (or battery anode materials) industry continues , with aggressive bids for low to medium sulfur, relatively lower metal GPC raw materials , to replace the more expensive Needle Coke . This has kept GPC prices high during

a period

of relatively down GPC demand in the CPC industry. During the 4th quarter of 2024 and into the first quarter of 2025, many Chinese refineries have taken maintenance turnarounds, as the economy slowed, and China saw reduced demand for refined products. This has specifically raised GPC prices in China, resulting in higher CPC prices as well.

Given our plans to increase CPC production in 2025, we proactively secured GPC supplies to support this expansion. This strategic move will provide us with a buffer in terms of volumes in the near term. Additionally, we are continuously optimizing our facilities to utilize a diverse array of raw materials, which serves as a strategy for cost control.

Page 3 of 15 In our Carbon segment's Distillation business , we are experiencing raw material shortages because of the continued closure of integrated steel capacity, a trend which we did see coming, but which has been accelerated over the last 12 to 18 months. As such, we continue to advance our purchase of certain alternate raw materials and also pull in coal tar from farther -away regions of the world. These are comparatively more expensive however, due to longer shipping distances. Our strategic locations with access to water transportation , and economies of scale with our plants, keep us more competitive in this strategy versus our competition , though .

In our Advanced Material segment , it has also become more difficult to source raw materials due to cracker curtailments across the European continent. Also, the earlier mentioned refinery outages in China have restricted the availability of feed streams from there. We continue to develop more supply sources to improve the situation , however .

Sarang:

Thanks, Gerry and to follow on the earlier question, how easy or difficult would it be for others to broaden their raw material sourcing? Are we seeing any reduction in capacities by our competitors in any of the segments due to the shortage of raw materials?

Gerard Sweeney

Although we cannot discuss competitors' strategies, our facilities are designed to flexibly utilize alternative raw materials, enabling us to effectively manage costs. Additionally, our strategic hub locations provide an advantage in sourcing marginal -grade raw materials. For instance, in Page 4 of 15 the Carbon distillation sector, our favorable positioning and the scale of our distillation plants enhance our competitive edge. These strategic locations also facilitate the efficient transportation of raw materials and finished products via the most cost-effective method available —water.

Sarang:

Thanks Gerry. Our next question is regarding the Calcination business . There is a significant increase in CPC prices . What is the increase in this and what is this due to? Why is there higher CPC demand in China, what are the main drivers?

Gerard Sweeney

As previously mentioned, the surge in demand for GPC in China is primarily driven by battery anode materials producers purchasing incremental quantities. This situation has been further aggravated by recent refinery outages in China in the past couple of quarters. Consequently, the supply -demand balance in China was significantly disrupted in the first quarter of 2025, leading to a sharp rise in GPC prices. This price hike has, in turn, caused a dramatic increase in Chinese CPC prices. It is important to note that this price escalation is more attributable to the rising GPC prices rather than an increase in demand for CPC.

Sarang

Thanks, Gerry. Another follow -up question on Calcination business, can you talk about how our CPC blending str

ategy will allow us to take advantage of different GPC and CPC prices across regions? Apart from the increase in volumes, will the blending strategy also improve our gross margins?

Page 5 of 15

Gerard Sweeney

Our global blending strategy is expected to lower CPC production costs by enhancing capacity utilization. Following the government's relaxation of CPC import regulations in late 2024, we have resumed our blending strategy in India. This allows us to import CPC from our US plants and blend it at our SEZ facility, enabling us to meet customer demands across various regions. This approach is anticipated to boost our production volumes and, to some extent, improve our profit margins.

Sarang

Thanks, Gerry. Moving to the Carbon Distillation business, what is happening in the CTP market? Demand should be in line with CPC , as you need both materials to smelt primary aluminum. Shouldn't there be an increase in CTP prices in China as well.

Gerard Sweeney

Aluminum demand for our products has been down during the last few years. That weighs on both the CPC and CTP demand. This is where the symmetry ends though , in looking at market structure. The driving force behind CPC prices recently moving upward in the calcination business, is related to GPC demand from the battery anode materials sector, and the refinery outages in China. This has no bearing on the distillation business. In the distillation business, CTP demand has been

relatively flat, while raw materials are in short supply in the western world. In China, there is ample supply of coal tar to feed their domestic distillation industry. This keeps the pressure on our ability to advance pricing for coal tar pitch.

Page 6 of 15

Sarang

Moving on to the next question, are we looking at rationalizing any of our plants across the world, especially on the Carbon Distillation side? What is the current capacity utilization level in our Carbon Distillation business, and what level are we targeting going forward?

Gerard Sweeney

All of our distillation plants are currently in operation. There are no plans for any temporary or permanent shutdowns of any of our facilities.

Throughout 2024 and the first quarter of 2025, our plants operated at approximately 70% capacity utilization. We anticipate maintaining these levels throughout 2025. As we move forward, we expect demand to increase steadily over the year, presenting us with better opportunities to boost our sales. We remain committed to meeting market needs and optimizing our production capabilities to ensure consistent and reliable service for our customers.

Sarang

Moving on to the next question, what is the update on the Carbon distillation capex planned in India?

Gerard Sweeney

As discussed during our Earnings Call for the fourth quarter of 2024, our initial capital expenditure in India will be minimal. This decision is aimed at establishing our presence in the Indian market and preparing for the Page 7 of 15 anticipated increase in tar supply resulting from the rise in metallurgical coke production. Additionally, this investment will enable us to meet the growing demand for pitch from the region's aluminum smelters. Once we have some foothold, we will finalize and implement the second phase of our CAPEX plan. This phased approach ensures that we are well-positioned to capitalize on market opportunities while managing our resources effectively.

Sarang

Moving on to the next question, based on earlier discussions, we understood that Rain's Phthalic Anhydride sales will improve further in 2025. Can you share the timeline for the same? What a

re the EBITDA

margins in this segment, and can you please mention how much it will contribute to overall Advanced Material segment revenues?

Gerard Sweeney

The availability of PA in Europe has diminished because of the extreme pressure on the petrochemical industry in Europe. The reduction in supply by other players will provide higher capacity utilization, lower operating costs and improved margins for PA from our facilities going forward. The PA business currently contributes approximately 10 percent of our Advanced Material segment's revenues.

Sarang

Thank you, Gerry. We now have a few questions for Jagan. The first question is regarding the impact of tariffs. Can you describe the structure Page 8 of 15 and flexibility of your logistics network, particularly in how it supports the movement of raw materials and finished products between Europe and the U.S.? Additionally, are you still leveraging this network to avoid the direct impact of tariffs, and if so, how are you managing that?

Jagan Nellore

Thank you for your question. As highlighted in our recent management presentation, our products are currently experiencing minimal impact from tariffs. The only exception is certain resins exported from Europe to the

USA, which are subject to a general tariff of 10%. Given that the volume of these European resins supplied to customers in the USA is relatively small, we do not anticipate a significant impact on our revenues or operating margins.

However, we recognize that the current political landscape is unpredictable, and there is an inherent risk that future escalations could affect our operations. We are closely monitoring these developments to ensure we can respond swiftly and effectively to any changes that may arise.

Sarang

Thanks, Jagan. The follow-up question is, how do we see volume growth and EBITDA -per-ton improvement in the US calcination business with tariffs and movements in aluminum production?

Jagan Nellore

Page 9 of 15 The US aluminum smelting industry has faced significant challenges over the past few decades, primarily due to increased competition from Asia and the Middle East. Recognizing the strategic national importance of the aluminum industry, the US Federal Government is actively supporting local aluminum production. In line with this initiative, two major greenfield aluminum smelters have been announced in the US for the coming years. Although it will take approximately 3 to 5 years for these new smelters to commence commercial operations, the US remains an advantageous location for producing CPC due to the availability of GPC from US refineries.

Regarding the impact of tariffs, as mentioned in my earlier response, the regulatory environment is dynamic and subject to change. Currently, most of the products we source or supply within North America are covered under the United States -Mexico -Canada Agreement (or USMCA) and / or included in the exempted list. We have minimal exports from the European Union to the US that are subject to US tariffs.

We continue to monitor these developments closely to ensure we can adapt to any changes and maintain our operational efficiency.

Sarang

Thanks, Jagan. The next question is, given the recent stabilization in lithium prices despite continued EV demand growth in China, how do you interpret the current surge in demand for battery materials? Is this primarily being driven by domestic EV production in China, or are there other contributing factors? And looking ahead, do you see this trend continuing through the rest of 2025 in a way that could positively impact your results?

Jagan Nellore

re

While we do not directly compete in the lithium-ion battery markets and therefore do not claim to have comprehensive knowledge of all aspects of this sector, our best interpretation of the latest market developments indicates that there is currently an ample supply of lithium and other raw materials for the electric vehicle industry.

We continue to observe robust demand for carbon, both for battery anode materials and coatings, on a global scale. However, it appears that the recent stabilization in the market is primarily due to supply outpacing demand.

We remain vigilant in monitoring these trends to ensure we can adapt our strategies accordingly and continue to meet the needs of our customers effectively.

Sarang

The next question is, do you still see the GPC prices going up driven by China like in the April - May period? And then, are the CPC prices catching up, or are there some different dynamics associated with this?

Jagan Nellore

We observed a significant increase in GPC prices towards the end of 2024, which extended into the first quarter of 2025. Initially, this surge was expected to be temporary and related to year-end factors. However, the Page 11 of 15 demand persisted into the first quarter of 2025, driven by the structural changes that Gerry discussed in our earlier responses.

As we moved into the second quarter, prices started to decline. Nevertheless, both GPC and CPC prices have yet to stabilize in relation to each other. We are closely monitoring these market dynamics to ensure we can respond effectively and maintain our competitive edge.

Sarang

Thanks , Jagan. The next question relates to the investor presentation which mentions the development of Rain's research facilities in Canada as a near-term growth driver. Could you provide more clarity on when we can expect these initiatives to begin contributing to financial performance, and how significant the revenue impact might be?

Jagan Nellore

As discussed in our previous calls, we have set up our R&D facility in Canada. This facility will be operating under joint-development agreements with various organizations to support both natural and synthetic graphite players in utilizing carbon coating materials. Currently, our progress is aligning well with our expectations. Once the research and development phase is completed, we will transition into the commercialization phase. However, this process will require some time. Therefore, it is premature to provide detailed comments at this stage. We anticipate being able to offer more comprehensive insights towards the end of the year.

Sarang.

Page 12 of 15 Our next investor question is, what is the likely asset turnover in the HHCR plant?

Jagan Nellore

Over the past couple of years, we have observed consistent improvement in the capacity utilization of our HHCR plant. When we re-initiated operations in the second half of 2023, the plant's capacity utilization stood at 30%. This figure increased to 40-45% during 2024. Looking ahead, we anticipate further growth, with capacity utilization expected to reach 60-65% in 2025. We are steadily expanding our customer base and consistently delivering high-quality products that meet customer satisfaction.

Sarang

The next question is with regard to the Cement segment . Given that the cement plant s are currently generating returns below the cost of capital, and considering the ongoing consolidation in the sector in India , have the Board of Directors considered divesting these asset s? A sale could potentially raise sufficient funds to reduce 35-40% of Rain's debt, that could significantly en

hance shareholder value and improve the company's valuation profile. What are the key considerations preventing such a move?

Jagan Nellore

As discussed in our previous calls, our Cement segment remains a cornerstone of our operations. It not only marks the beginning of our journey but also serves as a crucial diversification from our global Carbon Page 13 of 15 and Advanced Material segments. We recognize the inherent value in our cement business and are committed to enhancing it wherever possible. We have expansion plans for this segment over the next couple of years, which will be communicated once they materialize. While we may encounter turbulence along the way, we, as management, view every challenge as an opportunity for growth.

We anticipate that the Cement segment will contribute well in the coming

quarters, especially given the increasing consolidation in the South Indian cement industry, which is already showing signs of improvement in the second quarter of 2025.

Sarang

Thanks Jagan. Our final set of questions is for Srinivas.

You mentioned in the management commentary released earlier that the working capital requirements increased during the first quarter due to several factors. Could you please help us understand when the release of this working capital requirement is expected and roughly how much of a release you are anticipating during the second quarter, if any? Also, to what extent is working capital currently flowing out in anticipation of stronger volumes. More broadly, are you seeing any signs of hesitation or pullback from customers due to the ongoing tariff uncertainty and the evolving demand environment?

Srinivasa Rao

Thanks for the question Sarang. As mentioned during the management presentation, there are factors like the increase in prices due to new structural changes in the market, coupled with increases in volumes Page 14 of 15 resulting from relief granted by the honorable CAQM last year. In addition, the regulatory requirement of importing the entire quota of allocated GPC for the Indian Fiscal Year of 2024 to 2025 before the end of March 2025 contributed to an increase in working capital requirement in our Indian CPC plants during the first quarter of 2025. We expect the modest release of that working capital during the second and third quarters of 2025.

Sarang

Thanks, Srinivas. The next question is. With the increase in the prices of our products and the subsequent increase in working capital, how do we plan to repay any debt over the next 12 to 18 months?

Srinivasa Rao

Just to bring to everyone's notice, in March 2025, we repaid our long-term debt of Senior Secured Notes which were due in April 2025. The next major debt repayment is in September 2028. However, over the past one and a half years, we have reduced the debt by approximately 150 to 180 million dollars both during and after refinancing. Due to the ongoing increase in working capital requirements, we have to use the existing cash and the revolver facilities more for the same. However, we should see the softening of the same in coming quarters, after which we can plan for further reduction of debt.

Sarang

The next question is: How is the Russian entity operating? Are we seeing any challenges in the current, changing geopolitical dynamics?

Page 15 of 15

Srinivasa Rao

Russian entity is operating at optimum level. We have not seen any issues at this point in time. The operations are within Russia, as are the supplies of raw materials and the destinations of our finished goods. The operations are running smoothly.

Sarang

Thanks. Here is our last question for today's call.

all. Have we considered

raising equity either at the parent or subsidiary level? This could serve multiple strategic purposes: reducing balance sheet risk, funding new product development, and enabling refinancing at more favorable rates. Even if such an equity raise involves some dilution below intrinsic value, it may be a worthwhile trade-off to strengthen Rain's financial resilience and support long-term growth.

Srinivasa Rao

As of now, neither management nor the Board are evaluating any such option. Lots of discussions happen at the meetings. However, we will closely monitor the situation and take appropriate action at the right time.

Thank you, Srinivas, Jagan, and Gerry.

Ladies and gentlemen, this concludes RAIN 's Management Q&A session for the first quarter of 2025.

Call: May 2025

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RIL/SEs/2025 May 8, 2025

The General Manager
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East,
Mumbai – 400 051

Dear Sir/ Madam,

Sub: Transcript of Management Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the First Quarter ended March 31, 2025 – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, please find enclosed herewith the Transcript of Management Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the First Quarter ended March 31, 2025.

This is for your kind information and record.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

Page 1 of 19
RAIN Industries Limited
Management Commentary on Developments and Performance
during the First Quarter of 2025

Introduction by Sarang
Greetings to everyone. A warm welcome to you all for today's management presentation from RAIN Industries Limited. My name is Sarang Pani, and I serve as the General Manager of Corporate Reporting and Investor Relations at RAIN Industries Limited.

Earlier today, we have released our results for the first quarter ended March 31, 2025, and the same is also posted on our website.

Shortly, we will guide you through the performance highlights of RAIN Industries Limited for the First Quarter of 2025.

The speakers for today are:

Mr. Jagan Reddy Nellore – Managing Director of RAIN Industries Limited,
Mr. Gerard Sweeney – President of RAIN Carbon Inc., and
Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited.

Page 2 of 19

Before we proceed, the management would like to note that during this management discussion, forward-looking statements may be discussed that include various subjects such as outcomes, trends, targets, and strategic directions. These statements rely on our current projections and are subject to risks and uncertainties that could cause actual results to vary materially from those suggested by these forward-looking statements. There are certain risk factors that could lead to results differing significantly from our predictions. The discussion today contains certain non-GAAP financial measures; the related non-GAAP reconciliations are provided in the accompanying slides.

Please turn to Slide 3 at this time, where Mr. Jagan Reddy will offer insight to the key developments at the RAIN Group during the first quarter of 2025. Thank you, and now I hand it over to Mr. Jagan.

Slide 3 – Jagan Reddy Nellore:

Thank you Sarang and greetings to all,

Turning to Slide 3 of our presentation, let us begin with the cornerstone of our operation safety. RAIN closed the first quarter of 2025 with one recordable incident, resulting in a Total Recordable Incident Rate

(TRIR) of 0.06 for the three months ended March for all three business segments put together. This achievement underscores the unwavering commitment of our employees to maintain an industry-leading safety standard. However, this milestone also serves as a reminder that safety

Page 3 of 19

is a continuous journey, not a destination. We must remain vigilant, ensuring that every team member returns home safely to their families at the end of each workday.

The single recorded incident was an unusual office accident, unrelated to our operations. Nevertheless, we took immediate

action, conducting

a comprehensive review across all our global offices to prevent a similar occurrence in the future. This reinforces our belief that safety is not just about procedures—it is shaped by awareness and the environment in which we work.

Moving to financial performance, we concluded the first quarter with an Adjusted EBITDA of 4.34 billion Rupees. This represents a slight improvement from our fourth-quarter 2024 results and exceeds last year's quarterly performance. However, we acknowledge that we have yet to reach our normalized quarterly EBITDA target. Persistent challenges with raw material costs continue to impact our unit margins, limiting our ability to fully regain our expected earnings. Securing high-quality raw materials at competitive prices remains a priority, though we recognize the difficulties that have persisted over the last several quarters.

Market competition and supply constraints in certain segments have also posed challenges, exerting pressure on both volume and margins.

Page 4 of 19

Entering the first quarter, our focus was firmly on restoring our normalized operating margins to stabilize overall performance. While we have not fully reached this goal, the direction is promising, and results remain aligned with our expectations—fueling optimism as we head into the second quarter and beyond.

In our Carbon segment's Calcination business, the first quarter saw a significant surge in China's green petroleum coke (or GPC) market due to constrained supply. Consequently, prices for Chinese calcined petroleum coke (or CPC) rose sharply, nearly doubling for certain

qualities. While there has been some retreat since then, CPC prices in China remain roughly \$50 to \$100 higher than western world pricing. This shift provides some relief for our calcination business, as historically low Chinese CPC prices had pushed market rates downward over the past two years.

As discussed last quarter, the CPC market continues to experience raw material pricing pressure driven by the emerging battery anode materials (BAM) sector, which consumes low metal GPCs. The current price environment offers timely relief, balancing the headwinds created by BAM demand.

We are also pleased to report the arrival of our first cargos of U.S. - produced CPC in India—marking the reintroduction of non- Indian CPC

blend components into our Indian system after a six- year gap. This milestone is an indicator of our global blending strategy, which harnesses our global CPC production network alongside our logistics and blending capabilities. By leveraging these strengths, we are positioned to enhance our competitive supply to regions around India.

With these insights in mind, let us now review our first -quarter performance across business segments.

Across our Carbon segment, we experienced a modest 4 % quarter - over-quarter decline in volumes, primarily driven by CPC, while sales prices improved, helping to offset raw material costs.

Drilling deeper, CPC sales volumes declined by 7%, due to timing of certain shipments which were spilled over to the next quarter . Looking ahead, we anticipate reasonable growth in CPC sales volumes

throughout 2025, supported by the ongoing ramp -up of production capacity at our vertical shaft calciner plant in India, located within a Special Economic Zone (SEZ). Additionally, we are reactivating our

unique, integrated global blend strategy, which will provide further support.

These transformational shifts in our Carbon Calcination business highlight the importance of securing reliable access to GPC

— particularly as demand intensifies due to increasing competition from

Page 6 of 19

BAM manufacturers. Despite the evolving market landscape, we are strategically positioned to navigate challenges and capitalize on emerging opportunities.

In our Carbon Distillation business, we continue to manage disr

uptions

in raw material supply stemming from the ongoing war in Europe and a weakened global steel industry. These factors have notably reduced

local coal tar availability for our Carbon Distil lation facilities.

In response, we have rolled out technological innovations that broaden our raw material sourcing while mitigating the reduced European coal

tar supply. Additionally, our adaptable logistics infrastructure has been configured to secure ra w material volumes from greater distances,

though at a higher cost.

Finished product prices in this segment have risen modestly, helping to offset escalating coal tar costs and partially preserve margins. Our distillation volumes grew by 6% compared to the fourth quarter, in line

with expectations. Looking forward, we anti cipate higher volumes in 2025, driven by increasing pitch demand from European aluminum smelters.

Elsewhere in our Carbon Distillation segment, other Carbon Products volumes decreased by 2% during the first quarter, however with a 9% rise in prices.

Page 7 of 19

Turning to our Advanced Materials segment, profitability remained under pressure during the quarter due to raw material shortages in

Europe. While seasonality has historically impacted first -quarter results, this year's performance was further challenged by elevated raw material costs. Segment volumes declined by 13%, along with margins pressure, leading to lower profitability compared to Q1 2024. Despite these headwinds, our team is actively working with traditional and new suppliers to secure relief on raw material availability for the remainder of 2025. Our goal remains clear: to replicate the strong performance our Advanced Materials segment achieved in 2024.

Within the segment's subcategories:

- Engineered Products volumes remained stable quarter -over- quarter, driven by seasonal impacts, including demand fluctuations for asphalt sealer products.
- Chemical Intermediates volumes declined due to seasonal trends affecting end- user demand.
- Resins and Downstream Materials maintained flat volumes quarter -over quarter.

Looking ahead, we are cautiously optimistic. Our HHCR plant in Germany successfully completed routine maintenance in March, Page 8 of 19

allowing us to start the second quarter with increased production levels across multiple product lines. Moreover, efficiency improvements from recent technical innovations have helped lower HHCR operating costs. In Belgium, we have expanded sales volumes from our PA plant, improving operational efficiency while reducing per -unit production costs. Higher PA output also enables increased energy savings, as greater throughput allows our facility to generate more waste-heat steam for internal consumption.

On a broader scale, energy costs in Europe remained manageable during the winter months, aided by milder -than-expected temperatures.

However, demand recovery remains uncertain, with industrial sectors across Europe awaiting clearer signs of resurgence. While market sentiment for 2025 remains cautious, we remain committed to navigating evolving dynamics.

The global economic outlook remains turbulent, influenced by tariffs and ongoing conflicts. As of today, tariffs have had no material impact

on our business. Given the unpredictability of political developments, there remains a risk that future escalations could impact our operations. However, with the ever -changing nature of global trade policies, providing further guidance at this stage would be speculative. For now, Page 9 of 19

our priority remains clear —ensuring efficiency, competitiveness, and resilience in the market.

In regard to our cement segment, following a challenging year 2024, India's cement industry is poised for strong growth in 2025, driven by increasing construction activity and government infrastructure investments. The cement demand is projected to rise by approximately 8%, supported by improved sales realizations, higher margins, and accelerating project development.

Non-residential construction starts are expected to grow by 3.6% in 2025, marking a return to expansion after a slight decline last year. With market consolidation among national players in India throughout 2024, we anticipate stable net realizations and reduced competition among regional producers.

Pricing trends show gradual improvement, particularly as construction activity gains momentum in post -monsoon and festival seasons. We could see some of these positive initial indicators starting Second Quarter 2025. However, production costs continue to pose challenges, and management remains focused on optimizing operational efficiencies to mitigate impacts.

Page 10 of 19

In summary, we believe that the Cement segment is well -positioned to perform favorably in the quarters ahead.

Now, I will hand over the presentation to Gerry who will provide further updates on the industry and our business on Slide 4...

Gerry

Slide 4 – Gerard Sweeney:

Thank you, Jagan . Hello, everyone. It is a pleasure to speak with you again.

The outlook for the global aluminum industry remains strong, despite a slight retreat in aluminum prices during the quarter, which have now stabilized around the \$2,400 mark. This price level is supported by relatively low natural gas costs and expectations of increased demand amid persistently low LME inventories. In 2024, World Primary Aluminum production reached a new all -time high run rate of 73.1 million tonnes . However, even with this production increase, LME inventories remained at low levels.

Looking ahead, smelting expansions in India and Indonesia are expected to drive the start -up of new capacity in 2025. Furthermore, several additional smelter projects across various regions outside China are scheduled to come online in 2026, reinforcing industry growth potential.

Overall, the aluminum sector appears well -positioned for continued expansion, supported by stable pricing, favorable natural gas costs, and a resurgence in demand. Importantly, with the recent relief on import restrictions in India, our additional CPC production capacity will enable us to meet growing market needs while enhancing our global competitiveness.

Slide 5 – Gerry:

Referring to slide 5, which highlights key commodity price trends and our business performance during the first quarter of 2025, most prices remained relatively stable, with benzene being the notable exception. After a prolonged downward trend throughout 2024, benzene prices rebounded, marking an increase this quarter. We anticipate the positive effects of this shift will become more apparent in the coming quarters.

Natural gas prices in Europe reached an 18 -month high during the fourth quarter of 2024, largely driven by seasonal winter demand and supply curtailments throughout the year. However, as we moved into

the first quarter of 2025, these pressures eased, and natural gas prices have begun to decline once again.

Slide 6 – Gerry:

Turning to slide 6, which focuses on revenue distribution by end-industry, the aluminum sector accounted for approximately 43% of our total consolidated revenues on an LTM basis as of Q1 2025. We expect this figure to return to its usual range of 44% to 45% by the end of the year.

Our revenue streams remain well -diversified across various industries, including the construction and carbon black sectors, both of which continue to be critical contributors to our overall business performance.

With that, I will now turn the presentation to Srinivas, who will take you through the consolidated financial performance of RAIN on Slide 7. Srinivas, over to you.

Slide 7 – Srinivasa Rao:

Thank you, Gerry, and Hello everyone.

Turning on to Slide 7 , during the first quarter of 202 5, RAIN reported a consolidated net revenue of 37.46 billion Rupees , an increase of 0.89 billion Rupees from 36.57 billion Rupees during the same period in 2024. The increase was primarily due to a revenue increase of 2.65 billion Rupees in our Carbon segment , which was offset by a reduction in revenue of 0.97 billion Rupees in our Advanced Materials segment and a reduction of 0.79 billion Rupees in our Cement segment .

RAIN 's consolidated, adjusted EBITDA for the first quarter increased by 1.08 billion Rupees compared to the previous year . This was attributed to an increase of 1.63 billion Rupee s in the Carbon segment which was offset by a decrease of 0.44 billion Rupees in the Advanced Material s segment , and a decrease of 0.11 billion Rupees in the Cement segment .

Slide 8 – Srinivasa Rao:

Moving to Slide 8 , we can see that, f or the first quarter , ending on March 31, 202 5, our Carbon segment reported revenue of 27.34 billion Rupees, an increase from 24.69 billion Rupees during the same period in the previous year.

During this quarter, the increase in volumes was primarily driven by increased CPC volumes , due to higher capacity utilization of our Indian calcination plants following the relief from import restrictions. During the

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first quarter of 2025, the average blended realisation decreased by about 5.0 percent on account of lower market quotations in the Coal tar pitch business. There was an appreciation of the Euro against the Indian Rupee by about 1.0 percent , and an appreciation of the US Dollar against the Indian Rupee by about 4.4 percent .

Overall, due to the aforesaid reasons, revenue from the Carbon segment increased by about 10.8 percent in the first quarter of 2025, as compared to the first quarter of 2024.

The Adjusted EBITDA for the Carbon segment increased by 1.6 3 billion Rupees compared to the first quarter of the previous year. This was primarily driven by increased volumes and increased margins due to re-setting of CPC prices to recover the increase in raw material prices coupled with appreciation of Euro and US Dollar against the Indian Rupee by about 1.0 percent and 4.4 percent respectively.

Slide 9 – Srinivasa Rao:

Moving on to slide nine, we can see the Advanced Materials segment's performance.

During the quarter ending March 31st, 2025 , our Advanced Materials segment earned revenues totaling 7. 24 billion Rupees, a decrease from 8.21 billion Rupees during the same period in the previous year.

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During this quarter, the decrease in volumes was primarily driven by lower demand in chemical intermediates and resins sub- segments. During the first quarter of 2025, average blended realisation increased by 1.3 percent . Further, revenue increased due to the appreciation of the Euro against the Indian Rupee by about 1.0 percent .

Due to the aforesaid reasons, revenue from the Advanced Materials segment decreased by about 11.9 percent during the first quarter of 2025, as compared to the first quarter of 2024.

Adjusted EBITDA de creased by 432 million Rupees compared to the first quarter of 2024, due to lower volumes in certain sub- segments coupled with increase in natural gas prices, offset by the appreciation of the Euro against the Indian Rupee.

Slide 1 0 – Srinivasa Rao:

Moving on to slide 10, we can look at our Cement segment , which experienced a 21.5 percent decline in revenue in the first quarter of 2025 compared to the same period in 2024 , attributable to a 13.4 percent fall in volumes and 9.4 percent reduction in realisations due to market consolidation by national players in this segment . The Adjusted EBITDA for our Cement segment saw a downturn of 108 million Rupees, due to lower selling prices and volumes.

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Slide 11 – Srinivasa Rao:

Moving on to the next slide on debt , slide 11.

The first quarter concluded with

a gross debt of 989 million US dollars , which includes working capital debt of 184 million US dollars. Our net debt stood at 854 million US dollars, and , with an LTM EBITDA of 190 million US dollars, our net debt to EBITDA ratio was 4.5x. Over the next few quarters, as performance improves we anticipate this leverage ratio to gradually approach 3.0x.

In terms of liquidity, we closed the quarter with 278 million US dollars, comprised of a 120 -million US dollar cash balance and 158 million US dollars available in undrawn credit facilities.

During the quarter , we repaid the US dollar -denominated Senior Secured Notes which were due in April 2025, amounting to 44 million US dollars. The next major long-term debt repayments are scheduled to start in October 2028.

During the quarter , our working capital requirements increased significantly . This was due to several factors. One was thanks to the approval we were granted to import more raw materials at both of our calcination plants in India versus the past import quantity restrictions.

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Another factor was the completion of the Indian financial year , by which raw material import quotas for our DTA plant in Vizag must be utilised. The third factor was higher price quotations for raw materials . For these reasons , we utilised the existing cash balance as at the beginning of the year and also increased working capital borrowings during the quarter.

Regarding maintenance capital, the group spent approximately 14 million US dollars during the first quarter of 2025 across all locations.

I will now pass over the presentation to Mr. Jagan for his Closing Remarks.

Closing Remarks – Jagan Reddy Nellore:

Thank you, Srinivas.

As outlined in our earlier comments, 2025 has ushered in a positive shift in our CPC markets. With better positioning and strategic planning, we are well -equipped to capitalize on these favorable market dynamics and drive sustained progress in the coming quarters. Our distillation business remains a valuable contributor, though it continues to experience pricing pressure from raw materials.

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To address this challenge, we are actively working on the realignment of raw materials to enhance margins and bolster overall profitability.

While this effort requires adaptability and innovative problem -solving, we are confident in our ability to rise to the occasion. The foundation we have built over the past year positions us well to seize emerging market opportunities and regain traditional earnings levels.

A particularly encouraging development has been the relief granted by the CAQM in India, lifting import restrictions after six long years. This milestone has reinvigorated our enthusiasm and unlocked new operational efficiencies. With our Indian and US carbon calcination facilities now running optimally, we are seamlessly reintegrating our global blend strategy, strengthening our competitiveness. Our

commitment to restoring the company's earnings remains unwavering, and we are optimistic that this breakthrough will accelerate our path forward.

Looking beyond 2025, we see promise on the horizon. We are especially excited about the potential of our newly announced research and development laboratory and demonstration plant for Energy

Storage Materials and Battery Anode Materials in Canada. This investment positions RAIN as a key player in the rapidly expanding EV and battery markets. Through this demonstration plant, we will further solidify our reputation for excellence in battery technology, showcasing

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the relevance of our products while exploring new applications and supply chain opportunities.

Additionally, we are continually driving efficiencies and volume improvements at our HHCR facility in Germany, which produces cutting-edge adhesives for packaging and hygiene products—industries that are growing steadily

in response to increasing environmental consciousness.

Despite the complexities of an ever-evolving global landscape, we remain excited about the future and deeply confident in our strategies.

The dedication, ingenuity, and perseverance of our teams are the driving forces behind our continued success. By working together, we will turn challenges into opportunities, ensuring a prosperous trajectory for RAIN and all our stakeholders.

We sincerely appreciate your ongoing support for RAIN Industries Limited and look forward to sharing further updates in our upcoming quarterly presentation.

Call: Aug 2025

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RIL/SEs/2025 August 18, 2025

The General Manager
Department of Corporate Services BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort Mumbai-400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East, Mumbai – 400 051

Dear Sir/ Madam,
Sub: Management Commentary on Un-Audited Financial Results of the Company
(Standalone, Consolidated and Segment) for the second quarter and half year ended
June 30, 2025 – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)
With reference to the above stated subject, given below is the link to the Management
Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated
and Segment) for the second quarter and half year ended June 30, 2025:
Link for Audio – Management Commentary:

<https://rain-industries.com/images/RIL-Q&A-Q2-2025.mp3>

Please also find attached herewith the Transcript of Management Commentary on Un-
Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the
second quarter and half year ended June 30, 2025.

This is for your kind information and record.
Thanking you,
Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

Page 1 of 24 Sarang
Good day ladies and gentlemen.
Welcome to the Rain Industries Limited Q&A session for the Second
quarter of 2025. My name is Saranga Pani, and I serve as General
Manager of Corporate Reporting and Investor Relations at Rain Industries
Limited.
The speakers for today are:
- Mr. Jagan Reddy Nellore – Managing Director of Rain Industries
Limited
- Mr. Gerard Sweeney – President of Rain Carbon Inc.; and
- Mr. T. Srinivasa Rao – Chief Financial Officer of Rain Industries Limited

Following the Earnings Presentation and Management Commentary
released on August 6th, 2025, we have received various questions from
investors and analysts concerning recent industry developments and their
potential impact on our company's performance. RAIN Management will
be addressing these questions in this session .

Before we proceed, the management would like to note that during this management discussion, we may make forward -looking statements that include various subjects such as outcomes, trends, targets, and strategic directions. These statements rely on our current projections and are subject to risks and uncertainties that could cause actual results to vary materially from those suggested by these forward -looking statements. There are certain risk factors that could lead to significant deviations from our predictions.

Page 2 of 24 With that, we will now start the discussion today with Gerard Sweeney...

Sarang:

Gerry, could you provide a brief business update outlining the steps taken to use alternate raw materials in the Carbon and Advanced Material s segments? Also, what percentage of these alternates can we use by 2026, and what benefits do we expect for volumes and margins?

Gerard Sweeney

Thank you Sarang. It is a Good Question.

In our Carbon segment's calcination operations, it is essential to understand that the strategic focus is not merely on incorporating alternative raw materials into our blends. Rather, the emphasis lies in our ability to source diverse grades of Green Petroleum Coke (or GPC) that were previously considered logistically impractical or economically unviable to transport. To overcome these challenges, we are actively developing and impleme

nting innovative logistics solutions aimed at improving the efficiency and cost-effectiveness of raw material transportation. This is particularly critical given that freight costs represent a substantial portion of the overall raw material expense. By optimizing logistics and expanding our sourcing network, RAIN will be able to reduce the cost of raw material blends while enhancing supply chain flexibility.

Although the use of Anhydrous Carbon Pellets (or ACP) is not expected to have a significant impact in the short term, it is important to note that RAIN pioneered the concept of using ACP to structurally enhance GPC. Page 3 of 24 This innovation enables us to better utilize a broader range of GPC materials in our blends, improving both performance and cost efficiency.

While it is difficult to quantify the exact volume and margin benefits of our global blend strategy for 2026, we anticipate positive contributions in terms of increased throughput and improved capacity utilization. Specifically, the integration of alternative raw materials into our Carbon calcination operations is expected to support margin enhancement and strengthen our competitive position.

Turning to alternative raw material use in our Carbon segment's distillation business, we have steadily increased the use of alternate raw materials over the course of the past decade , which began as an R&D project. We have creatively used these new raw materials in a range of specialty products with benefits towards both environmental impact as well as technical performance while also developing and successfully testing with selected partners the use of these new formulated products for standard applications in binders and distillates. RAIN is now using alternate raw materials on a global scale at our Carbon distillation facilities. The volumes of alternative raw materials already employed in most blends allow us to make up for the decreasing availability of certain raw materials globally, due to gradual shift from blast furnace steel production to electric -arc steel production. Therefore, this continuing initiative should contribute to better volumes and margins during 2026. In parallel to all of these positive developments , RAIN's R&D department is actively exploring multiple bio-based solid and liquid raw materials across our three segments . These efforts include both internal initiatives and collaborative projects with customers and suppliers. The future Page 4 of 24 adoption of these sustainable materials will largely depend on the evolving

priorities of our customer industries and their commitment to transitioning toward greener raw material platforms.

For example, our Advanced Materials segment has many sub-segments. Our most visible strides in the use of alternative raw materials have been from increasing use of bio-based raw materials in our NOVARES resins portfolio. As you may have seen in RAIN's integrated annual report for 2024, we have achieved ISCC-plus certification at our Duisburg, Germany resins plant thanks to these efforts. Our NOVARES-eco line of materials has seen very favorable market reaction, and RAIN's customers are increasingly seeking to lower the carbon footprint of the materials which they produce using our resins.

In Advanced Materials' sub-segment of Engineered Products, we have been using alternative raw materials for several years in our PETRORES and LIONCOAT lines of materials used in the production of lithium-ion batteries. As we continue to grow our energy storage materials business line beyond these products through our R&D work, we are also beginning to understand what alternative

solid raw materials can be considered in Battery Anode Materials going forward. The recent opening of our comprehensive research facility in Hamilton, Canada is allowing us to gain valuable insight into various materials that could be used in the future. The start-up of our demonstration facility will further support our research efforts and will advance our understanding of the potential volume and margin value proposition here. Beyond the revenues from our current energy storage materials' product lines, the research, development and demonstration facilities are expected to make a meaningful additional contribution to the Advanced Materials segment in the medium term.

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Sarang:

Thanks, Gerry and to following up on the earlier question, Would RAIN be the only company in the world to use such alternate raw materials? Do we have patents on the usage of any of these materials?

Gerard Sweeney

In terms of using alternative Carbon calcination and distillation raw materials, in general there are no distinct patent protections currently in place. The main barriers to entry surround capital investments, the leveraging of a global asset portfolio and a deeper processing know-how. On our ACP product, RAIN does indeed have a product patent in place to protect our intellectual property.

Sarang:

Thanks Gerry. Our next question is regarding the Carbon segment's distillation business. What challenges are we facing in distillation? Are we looking at increasing volumes in that area in the second half of this year?

Gerard Sweeney

The challenges of our Carbon segment's distillation business are many-fold right now. Most, however, are linked to the Russian-Ukraine conflict over the last several years. Initially, skyrocketing energy prices in Europe resulted in production curtailments by several aluminum smelters which were native customers for our European operations. Next, the elimination of both Russian and Ukrainian coal tar from the historic European supply pool, due to a combination of factors, has greatly limited the availability of traditional coal tar raw materials in Europe. Lastly, the recessionary trend, which has stemmed from the war in Ukraine, has resulted in high energy prices and shifting supply chains. These changes have increased costs and forced steel mill rationalizations in Europe over the last few years, further exacerbating the coal tar supply situation.

In addition to our continuously increasing use of alternative raw materials and sources, our focus will be cost control to re-establish margins and then grow back volume over time.

Sarang

Thanks, Gerry. The next question is on RAIN's Carbon calcination

business . Why was there a surge in Chinese prices for Calcined Petroleum Coke (or CPC) during the first and early second quarters, and why did this fall later on in the second quarter ?
Will there be an impact from China' s self-imposed cap on aluminum production capacity at 45 million tons per annum?
How will this likely be offset by aluminum smelter expansions in Indonesia and other areas ?

Gerard Sweeney

The surge in Chinese CPC prices during early 2025 was primarily the result of a surge in GPC prices , driven by reduced refinery GPC output within China . Several major Chinese refiner ies who produce anode grade GPC were down for scheduled maintenance during the fourth quarter of 2024 and the first quarter of 2025. As a result, CPC prices substantially increased , and it was not due to an improvement in CPC demand. Once Page 7 of 24 these cokers restarted, the upward price pressure on GPC and CPC reduced.

As a result, by the end

of the second quarter, Chinese CPC prices had retreated fairly substantially but remained above earlier levels by about 100 to 150 US dollars per ton.

We do not anticipate any large -scale impact in the immediate future from the government -imposed aluminum production cap on Chinese aluminum smelters . If anything, it allows other global smelters , especially in Indonesia and the US, to build new capacity and restart idled capacities, providing more global sales opportunities for RAIN's Carbon segment products , both in distillation and calcination .

Sarang

Thanks, Gerry. Next is a follow -up question on the Carbon calcination business . Where do you export your CPC , since US and European primary aluminum production has steadily fallen ? Where are you redirecting your CPC product s, and given that it can be exported steadily, is this good , or is their competition from China ?

Gerard Sweeney

Our CPC export s have historically been shipped majorly to European, North American, South American, African and Middle Eastern aluminum smelting customers. While exports from India have been limited in recent years due to restrictions, we now have the ability to compete effectively in these areas .

Page 8 of 24 As such, we have recently focused on building up our customer base in strategically freight -logical locations globally to place the increased CPC volumes resulting from our global blend strategy .

Sarang

Moving to the next question, are any shutdowns anticipated by RAIN or any industry peers producing CPC or CTP? We have observed recent expansions in CPC production within China. Are there any potential closures to note?

Gerard Sweeney

RAIN has no plans for curtailing any of our facilities at this time.

Regarding Carbon calcination, we only have one idle facility in the US at present . Restarting some of that idle capacity is under consideration for 2026 and will be thoroughly evaluated as we speak to customers and enter the 2026 budgeting process during the fourth quarter. Regarding any CPC production expansions or restarts in China during 2025 , China is already GPC deficient for all the aluminum demand, so further building of new calcination capacity in China is questionable currently, except to replace existing facilities .

Regarding Carbon distillation , there is pressure on smaller distillers in Europe due to the reduced availability of coal tar throughout the continent

as mentioned earlier . Without a global asset play, the ability for arbitrage between continents and the years of vigorous research to develop alternative raw materials , it would be getting difficult to be an isolated distiller of coal tar located only in Europe.

Sarang

Moving on to the next question, oil prices have been volatile recently – how you have managed to contain the impact ?

Gerard Sweeney

The recent oil price volatility has been due to a combination of the recent conflicts in the Middle East and on-going uncertainty on international trade flows as the US continues to negotiate new trade agreements with other nations and economic blocs .

Oil prices have little to no impact on our Carbon segment's calcination business beyond the links to transportation fuel prices . However, oil prices do have some impact on the pricing of both our raw materials and our finished goods in both our Carbon segment's distillation business and in our Advanced Materials segment . Oil price volatility usually causes companies and economies to change the speed at which they make purchasing commitments and investments . As such, in some countries and product lines, we saw customers ordering more products from RA

IN,

and in other areas , customers delayed their purchases from RAIN. While there may be opportunities which arise during times of volatility, in general, businesses are more stable, and business decisions are made in a more predictable manner, when there is less volatility.

Page 10 of 24 Sarang

Thank you, Gerry. We now have a few questions for Mr. Jagan. The first question is regarding CPC blending . With RAIN's global CPC blending system getting restarted, will RAIN be able to operate its CPC plants at full capacity ?

With the CPC import allocation given to the SEZ unit in India , and increased GPC import allocation compared to the previous year, the expectation was for higher CPC sales volumes. Is there an increase reflected in inventories instead , and what portion of the incremental volumes is accounted for in current stocks? Is there potential for improved volumes in the upcoming quarter?

Jagan Nellore

Thank you Sarang for the question. As you cite in your question, having received the allocations needed to improve production and to re-start our global blending system , our goal during 2025 was to ramp up the CPC capacity at our Indian calcination plants . Key to this ramp up was the sufficiency of sales to support the production levels. We are vigorously pursuing sales both domestically (for our DTA unit) and internationally (for our SEZ unit) to support our sales plan, allowing us to produce at optimum capacity at the Indian calcination facilities.

Inventory levels were elevated at the end of the first quarter, due to the import quotas which had to be met by March 31

st. With the new quotas ,

and with both plants in operation at optimum capacity , inventory levels will

Page 11 of 24 remain higher compared to prior periods . Additionally, inventory levels will

be impacted by the resumption of the blending operations , which does increase the inventory days due to the longer logistical supply chain , from procurement, to processing, to shipping the finished products, to blending and then selling to the customers.

With regards to sales volumes, there is still room for increased annual sales volumes going forward, as we were ramping up production in India and the US throughout the first half of 2025 and have not yet restored the blending operations fully.

Sarang

Thanks, Jagan. The next question is, Inventory remains high, and

management noted CPC prices fell at last quarter's end. What are current CPC prices, and is any inventory loss expected?

Jagan Nellore

CPC prices have been reducing so far during the third quarter and have somewhat stabilized, as a result of the Chinese market price reductions. Given the sharp and fast increase in CPC prices during the end of the first quarter and the start of the second quarter, we had not completely increased our own CPC prices to the Chinese levels before Chinese prices began to fall. As a result, we do not foresee any material inventory write offs going forward.

Page 12 of 24 Sarang

Next question: With an increase in demand for, and the price of, aluminium, why aren't CTP and CPC seeing similar benefits? Are there any restarts in the USA, or Europe, and to what extent?

Jagan Nellore

While CPC and CTP are both essential raw materials for the primary aluminum smelting industry, they do not share the same supply and demand symmetry as primary aluminum, nor as each other for that matter. Prices for our CPC and CTP products are driven by the cost of their relative raw materials. The ultimate demand for those Carbon products stems from aluminum and other industries. As evidence, the earlier mentioned spike in Chinese GPC prices res

ulted in a spike during the second quarter of CPC prices. Once the GPC supply in China returned, prices dropped again because demand did not outstrip supply during the quarter. On the CTP side, for example, we have seen weaker demand from the graphite electrode industry, which is having an impact on market prices.

Sarang

Thanks. The next question is, where are we with the announced CTP production of 50 thousand tons in India as well as further plans of expansion. Why such a soft expansion approach? What are the potential benefits in terms of volumes and margins that we expect from the pitch facility in India? By when can we see the revenues being generated from this segment?

Page 13 of 24 Jagan Nellore

RAIN has already secured the permits for the Carbon distillation operations in India, and, after a slight delay on the finalization of the location for the operations, we are now moving forward again. We have decided on a phased approach to this new regional market activity, starting with coal tar pitch, and then increasing those volumes. After the first two stages, we will evaluate a third stage to incorporate "other carbon products" into the production and sales mix. Therefore, the Indian Carbon distillation volumes, product lines and margins will ramp up over time. It is too early to speculate on the final margins, but we can say that we expect to begin generating revenue from the Indian Carbon distillation activities in later part of 2026.

Sarang

Thanks, Jagan. The next question is, one of your competitors in their investor call mentioned that the coal tar distillation industry could benefit from a rationalization of capacity. Are you considering any capacity rationalization to enhance profitability for RAIN?

Jagan Nellore

While we do not comment on competitors' statements, we remain focused on continuously evaluating strategic opportunities to enhance profitability and operational efficiency across our own operations. Our foremost priority is to maintain a reliable and uninterrupted supply to our customers. We achieve this by proactively managing costs, optimizing production processes, and reinforcing our supply chain resilience.

Page 14 of 24 For example, a recent disruption involving one of our key raw material suppliers may temporarily impact on our supply chain. In response, we are swiftly activating contingency plans, including securing alternative materials and reassessing procurement strategies. These actions reflect our commitment to operational agility and our ability to navigate industry challenges while safeguarding customer commitments.

We remain confident in our ability to navigate industry challenges and continue delivering strong performance through disciplined execution and strategic foresight.

Sarang

Thank you, Jagan. The next question is on tariffs. Under Section 232, the U.S. aluminium industry now benefits from 50 percent tariffs, leading to higher aluminium prices. As a core raw material supplier, do you foresee any opportunity to pass on the incremental GPC costs to the end consumers of CPC?

Jagan Nellore

It is true that certain segments of the aluminum industry may experience favorable pricing due to tariff protections. However, CPC as a product, and also CTP for that matter, is not currently subject to any tariffs. Hence our endeavor will be to align our pricing with the Import Parity Price for similar quality CPC or CTP, which is calculated based on the Free on Board (or FOB) price from the exporting country, plus shipping, port handling, and storage costs.

Page 15 of 24 Sarang

The next question is, What is the capacity utilization level current

tly across

facilities and divisions? What is the scope for increasing the utilization levels further ?

Jagan Nellore

Our Carbon segment operated at approximately 68% of capacity. Advanced Materials was at about 63% and Cement was at 70%. We are working on opportunities to increase utilization in the Carbon segment, and we should see improvement going forward.

Our Advanced Materials segment is currently exploring opportunities to enter new markets and, if those are successful, we will see an improvement from that segment as well.

In our Cement segment, we are actively focusing on optimizing outward freight logistics as a key lever to enhance operating margins. By improving transportation efficiency and reducing distribution costs, we aim to strengthen the overall profitability of this business. This freight optimization strategy is particularly important as we are preparing to respond to the demand growth in our targeted markets. We expect this groundwork to support a scalable increase in volumes, enabling us to capture growth opportunities more effectively while maintaining cost discipline.

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Sarang

Thanks, Jagan. The next question is, have the new emission norms for calciners taken effect in India? If yes, how is it going to impact the calciners in India?

Jagan Nellore

The new air emission standards for petroleum coke calciners in India have officially come into effect, marking a significant step toward stricter environmental compliance in the sector. However, it is important to note that calciners currently not in compliance with these updated standards have been granted a transition period until December 2025 to align their operations accordingly.

Based on the information available to us, non-conforming calciners that fail to meet the new National Emission Standards by the December 2025

deadline may face regulatory action, including potential shutdowns. This underscores the urgency for all operators in the sector to accelerate their compliance efforts and invest in necessary upgrades to emission control systems, thereby providing a level playing field for those calciners that are already in compliance with the new National Emission Standards .

Sarang.

Our next investor question is, What is the long-term impact of the battery anode market's demand for GPC? Will this reduce margins or can calciners pass on cost increases? When can we start seeing meaningful revenues being generated from RAIN's new R&D initiatives?

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Jagan Nellore

It is too early to predict the impact that BAM raw material demand may have on GPC for calcining, from both volume and pricing perspective . That industry continues to grow rapidly in demand, and the use of Lithium - Ion batteries is still in its infancy . As calciners produce CPC mainly for the aluminum and titanium dioxide industries, we look at the BAM producers more from a competitive perspective, specifically evaluating how well placed are we against our competition . Simply put, we believe that RAIN is an ideally placed global calciner for the long term. We benefit from preferential placement compared to the largest pool of both traditional and alternative raw materials, and we have invested strategically in unmatched assets which support our unique global blend system.

We see contributions from our R&D team every quarter , as they are continually supporting our commercial activities, allowing us to either produce using alternative raw materials or modify our existing product lines to meet new environmental and customer requirements.

With regards to our new energy storage materials center in Canada , it is only an R&

amp;D and demonstration facility . As such, it is not expected to contribute materially to revenues . However, it is designed to help formulate additional new materials for future sales and to generate increased sales of the battery material s which RAIN today sells only to the Asian market . It will help to grow Asian sales while position ing RAIN as a key, strategic partner in the North American battery materials supply chain.

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Sarang

The next question is with regard to the Cement segment . Have you considered selling the cement plant s to reduce debt? This would save at least 40 million dollars in annual interest, despite being a permanent loss of capital. With weak returns — just 11 million dollars in EBITDA this quarter — the net savings would be 30 million dollars, plus a stronger balance sheet. The current consolidation opportunity in India will not last. Or is any Cement segment expansion planned?

Jagan Nellore

As highlighted in previous quarterly updates, our Cement segment continues to play a vital role in diversifying RAIN's global business portfolio, complementing our core operations in Carbon and Advanced Materials. This diversification not only strengthens our overall business resilience but also provides a stable revenue stream from a regionally grounded industry.

We are seeing encouraging signs of performance improvement within the Cement segment, particularly in South India, where market dynamics and operational efficiencies should contribut e to stronger results. In light of this positive momentum, we have no plans to divest the cement business.

On the contrary, we are actively evaluating opportunities to expand our presence in the cement sector. These expansion plans are currently under

strategic review and will be formally announced in the upcoming quarters. This reflects our long-term commitment to the segment and our confidence in its potential to deliver sustained value.

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Sarang

Thanks Jagan. Our final set of questions is for Srinivas.

Are we on track to refinance debt in 2026? Or is it likely to be postponed due to the working capital requirements? March 2026 is the earliest time that we can refinance the US bonds. And what about the European term loan?

Srinivasa Rao

Thanks for the question Sarang.

With regard to the 2029 Senior Secured Notes, they were issued as 6-year notes with a 3 year "no call" period, which expires on March 1st, 2026. We are actively monitoring market and will act decisively when market conditions are favorable.

As for our European term loan (or TLB), which matures in October of 2028, we have flexibility to repay it whenever excess cash is available and we had done in the past two years, reducing the outstanding debt by approximately 44 Million Euros.

Sarang

Thanks, Srinivas. The follow-up question is that Interest rates have come down by more than 100 bps across geographies. Even if we exclude the fixed rate debt we have, the interest cost should have been reduced by 5 percent. Why is that not seen? Some part must be due to higher working capital limit utilization, but can we expect the interest expense to come Page 20 of 24 down below 150 crore Rupees per quarter in the near future? What are various options we are evaluating to reduce debt? Is there a possibility of reducing debt by 25 to 30 percent in the next 12 to 18 months? Clarity on debt reduction would immensely help the shareholders.

Srinivasa Rao

To clarify the increase in interest costs observed in the current quarter compared to the first quarter of 2025, this rise is primarily attributed to two factors. First is the Higher Working Capital Utilization

that resulted in increased operational requirements which led to greater reliance on working capital facilities. Secondly, the Indian Rupee depreciated by approximately 7 percent against the Euro, which impacted our foreign currency-denominated liabilities.

As of now, RAIN's total gross debt, including working capital borrowings, stands at approximately One Billion US Dollars. With an average interest rate of 9 percent, this translates to an annual interest expense of roughly 90 million dollars. Looking ahead, we anticipate a release of working capital over the next two quarters, which should result in a reduction in gross debt by around 10 percent. Consequently, this would lead to a proportional decrease in interest costs, supporting improved financial efficiency and margin enhancement.

On repayment of principal amounts, based upon various factors, including the funds required due to the increase in capacity utilization in our Carbon segment, we will decide the required working capital and the best course of action, which includes a combination of repayment and refinancing of debt with lower interest costs in the next 12 months.

Sarang

The next question is: What has increased in other operating income – 220 to 660 million Rupees?

Srinivasa Rao

Other operating income includes 5 million US dollars relating to the proceeds from insurance claims for the breakdown of our Lake Charles Carbon plant during January of 2024.

Sarang

The next question on Capex spent for the first half of 2025 was 28 million US dollars, which looks low – as maintenance CAPEX is around 70 million dollars . What are the plans for the rest of the year?

Srinivasa Rao

As part of the cost-saving initiatives and in response to increased cash requirements to support working capital needs, we are currently focused on reducing discretionary maintenance projects, without compromising on Page 22 of 24 operational performance . We expect that 2025 CAPEX will be below the typical spending levels .

Sarang

The next question is: Can you explain the reason for the increase in goodwill by approximately 400 Crore Rupees ? Where can we see the corresponding impact on the liabilities side?

Srinivasa Rao

The increase in goodwill is on account of depreciation of the Rupee against the Euro by 13 percent between December 2024 and June 2025. The corresponding impact will be in the other equity line item of liabilities (in Foreign Currency Translation Reserve (or FCTR)).

Sarang

Thanks. The next question is, Other expenses have fallen to 9,068 Million Rupees from 9,400 Million quarter-on-quarter, and 10,200 Million year-on-year. What does this comprise of, and what is the reason?

Srinivasa Rao

The primary driver for reduction in the current quarter compared to first quarter of 2025 , or even the second quarter of 2024 , is due to lower power , fuel, freight , repair and maintenance costs .

Page 23 of 24 Sarang

Thanks. The next question is, why has the depreciation expense increased by more than 10 percent in recent quarters? What was last year's impairment of 73 crore Rupees for, in terms of projects?

Srinivasa Rao

The increase in depreciation is majorly driven by devaluation of the Rupee against US Dollar and Euro compared to earlier periods . The impairment of 73 crore Rupees reported in 2024 relates to certain expansion projects that were initiated earlier which were no longer viable, due to changing market conditions. As these projects were no longer intended for implementation and related equipment has no alternate use, accounting standards require these assets to be expensed in income statement .

Sarang

Thanks. Here is our last question for today's session . Why has current tax increased so much and is 60 percent of Profit Before Tax.

Srinivasa Rao

This is a good question. As we have discussed in previous quarterly calls, our current tax expense has been influenced by regulatory limitations in key jurisdictions , specifically the United States and Germany. Under prevailing tax laws in both countries, the deduction of interest expenses in income tax filings is restricted to 30 percent of EBIT. Any interest Page 24 of 24 expense exceeding this threshold cannot be claimed in the current year and must be carried forward for deduction in future periods.

Given the recent decline in earnings in these regions, coupled with relatively high interest costs, this limitation has resulted in elevated current tax expenses in recent quarters. While the deferred interest deductions may benefit us in future quarters, the immediate impact is a higher effective tax rate in the short term.

Thank you, Srinivas, Jagan, and Gerry.

Ladies and gentlemen, this concludes RAIN's Management Q&A session for the second quarter of 2025.

Call: Nov 2025

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RIL/SEs/2025 November 12, 2025

The General Manager
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East,
Mumbai – 400 051

Dear Sir/ Madam,

Sub: Management Commentary on Un-Audited Financial Results of the Company
(Standalone, Consolidated and Segment) for the third quarter ended September 30,
2025 – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, given below is the link to the Management
Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated
and Segment) for the third quarter ended September 30, 2025:

Link for Audio – Management Commentary:

<https://rain-industries.com/images/RIL-Q&A-Q3-2025.mp3>

Please also find attached herewith the Transcript of Management Commentary on Un-
Audited Financial Results of the Company (Standalone, Consolidated and Segment) for the
third quarter ended September 30, 2025.

This is for your kind information and record.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

Page 1 of 26 Sarang
Good day ladies and gentlemen.
Welcome to the RAIN Industries Limited Q&A session for the Third quarter
of 2025. My name is Saranga Pani, and I serve as General Manager of
Corporate Reporting and Investor Relations at RAIN Industries Limited.

The speakers for today are:

- Mr. Jagan Reddy Nellore – Managing Director of RAIN Industries Limited
- Mr. Gerard Sweeney – President of RAIN Carbon Inc.; and
- Mr. T. Srinivasa Rao – Chief Financial Officer of RAIN Industries Limited

Following the Earnings Presentation and Management Commentary released on 6th November 2025, we have received various questions from investors and analysts concerning recent industry developments and their potential impact on our company's performance. RAIN Management will be addressing these questions in this session .

Before we proceed, the management would like to note that during this management discussion, we may make forward -looking statements that include various subjects such as outcomes, trends, targets, and strategic directions. These statements rely on our current projections and are subject to risks and uncertainties that could cause actual results to vary materially from those suggested by these forward -looking statements. Page 2 of 26 There are certain risk factors that could lead to significant deviations from our predictions.

With that, we will now start the discussion today with Gerard Sweeney...

Sarang:

Gerry, the first question is regarding Aluminium industry in general , and RAIN's Carbon segment . RAIN 's sales to the aluminium sector contributed 42% of consolidated revenue in 2024. Could you provide insights into aluminium smelter demand for RAIN 's products across key geographies, specifically Indonesia, the Middle East, the United States, and China? Are there any notable restarts occurring in these regions? Additionally, how are negotiations with major customers progressing regarding 2026 contracts? With China imposing production caps on aluminium smelters in 2024, what is your assessment of the impact on global supply -demand dynamics for aluminium ? Does this present a structural advantage for RAIN by potentially shifting production and increased CPC demand to

Indonesia, the Middle East, and the United States, where RAIN has stronger market access?

Gerard Sweeney

Thank you, Sarang. It is an excellent question. We continue to see strong momentum in global aluminium demand throughout 2025, and current market indicators suggest that LME prices will remain elevated well into the first half of 2026. Historically, incremental demand was largely met by additional Chinese smelter capacity. However, with the Chinese government now enforcing strict caps on national smelting capacity, the Page 3 of 26 supply response to this sustained demand growth will increasingly come from smelters outside China.

This structural shift creates a good opportunity for RAIN. We expect non-Chinese smelters to drive higher demand for CPC and pitch, and RAIN is well-positioned to capture that growth. Our strategically located production facilities, combined with our investments in a flexible and efficient logistics network, give us a leverage in serving these markets quickly and reliably. In short, we see this as a favourable long-term trend that aligns perfectly with RAIN's capabilities and growth strategy.

Sarang:

Thanks, Gerry. The next question refers again to our Carbon segment , both Calcination and Distillation . Given the intensifying competition for Green Petroleum Coke (or GPC) and challenges in raw material procurement, is it anticipated that the new normalized EBITDA per ton will be lower than US\$50, compared to the historical range of US\$60–US\$80? What measures are being implemented to sustain traditional levels of profitability within the CPC business? Additionally, as cost pressures and supply issues persist in both calcination and distillation, is there scope to further increase the use of alternative raw materials?

Gerard Sweeney

As was seen in our Q2 and Q3 2025 performance, we have successfully regained a portion of our normalized margins within the carbon business. This recovery has been a key driver behind the improved earnings we have delivered over the past couple of quarters. While raw material pricing Page 4 of 26 remains the single most significant challenge to fully restoring margins over the long term, we are actively managing this headwind.

The impact from Battery Anode Materials (or BAM) continues to be a factor, but we are confident that these pressures will normalize over time. Similarly, the coal tar dynamics driven by reduced blast furnace steel production are expected to persist in the near term, but we view these as cyclical rather than structural challenges.

Importantly, RAIN is pursuing the adoption of alternative raw materials across both our Calcination and Distillation businesses. Our R&D and technical services teams are working hand-in-hand with a broad network of suppliers and end-customers to accelerate this transition. We see significant additional opportunities to expand the use of alternative raw materials beyond what we have already implemented, reinforcing the enhancing margin resilience.

In short, while near-term volatility remains, our strategic initiatives and innovation pipeline position us well to return to normalized margins and deliver sustainable, long-term value for our shareholders.

Sarang

Thanks, Gerry and following up on your comments just now. With structural changes in demand from the Battery Anode Material (or BAM) segment for GPC and a transition from blast furnace to Electric Arc Furnace (or EAF) steelmaking, how is the business adapting to these shifts?

Page 5 of 26 Gerard Sweeney

As we have highlighted previously, RAIN continues to pioneer the use of alternative raw materials. Let us take a step

back and look at the broader macro dynamics shaping the landscape. Graphite electrodes, essential for electric arc furnace (or EAF) steelmaking, are traditionally manufactured using needle petroleum coke and coal tar pitch. However, the rapid expansion of the battery anode materials (or BAM) industry has fundamentally altered the supply-demand balance. BAM players are increasingly diverting both green petroleum coke (or GPC) and needle coke, once primarily used by electrode manufacturers, toward synthetic graphite production for batteries. This shift is creating a structural squeeze on raw material availability for EAF electrode producers.

At the same time, global steel demand remains subdued, yet the transition from blast furnace (or BF) to EAF steelmaking continues to accelerate. Ironically, the coal tar pitch required for EAF electrodes is a byproduct of the very BF process that is being displaced. As BF steel production declines, so too does the availability of coal tar, tightening supply and driving up costs for coal tar pitch.

This is where RAIN's strategic positioning come into play. Recognizing these trends early, we made proactive investments in alternative binder technologies and raw material substitution strategies. Today, we are capable of making supplies for producing high-performance electrodes without relying solely on traditional coal tar pitch. This position helps us to meet the growing demand from EAF steelmakers who are increasingly reliant on stable, sustainable supply chains. In short, RAIN is handling these structural shifts well by delivering solutions.

Page 6 of 26 Sarang

Moving on to the next question on the Advanced Materials segment, The EBITDA is encouraging but still short of the 15-17% range. What is the target here for this segment. You specifically highlighted that "competition

intensified for Resins from Asian Players" in the management presentation. What steps are you taking to defend market share versus competing on price?

Gerard Sweeney

As we continue to expand our global footprint, it is important to recognize the competitive dynamics at play in our Advanced Materials segment particularly in Europe and select markets outside Asia. Some of our European manufactured products directly compete with Asian made alternatives, and as such, our delivered pricing is often benchmarked against Asian import prices.

While RAIN remains focused on driving operational efficiency and cost optimization, it is important to acknowledge that competing purely on a low-cost basis especially against regions with structurally lower production costs presents inherent challenges. Moreover, global transportation costs and logistics routes remain highly dynamic, influenced by shifting market conditions and ongoing geopolitical developments. These fluctuations can either enhance or erode our relative competitiveness, depending on the prevailing environment.

Page 7 of 26 In recent quarters, we have observed intensified pricing pressure from Asian imports, driven by a combination of macroeconomic factors and regional overcapacity. This has had a short-term impact on both our sales volumes and average realized prices.

To enable RAIN to compete better, our targeted initiatives include reducing production costs through process innovation and raw material substitution without compromising the high-performance standards our customers expect. Simultaneously, we are optimizing our logistics footprint to mitigate transportation cost volatility and improve delivery efficiency.

We remain confident in the long-term value proposition of our Advanced Materials portfolio. Our

commitment to quality, innovation, and customer partnerships continues to differentiate us in the market. As global supply chains evolve and customers increasingly prioritize reliability, sustainability, and performance, we believe RAIN is well-positioned to capture incremental share and drive profitable growth.

Sarang

Next follow-up question on Advanced Material segment, you mentioned "entered new markets" in the presentation. Which specific geographies and product segments are you targeting? What is the expected revenue contribution from new markets in FY26 and FY27?

Page 8 of 26 Gerard Sweeney

As noted in our presentation, RAIN has indeed entered certain new markets, both in terms of geography and product applications. While we are not in a position to disclose specific geographies or product-level strategies at this stage, I want to emphasize that this discretion is for maintaining confidentiality around our market entry plans, which is critical to preserving our competitive edge and ensuring successful execution.

Looking ahead to FY26 and FY27, we expect our new market initiatives to contribute to the segment's top-line growth. While we are not providing specific revenue guidance at this time, we are confident that these efforts will begin to scale and support our broader ambition of driving sustainable, margin-accretive growth across the Advanced Materials portfolio.

Sarang

Next question is, can you throw some light on the recent press release made by Alcoa on the ELYSIS project which highlights its collaboration with Ball and Unilever to launch the first consumer packaging made with ELYSIS carbon-free aluminium technology, which emits only oxygen. Any impact we expect due to this on RAIN business.

Gerard Sweeney

That is a great question, Sarang. While we cannot comment directly on

the specifics of the Alcoa publication, we understand that the reference is likely to pertain to lab-scale production activities at their Pittsburgh facility.

Page 9 of 26 As you know, the ELYSIS technology is focused on developing a carbon-free aluminium smelting process by eliminating the use of carbon anodes. While this is an exciting innovation from a long-term sustainability standpoint, it is important to put it into context.

When we look at the total greenhouse gas emissions from aluminium smelting, they fall into two categories: Tier 1 emissions, which result from the consumption of carbon anodes during the smelting process, and Tier 2 emissions, which stem from the electricity used in smelting. The latter Tier 2 emissions actually represent a substantial portion of the total footprint. And today, over 75% of global aluminium smelting capacity still relies on electricity generated from thermal power sources, which are carbon intensive.

Given this reality, we do not foresee any material near to medium-term impact on the demand for carbon-based products, including anodes, from the emergence of carbon-free smelting technologies. While we are closely monitoring developments like ELYSIS, we believe widespread commercial adoption is still several years away and will depend heavily on the availability of clean energy infrastructure and significant capital investment.

In the meantime, RAIN remains focused on supporting our customers with high-performance carbon solutions that meet today's operational and environmental requirements. We are also actively investing in innovation to ensure we remain aligned with the evolving needs of the aluminium industry including potential shifts in technology over the longer term.

Page 10 of 26

Sarang

Thank you, Gerry. We now have a few questions

for Mr. Jagan. Regarding

CPC business in India: With GPC import restrictions eased for SEZ and DTA units, what are your target capacity utilization rates for 2026 and 2027? Can you specify expected quarterly volume growth and explain how this logistical flexibility enhances your competitiveness globally? You previously mentioned reactivating the "unique, integrated global blend strategy" after these changes—could you outline its operational and financial benefits, the portion of sales it will affect, and anticipated margin improvements?

Jagan Nellore

Thank you, Sarang, for the question.

As it relates to our SEZ facility, please note that the regulatory relaxation allowing the importation of Green Petroleum Coke (or GPC) and Calcined Petroleum Coke (or CPC) into the SEZ was officially approved in February 2024. However, the implementation took effect in Q4 of 2024 for RAIN, which is when we began to see the operational benefits materialize.

Also, the significant policy development that became effective April 2024, is when the government increased the national import quota for GPC by calciners from 1.4 million tonnes to 1.9 million tonnes. This policy shift not only expanded the allocation for our Domestic Tariff Area (or DTA) plant but also eliminated the need for job work at our SEZ facility, thereby streamlining our operations.

Page 11 of 26 As a result of these favorable developments, both our SEZ and DTA plants have been operating at approximately 90% capacity starting 2025, a level we expect to sustain or increase slightly going forward. This marks a meaningful step forward in optimizing our asset utilization and improving overall throughput.

Additionally, the ability to import CPC into the SEZ facility has enabled us to revive and scale our blending strategy. This is a key lever in our cost optimization efforts, allowing us to fine-tune raw material inputs and

enhance operational flexibility. Importantly, this has also had a positive impact on our U.S. operations, where we have been able to increase capacity utilization and improve cost competitiveness.

In summary, these regulatory changes have not only unlocked operational efficiencies but also positioned RAIN to better serve our global customers with greater agility. We view this as a strong enabler of growth and margin improvement in the near to medium term.

Sarang

Next question is: Can management provide an update on the expected Indian Carbon distillation facility, including final capacity, projected margins for initial CTP and Carbon Black Oil production, and the specific timeline for revenue generation in 2026 and onwards ?

Page 12 of 26 Jagan Nellore

As we shared during our previous call, RAIN has secured all the necessary regulatory approvals to commence carbon distillation operations in India. While there was a brief delay in finalizing the operational site, I am pleased to report that we are now moving forward in line with our revised timeline.

We have adopted a phased market entry strategy, beginning with the production of coal tar pitch. This initial phase allows us to establish a strong operational foundation, optimize our processes, and build customer relationships. Once this phase is stabilized and scaled, we plan to move into Phase 2 with about a 12-15 month gap, which will expand our product portfolio to include additional high-value carbon products. This stepwise approach ensures capital efficiency, operational agility, and a smoother path to market penetration.

As these phases progress, we expect to see a steady ramp-up in production volumes, diversification of our product mix, and a corresponding expansion

in margins. While we are not disclosing specific margin figures for individual business lines, we are confident that this initiative will be a meaningful contributor to our growth trajectory.

We anticipate revenue generation from these operations to begin in the latter half of FY26, with a more pronounced impact expected in FY27 as we scale up and broaden our offerings. This initiative is a key pillar of our long-term strategy to deepen our presence in the Indian market and strengthen our global carbon product capabilities.

Sarang.

Our next investor question is, RAIN recently secured CAD 860k government funding for BAM R&D with Northern Graphite (total CAD 3.1 million project) and signed separate agreement with Green Graphite Technologies. What is the commercialization timeline for each initiative? What capital investment will RAIN need to commit to scaling up production?

Jagan Nellore

Thank you, Sarang.

As we shared during our last quarterly call and in our press release to the stock exchanges, RAIN has entered into a strategic collaboration with Northern Graphite to jointly advance a pioneering initiative in the battery materials space. This 24-month project is focused on transforming natural graphite processing by-products into high-performance, battery-grade anode materials an area of growing strategic importance as the global energy transition accelerates.

The partnership is designed to integrate upstream feedstock optimization with advanced downstream processing and rigorous electrochemical testing. Our shared objective is to maximize the yield from graphite mine concentrates, reduce waste, and significantly lower the carbon footprint of

Page 14 of 26 battery material production, a critical factor for customers and regulators alike.

RAIN brings to this collaboration its proprietary LIONCOAT® carbon coating technology, which has already demonstrated strong performance in enhancing the electrochemical properties of battery anode materials. We will also lead the electrochemical performance validation to ensure that all materials meet or exceed global standards for next-generation energy storage applications.

All R&D and process development activities will be anchored at our Technology Innovation Center for Energy Storage Materials in Hamilton, Ontario, which continues to serve as a hub for our advanced materials innovation.

The total project budget is CAD 3.1 million, with CAD 860,000 in funding support from the Canada –Germany Collaborative Industrial Research and Development Program, a strong endorsement of the project's strategic relevance and innovation potential.

This initiative is a key pillar of RAIN's broader strategy to establish a meaningful presence in the battery anode materials (or BAM) value chain and contribute to the development of a resilient, sustainable Western supply chain for the energy storage sector. We expect this project to unlock new commercial opportunities and position both RAIN and Page 15 of 26 Northern Graphite as credible, competitive players in this rapidly evolving market.

Sarang

The next question is, are we seeing any change in competition in any of our segments? Have there been any closures of competitors in the regions that we operate?

Jagan Nellore

From a Carbon segment perspective, we have observed a notable increase in calcination capacity outside of China, particularly in the Middle East. While this has introduced some short-term pressure on volumes in the merchant market, our view is that much of this new capacity is likely to be consumed internally by integrated players in the region. As such,

we

do not expect a significant or sustained oversupply in the open market.

On the distillation side, we have not seen any meaningful new capacity additions. However, there are growing concerns around the long-term viability of certain players in the market, primarily due to tightening coal tar availability. As coal tar is a byproduct of declining blast furnace steel production, supply constraints are becoming more structural. This dynamic could lead to further consolidation or capacity rationalization in the distillation space, which may ultimately support a more balanced market environment.

Turning to Advanced Materials, we continue to see competitive pressure from Asia, particularly in the commodity-chemical segment, where Page 16 of 26 capacity additions and aggressive pricing remain a challenge. However, it's important to note that in the specialty products space, where RAIN has a strong and differentiated portfolio, we have not observed any significant new capacity coming online. This reinforces our belief that our focus on high-performance, value-added solutions is the right strategy to drive sustainable growth and margin resilience.

In summary, while we remain vigilant in monitoring global capacity developments, we are confident in our positioning across both Carbon and Advanced Materials. Our integrated model, focus on specialty applications, and proactive supply chain strategies continue to provide us with a strong foundation to navigate market shifts and capitalize on emerging opportunities.

Sarang

Thanks. The next question is regarding Cement business ; we have noted that Board has recently approved Rs 757 crore brownfield expansion (adding 1.5 Million Tonnes clinker and 2.3 Million Tonnes cement capacity) for commissioning in Q4 CY 2027. What is the projected IRR on this project? What are the assumed realizations and EBITDA per tonne at steady state? Also, it was mentioned that the expansion will be funded "mostly with Internal Accruals and Minimal Debt." Can you quantify the debt component? How will this impact net debt/EBITDA trajectory through 2027 considering the Rs 757 crore outflow?

Jagan Nellore

As previously disclosed to the stock exchanges, we are moving forward with a brownfield expansion at our cement facility in Suryapet, Telangana. Page 17 of 26 The current plant has an installed capacity of approximately 1.3 million MT and is operating at a utilization rate of around 70%. With the planned expansion, we aim to significantly scale up capacity to approximately 3.8 million MT, nearly tripling our output from this location.

A key component of this expansion is the integration of a 7 MW Waste Heat Recovery (or WHR) system, which aligns with our broader sustainability and energy efficiency goals. This will not only reduce our carbon footprint but also enhance cost competitiveness over the long term.

The total project cost is estimated at ₹7.57 billion. We intend to fund approximately two-thirds of this through internal accruals and the remaining one-third may be financed through external debt, depending on market conditions and capital allocation priorities.

We are targeting commercial operations to commence in the second half of calendar year 2027. The project is expected to deliver an internal rate of return (or IRR) in the range of 14% to 16%, which we view as attractive given the strategic location, regional demand fundamentals, and the operational synergies we expect to unlock.

This expansion is a signal of our confidence in the long-term growth trajectory of the cement sector, particularly in high-potential markets like Telangana and Andhra Pradesh. It also r

einforces our commitment to disciplined capital deployment and value creation for our stakeholders. Page 18 of 26

Sarang

Thanks, Jagan. The follow -up question is, can you please explain how this additional capacity expansion is value accretive to shareholders. The Indian subsidiary just became debt free and now internal accruals for the next few years will go towards this expansion. With consolidation in cement industry and the rather lackluster performance of our existing cement business, what should shareholders expect as 'value' from this expansion.

Jagan Nellore

Thanks, Sarang.

The planned capacity expansion at our Suryapet cement facility is underpinned by a strong strategic and operational rationale. The current plant, with a capacity of approximately 1.3 million MT, has served us well, but its relatively smaller scale limits our ability to fully optimize operational efficiencies and cost structures.

By scaling up to 3.8 million MT, we expect to unlock significant economies of scale. This includes better absorption of fixed costs, lower per-tonne overheads, and improved logistics and procurement synergies. The expansion will also enable more efficient utilization of existing infrastructure and manpower, further enhancing productivity and cost competitiveness.

Page 19 of 26 A key highlight of this project is the integration of a 7 MW Waste Heat

Recovery (or WHR) system, which reflects our commitment to sustainability and energy efficiency. This system is designed to reduce fuel consumption and carbon emissions, while also lowering our reliance on grid power, an important factor in improving long-term cost stability and profitability. Additionally, the deployment of advanced automation and process control technologies will help us drive down average production costs and enhance operational reliability.

On the demand side, the timing of this expansion aligns well with strong macroeconomic tailwinds. Cement demand in our core markets particularly in Telangana and neighboring states is expected to grow steadily, supported by robust infrastructure development initiatives at both the state and central government levels. Flagship programs such as the Pradhan Mantri Awas Yojana, Smart Cities Mission, and PM Gati Shakti are accelerating investments in housing, urban infrastructure, and logistics, all of which are key demand drivers for cement.

Industry forecasts suggest a 20% growth in cement demand over the next 2–3 years, driven by lower interest rates, increased government spending, and a resurgence in private sector construction activity. We believe this expansion positions RAIN to capture a larger share of this growth, while enhancing our cost leadership and sustainability profile.

In summary, this is not just a capacity expansion, it is a strategic leap forward that strengthens our position, supports long-term growth, and Page 20 of 26 reinforces our commitment to operational excellence and environmental stewardship.

Sarang

Thank you, Jagan. The follow-up question is Current green power generation is ~40% of total electricity consumption (solar + WHR). With 7 MW WHR addition in the expansion, what will be the targeted green power percentage by 2028? Can you quantify the cost savings per ton of cement and competitive advantage this creates?

Jagan Nellore

As of now, approximately 40% of our total electricity consumption at the Suryapet cement plant is met through green energy sources, primarily from our existing solar installations and Waste Heat Recovery (or WHR) systems. With the upcoming addition of the 7 MW WHR system as part of our brownfield expansion, we anticipate

a meaningful step-up in our green power contribution.

By 2028, we are targeting to increase our green power share to between 45% and 50% of total plant electricity consumption, even as overall energy demand rises with the expanded capacity. This reflects our commitment to sustainable operations and energy self-reliance.

From a cost perspective, the benefits are equally compelling. The WHR system will significantly reduce our reliance on grid power, which is Page 21 of 26 subject to both price volatility and regulatory changes. Based on our internal estimates, we expect energy cost savings in the range of ₹150 to ₹200 per tonne of cement produced once the new WHR system is fully operational. These savings will directly contribute to margin enhancement and improve our cost competitiveness, especially in a market where energy costs are a major component of total production expenses.

Beyond the financial upside, this investment strengthens our ESG credentials and aligns with our long-term decarbonization roadmap. As sustainability becomes an increasingly important differentiator in the cement industry, we believe this positions RAIN as a forward-looking and responsible manufacturer, which is increasingly valued by customers, regulators, and investors alike.

Sarang

Next question is, does management or Board planning for buy back of shares at this point in time?

Jagan Nellore

At this point in time, there are no active plans or discussions at the Board level regarding a share buyback program. As we have consistently communicated in recent years, our capital allocation strategy remains focused on strengthening the balance sheet and reducing debt, which we view as a critical enabler for long-term value creation.

Page 22 of 26 Over the past couple of years, we made a conscious decision to defer major capital expenditures to maintain financial flexibility. Considering the strategic opportunities, the Board has prioritized deploying capital towards expansion projects, such as the brownfield capacity addition at our Suryapet cement plant, which are expected to provide sustainable growth and enhance shareholder value over the medium to long term.

That said, we continuously evaluate all capital allocation options, including share buybacks, through the lens of shareholder returns, balance sheet health, and strategic priorities. As our cash flow continues to improve and our growth investments begin to deliver returns, we will remain open to considering all avenues that enhance value for our shareholders.

Sarang

Thanks Jagan. Our final set of questions are for Srinivas.

What is the status on Russian Carbon Distillation plant? How is it doing amid sanctions?

Srinivasa Rao

Thank you Sarang for the question.

As we have been communicating over the past three years, our Carbon Distillation plant in Russia continues to operate steadily. This is primarily because the plant is focused on serving the domestic Russian market and operates entirely within the country's internal supply chain ecosystem.

Page 23 of 26 While macroeconomic factors such as inflationary pressures and foreign exchange volatility have had some localized impact, these have not materially affected the overall performance of the company.

Sarang

Thanks, Srinivas. The next question is, Energy costs in Europe "remain manageable" as per the management presentation. Can you provide more specifics on current natural gas price levels versus historical averages? What hedging strategies are in place for winter 2025-26?

Srinivasa Rao

Prior to the geo-political issues, we used to see the energy cost in Europe fluctuate

around Euro 10 to Euro 20 MMBtu based on the seasonal demand between summer and winter. However, over the last 3 years, the prices have shoot up beyond Euro 100 MMBtu. Though it did not remain at that level for a long period of time it was costly. The prices are back to Euro 30 to 40 MMBtu in the recent quarters, which are lower compared to the peak levels but much higher than the normal levels prior to geopolitical conflicts. Considering the current market dynamics, we have not entered into any hedging strategies.

Sarang

The next question is, Net debt/EBITDA improved to 3.3x in Q3 2025 from 3.9x in Q4 2024. What is your target leverage ratio by end of FY26 and FY27? Given you stated you're "approaching 3x during current year," is 2.5x achievable by end of FY27?

Page 24 of 26

Srinivasa Rao

As mentioned in our management presentation, the net debt to EBITDA ratio was higher in the recent past due to the underperformance of the company due to multiple reasons already explained in detail during the respective periods. However, with the marginal recovery in all the three operating segments, we are reporting better EBITDA quarter over quarter at the same time reducing the net debt periodically which resulted in better net debt to EBITDA in the current quarter. We expect the same levels in the near future.

Sarang

The next question is Outflow in the financing activities during Q3 is coming to approx. INR 1125 Crore. Can you please provide breakup for the same.
Srinivasa Rao

During the third quarter we have net outflow in financing activities amounting to approx. \$132mn (or INR 1,125 crore) . Out of which \$60mn was relating to repayment of working capital debt; \$40mn was relating to payment of interest on loans and other borrowing cost; \$11mn was relating to payment of lease liabilities; and the balance relates to distribution of dividend s.

Sarang

Page 25 of 26 Thanks. The next question is, Income tax rate has come down substantially, what is the reason and outlook for Q4.

Srinivasa Rao

This is a good question. As we kept mentioning over the past few quarters, there was non-recognition of Deferred tax assets on the interest expense and the business losses both in USA and Germany due to which the Effective Tax Rate (ie., ETR) for the quarters have been fluctuating widely. As we have reported losses over past few quarters the ETR used to be negative, however with business turning into profit in few geographies, the ETR returned positive. This is also reflected with the changes introduced by the new US tax bill introduced in July 2025 , which now allows interest expense deduction based on EBITDA rather than EBIT, as was the case for the previous two years. Based on the geographies we operate the average ETR for the group should be in the range of 32-36%.

Sarang

Thanks. Here is our last question for today's session . Adjusted EBITDA margin was 14.5% in Q3 2025 (Rs 6.48 billion on Rs 44.76 billion revenue). You repeatedly stated you have "not yet achieved normalized quarterly EBITDA target." What is your definition of normalized EBITDA margin by segment and on a consoli dated basis?

Srinivasa Rao

Page 26 of 26 As we keep iterating the point, RAIN being a converter we measure the company performance based on EBITA per tonne and not on percentage basis as the selling price and raw material prices can keep fluctuating, however the margin per tonne will be more or less constant subject to inventory gain and/or losses. As mentioned earlier by Gerry, we expect the EBITDA per tonne to be back to earlier periods, however subject to various external macro -economic factors which need to be considered.

Than

k you, Srinivas, Jagan, and Gerry.

Ladies and gentlemen, this concludes RAIN's Management Q&A session for the third quarter of 2025.

Call: Mar 2026

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RIL/SEs/2026 March 9, 2026

The General Manager
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Bandra Kurla Complex Bandra East,
Mumbai – 400 051

Dear Sir/ Madam,
Sub: Management Commentary on the Annual Audited Financial Results (Standalone and Consolidated) for the Financial Year ended on December 31, 2025 – Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)
With reference to the above stated subject, given below is the link to the Management Commentary on the Annual Audited Financial Results (Standalone and Consolidated) for the Financial Year ended on December 31, 2025:
Link for Audio – Management Commentary:

<https://rain-industries.com/images/RIL-Q&A-Q4-2025.mp3>

Please also find attached herewith the Transcript of Management Commentary on the Annual Audited Financial Results (Standalone and Consolidated) for the Financial Year ended on December 31, 2025.

This is for your kind information and record.
Thanking you,
Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

Page 1 of 26 Sarang
Good day ladies and gentlemen.
Welcome to the RAIN Industries Limited Q&A session for the Fourth quarter of 2025. My name is Saranga Pani, and I serve as General Manager of Corporate Reporting and Investor Relations at RAIN Industries Limited.

The speakers for today are:
Mr. Jagan Reddy Nellore – Managing Director of RAIN Industries Limited
Mr. Gerard Sweeney – President of RAIN Carbon Inc.; and
Mr. T. Srinivasa Rao – CFO of RAIN Industries Limited

Following the Earnings Presentation and Management Commentary released on 27th February 2026, we have received a wide range of questions from investors and analysts covering near-term market

conditions as well as our medium -to long-term strategic priorities across business segments and balance sheet management.

We will try to address these in a structured manner, providing as much clarity as possible while keeping our responses focused and concise .

Before we proceed, the management would like to note that during this management discussion, we may make forward -looking statements that include various subjects such as outcomes, trends, targets, and strategic directions. These statements rely on our current projections and are Page 2 of 26 subject to risks and uncertainties that could cause actual results to vary materially from those suggested by these forward -looking statements. There are certain risk factors that could lead to significant deviations from our predictions.

With that, we will now start the discussion today with Gerard Sweeney...

Sarang:

Gerry, the first question has two parts, and is regarding the aluminium industry .

We have been reading about significant aluminium capacity additions in India and Indonesia. How much of the incremental Indonesian capacity can RAIN realistically cater to over the medium term, as currently the Indonesian aluminium market is largely served by Chinese suppliers ? Also, could you cover the Middle East market dynamics including demand outlook, supply situation, and approximately how much we currently export to this region?

Gerard Sweeney

Thanks, Sarang and we are starting with a tricky question here. Indonesia is one of the world's growing aluminium markets , but it is also highly competitive and

currently well supplied with carbon from Chinese producers. We are continually developing relationships with new and existing customer s there who value consistent quality, technical support, and long-term supply reliability.

Page 3 of 26 On the second part of your question regarding the Middle East, it is important to highlight that our assessment today differs from what we shared during our initial investor call earlier this quarter. Within just 24 hours of that call, the situation in the region changed materially.

Geo-political hostilities have escalated sharply, and this has had an immediate and significant impact on global energy markets. Energy costs have climbed significantly over the past week, and new limitations on key exports are beginning to exert upward pressure on natural gas markets. This is already being felt in Europe, where supply concerns tend to amplify price movements, and similar effects are emerging in other regions relying on imported fuel. Market participants are now closely watching how prolonged these constraints may be, as any sustained disruption could deepen volatility and further strain global energy systems. In addition, the realignment of crude trade flows, driven largely by shipping constraints, has the potential to influence GPC availability globally, both in terms of volumes and quality, unless crude is sourced locally.

Before these developments, RAIN had a well-established and growing presence in the region. We have long been a trusted CPC supplier to several major smelters in the Middle East, and we were actively evaluating expansion opportunities in the CTP segment. However, since the onset of the conflict, several aluminium producers in the region have declared force majeure. Their actions reflect not only localized energy curtailments but also broader supply chain challenges that are beginning to manifest across multiple industrial sectors.

We are monitoring the situation very closely because the impact of these developments is likely to extend beyond the region and could create both direct and indirect implications for CPC and CTP suppliers. That said, we

Page 4 of 26 believe RAIN is well positioned to navigate this period of uncertainty. Our globally distributed manufacturing footprint, flexible logistics network, and advanced blending capabilities, both for raw materials and finished products, provide us with some operational resilience. These strengths enable us to absorb disruptions in one region while continuing to support customers across our global portfolio.

While the environment remains fluid, we are approaching it with both caution and confidence. Our diversified asset base and operational flexibility give us the tools to mitigate potential impacts, and we remain focused on ensuring continuity of supply, maintaining service levels, and preserving long-term customer relationships.

Sarang:

Thanks, Gerry. As a follow-up question on the aluminium market, what is the outlook for the revival of aluminium smelters in the United States, especially given the continued rise in electricity costs? How sustainable is any potential restart or expansion? In the current environment, where LME aluminium prices and regional premiums remain strong while alumina prices are stable to slightly declining, does this improve RAIN's ability to pass on higher carbon costs?

Gerard Sweeney

As we noted earlier, the U.S. has recently seen a series of announcements related to aluminium industry expansion, both through increased utilization at existing smelters and the planned construction of the first greenfield smelter in the

country in several decades. All this new and expanded capacity will rely on carbon anodes, which require CPC Page 5 of 26 and CTP as key raw materials. RAIN is strategically positioned to support this growth, given our geographic footprint in North America and our long-standing relationships with these aluminium producers.

One dynamic worth highlighting is the evolving U.S. electricity landscape. With electricity prices rising, data centres have become major buyers of power and are generally agnostic regarding higher power costs, unlike aluminium smelting, which is highly energy-sensitive. We have already seen in Europe how spikes in energy prices led to significant curtailments and even shutdowns of smelters. However, we understand that the recently announced smelter expansions in the U.S. have proactively secured the necessary electricity supply to support their planned capacity increases. This gives us confidence that these projects have been structured with long-term operational stability in mind.

Turning to aluminium and alumina pricing, current price trends are supporting strong smelter profitability. However, it is important to recognize that the delivered price of CPC and CTP to each smelter is fundamentally shaped by regional supply-and-demand dynamics for those materials, rather than aluminium prices alone. This is where RAIN's operational model provides a competitive advantage. Our flexible logistics and supply chain configuration allow us to efficiently serve both domestic customers, including new U.S. smelting capacity, and customers across global markets. As regional market conditions evolve, this flexibility ensures that we can optimize our product flows while continuing to meet customer needs reliably and economically.

Sarang

Page 6 of 26 Thanks, Gerry. The next question is, how does the current geo-political situation impact RAIN's operations? How are the current U.S. tariffs impacting RAIN?

Gerard Sweeney

Let me begin with the question on tariffs. As outlined in our management commentary, U.S. tariffs do not have a direct or material impact on RAIN's operations. This is because the vast majority of our key raw materials, as

well as our finished products, including CPC and CTP, are included in the extensive list of items that are exempt from U.S. tariff measures. As a result, our supply flows into and out of the U.S. remain largely unaffected.

With respect to broader geopolitical developments, we continue to monitor the global environment very closely, particularly given the ongoing hostilities in the Middle East and their effect on global energy markets. The situation remains highly fluid. While it is still too early to draw definitive conclusions, prolonged instability in the region has the potential to influence crude and LNG markets, global freight routes, and the overall supply –demand balance for several key inputs linked to our business.

Our commercial, procurement, and logistics teams are actively evaluating these evolving dynamics to understand any potential implications for raw material availability, shipping patterns, or customer operating conditions. This includes assessing potential shifts in crude supply flows, changes in LNG pricing and availability, and any secondary effects that could influence market fundamentals for the materials we produce.

Page 7 of 26 Based on what we know today, we see only a reduced impact on RAIN's operational matters. Our diversified global footprint, flexible procurement options, and resilient logistics network continue to provide meaningful insulation against near-term disruptions . That

said, we are maintaining a high level of vigilance. If conditions in the region begin to materially affect trade flows, input costs, or customer requirements, we are prepared to act swiftly and decisively.

Our priority remains ensuring continuity of supply, safeguarding our operations, and supporting our customers through any potential market volatility. We will continue to track developments closely and adapt as necessary, maintaining a balanced posture of caution and confidence as the global energy situation evolves.

Sarang

Thanks, Gerry. The next question is: with China operating under aluminium production caps and exporting its CPC, could you explain the recent trend in Chinese CPC exports and its pricing? Specifically, what were the key reasons behind the spike in CPC prices in China during the second quarter of 2025 ? Also, please comment on whether the prices of low-Sulphur GPC alone have increased , or if the prices of all-grades of GPC have increased.

Gerard Sweeney

As we highlighted in our Management Commentary for the fourth quarter of 2025, the primary driver behind the increase in GPC prices is the Page 8 of 26 growing demand from the Battery Anode Material (or, BAM) industry. The BAM sector continues to expand rapidly as electric -vehicle and energy -storage markets scale up, and this has created significant new competition for low-sulphur GPC, a material traditionally used by calciners to produce CPC for aluminium smelting.

Initially, BAM producers began importing low-sulphur GPC into China, and that shift alone drove a substantial rise in market quotations for this grade. As BAM producers advanced their blending practices and started incorporating additional GPC grades, the price increases broadened across the GPC spectrum, affecting material availability and pricing globally.

While GPC prices have risen sharply due to this incremental demand, calciners worldwide have been more constrained in passing these cost increases to CPC customers immediately. Contract structures, pricing cycles, and competitive market dynamics often create a lag between higher raw-material costs and adjustments to CPC selling prices. This

timing mismatch has placed temporary margin pressure on calciners until CPC pricing can reflect the higher cost base.

Sarang

Thanks , Gerry . Before moving to some questions on the distillation business of RAIN's Carbon segment, what is the current capacity utilisation level of CPC plants in India and the United States markets ? Additionally, how is the ramp -up of the blending facilities progressing?

Gerard Sweeney

Page 9 of 26 Following the relaxation of import restrictions in India, our Carbon segment's two Indian calcination plants are now operating at approximately 90 percent of capacity or higher. This reflects both improved raw-material availability and strong domestic demand for CPC. Looking at our calcination operations globally, we are currently running at about 70 percent of total capacity. We expect this utilization rate to increase in the second half of 2026 as market conditions continue to normalize, raw-material flows improve, and demand across our customer base strengthens. Our teams are actively coordinating logistics and procurement , to ensure we can efficiently support this upward trajectory in operating rates.

Sarang

Thanks, Gerry. The next question is about our Carbon segment's distillation business . What were the primary reasons for the volume decline during the fourth quarter of 2025 ? What is the current utilisation level of RAIN's carbon distillation plants?

Gerard

Sweeney

Our carbon distillation volumes in the fourth quarter of 2025 came in lower than expected due to a combination of customer -related factors. The largest impact came from an unplanned outage at one of our major customers' smelters, which temporarily curtailed their ability to take product. In addition, another customer faced the potential shutdown of an associated carbon plant, resulting in their inability to accept the volumes we had scheduled for the quarter.

Page 10 of 26 These challenges were further compounded by the delayed timing of a large -volume shipment that we had expected to complete before year-end. Even with these temporary disruptions, our underlying operations remained stable. We closed 2025 with carbon distillation running at approximately 70 percent capacity utilization.

Sarang

Next is a follow -up question on RAIN's Carbon distillation business . Given that CTP is largely a regional market and that RAIN is the largest market player and considering that CTP represents a relatively small percentage of aluminium smelter costs , why does price pass -through remain challenging during periods of cost inflation?

Gerard Sweeney

Thanks Sarang. As we mentioned earlier regarding LME and alumina pricing, CTP pricing, much like CPC pricing, is influenced by a combination of raw-material dynamics and the supply -and-demand balance for finished products within each region. These regional market conditions vary considerably around the world, and as a result, they directly affect the delivered price of CTP in those specific geographies.

While CTP may represent only a relatively small portion of a smelter's overall cost structure, our customers remain highly disciplined in tracking the cost of every individual input. They evaluate each component independently and set their pricing expectations accordingly. This sensitivity to input costs is a consistent behaviour across the industry and continues to shape commercial discussions.

Sarang

Before moving to Advanced Materials segment, we have one last question on our Carbon segment, about the usage of alternate raw materials. Can you give guidance on what percentage of RAIN's Carbon segment raw material requirements will come from alternative materials in 2026? And what would be the cost competitiveness of those materials compared to our traditional raw materials? How are our competitors dealing with the raw material issues? Has there been any reduction in supply from our competitors due to their inability to source the raw materials?

Gerard Sweeney

Good question, Sarang. In our Carbon Distillation business, we continue to make meaningful progress on developing alternative raw-material sources to supplement and, over time, partially -replace traditional coal tar. Our technical services teams are actively collaborating with several key customers as we advance this transition, ensuring that any new feedstock aligns with their performance requirements.

At the same time, our R&D teams are focused on optimizing and expanding the use of alternative blends while maintaining the product quality and consistency our customers expect. This includes rigorous testing, qualification work, and close coordination with customers throughout the development process.

Page 12 of 26 As a converter, we also closely monitor the cost competitiveness of these alternative materials relative to coal tar, while ensuring we have the volume flexibility needed to meet market demand. Our objective is to balance cost, reliability, and performance as the raw-material landscape evolves.

Unfortunately, we are not in

a position to comment on how our competitors are addressing these raw-material constraints, but we remain confident in our strategy and the progress we are making.

Sarang

Thanks, Gerry. The next question moves on to the Advanced Materials segment: Was the main Asian pressure in the fourth quarter in RAIN's Resins business only, or did you also see it in the segment's Engineered Products or Chemical Intermediates businesses?

Gerard Sweeney

It is important to highlight the seasonality within our Advanced Materials segment. Historically, both the fourth and first quarters tend to show lower volumes, reflecting the natural seasonality of several key product lines in this segment.

Within our Resins business, results were pressured by higher energy costs in Europe, which directly affected production economics, as well as by increased pricing competition from Asian suppliers. The combination of these dynamics created a challenging margin environment throughout the year for our resins business.

Page 13 of 26 In our Engineered Products business, which includes our next-generation offerings such as CARBORES and PETRORES, we continued to advance our market position, although these products also face growing competitive pressure from Asia. Meanwhile, our asphalt sealer Engineered Products in North America remain largely insulated from Asian competition, but they are inherently seasonal, with demand concentrated in warmer months. This seasonal profile contributed to lower activity in the fourth quarter.

Finally, our Chemical Intermediates business, which includes our Benzene, Toluene and Xylene product portfolio, was impacted by a significant decline in crude benzene quotations during 2025. This sharp drop in benchmark pricing resulted in inventory valuation losses over the course of the year.

Overall, while these headwinds affected performance in the near term, they reflect well-understood market factors and seasonal trends across our Advanced Materials segment.

Sarang

Thank you, Gerry. We now have a few questions for Mr. Jagan. On the energy storage materials side of the Advanced Materials segment, could you outline RAIN's long-term strategy, including expected capex plans and the potential product opportunities being pursued?

Jagan Nellore

RAIN views energy storage as a critical pillar of the future energy landscape. It enables on-demand access to green energy, helps balance Page 14 of 26 intermittent renewable power sources, and plays a foundational role in stabilizing modern energy infrastructure. As this market continues to expand globally, we intend to grow alongside it, particularly in areas where our coating technologies, specialty products, and production expertise can add meaningful value.

We believe the North American energy -storage market is entering a strong growth phase, supported by increasing clean -energy investment and supportive policy frameworks. That outlook is a key reason for establishing our demonstration facility in Canada, which serves as both a development hub and a platform for customer engagement.

We are currently working with several industry partners and government entities to help shape the future of this business, exploring opportunities across multiple parts of the energy -storage value chain. While it is too early to specify which area we will invest in, our approach is disciplined: any investment we pursue will be backed by a corresponding supply agreement to ensure commercial viability from day one.

Sarang.

Our next investor question for both the Advanced Materials and Carbon segments is, will we see any benefits

from our Research and Development initiatives in 2026?

Jagan Nellore

Page 15 of 26 RAIN has a long history of commercializing materials developed through our R&D efforts, and these innovations span all our business segments. Our portfolio includes more environmentally friendly raw materials for our resins business, serving the rubber industry and other sectors, world -leading anode -coating materials for rechargeable batteries, next-generation, environmentally -improved asphalt sealer products, and advanced hybrid pitches for specialty applications.

In 2025, we also began operating under our marketing and distribution agreement with China Steel Chemicals of Taiwan to sell mesophase carbon microbeads, or MCMB, into the North American market. MCMB is an important precursor material used in the production of rechargeable batteries for smaller -scale devices such as power tools, drones, and other portable electronics. This initiative expands our participation in the energy -storage materials space with an additional, high-value product line.

Beyond these commercial activities, RAIN continues to invest aggressively in research and development. We are advancing new materials while also exploring new applications for our existing products across the rapidly growing energy -storage and advanced -materials markets. These efforts are designed to drive future production opportunities, support deeper market penetration, and position RAIN as a meaningful contributor to the evolving global energy -materials supply chain.

Sarang.

Page 16 of 26 Our next investor question goes back to the Carbon distillation business. Could we have an update on the status of our new CTP facility in India?

Jagan Nellore

Thank you, Sarang, for the question. Our distillation project in India is

progressing through the early stages of design and engineering. At this phase, our teams are focused on developing an optimized configuration that leverages as much of our existing site's infrastructure as possible. This approach allows us to manage capital costs effectively while ensuring we maintain the operational capabilities required for long-term growth. We are working toward a targeted start-up in the fourth quarter of 2027. As the project moves from design into detailed engineering and subsequently into procurement and construction, we will continue to refine schedules and provide further updates in the coming quarters.

Sarang

The next question is also on the Carbon segment on CPC imports into India. Are Indian aluminium smelters increasingly sourcing CPC domestically, or do they continue to rely on imports up to permissible limits depending on pricing arbitrage?

Jagan Nellore

Indian smelters continuously adjust their CPC sourcing mix based on supplier reliability as well as evolving logistics advantages and Page 17 of 26 constraints. While domestic supply plays an important role, imports continue to remain a part of the procurement strategy whenever pricing arbitrage is available within the regulatory and operational limits. This flexibility allows smelters to optimize costs while ensuring secure and consistent supply.

Sarang

The next question is a general one across all segments: considering various factors and the headwinds faced over the past two to three years, how optimistic management is about the business environment and growth prospects for the coming year?

Jagan Nellore

We are pleased to report positive net income for the third consecutive quarter, along with a steady, stepwise improvement in EBITDA, consistent with the trajectory we have outlined in previous u

pdates. These results reflect the discipline with which we have managed the business through a period of meaningful headwinds. By maintaining a strong focus on operational efficiency, cost management, and reliability across our assets, we are now seeing the benefits of those efforts flow through to our financial performance.

Looking ahead, we remain reasonably confident about achieving further improvement in 2026 compared with 2025. Our outlook is supported by strengthening global aluminium demand as well as multiple smelter capacity expansions underway outside of China, both of which translate into higher expected demand for our products. Based on our current Page 18 of 26 projections, more than 50 percent of RAIN's revenue in 2026 is likely to be driven by the aluminium industry.

At the same time, we remain mindful of evolving geopolitical dynamics, which can introduce volatility and unexpected developments. We will continue to monitor these factors closely and remain agile in our response, while staying focused on executing our strategy.

Sarang

Thanks. The next question is regarding our Cement segment. It is good to hear that we have delayed the expansion in cement production capacity. What are the reasons for your decision, and when will we take a re-look at this again?

Jagan Nellore

Following the recent consolidation in the South Indian cement market, the large pan-India players have been actively leveraging their well-established national brands through the dealer networks they

acquired in the region. This has intensified competition, particularly in retail channels.

At the same time, we have not yet seen a meaningful uplift in regional cement demand. Extended monsoon conditions and slower-than-expected progress on planned infrastructure projects have contributed to muted consumption levels. Given these market dynamics, we made the prudent decision to defer our brownfield expansion.

In the interim, we are using this time strategically to further optimize the project's cost structure through innovative engineering and procurement Page 19 of 26 approaches. This positions us to move forward with the expansion at the right time and with improved capital efficiency. We will share revised timelines once the execution plan is finalized and the market backdrop becomes more conducive.

Sarang

Thanks Jagan. Our final set of questions is for Srinivas.

The first question is regarding the increase in working capital. During 2025, net working capital increased from 26,262 Million Rupees in December 2024 to 39,991 Million Rupees in December 2025, while EBITDA rose by from 14,981 Million Rupees in CY 2024 to 22,749 Million Rupees in CY 2025. As aluminium demand improves and CPC prices remain elevated, how should we think about the impact on working capital requirements going forward?

Srinivasa Rao

Thank you Sarang for the question.

Over the past 12 months, our working capital requirements have increased significantly by approximately 13,729 Million Rupees. This increase was driven primarily by higher finished-goods and raw-material prices during the period, which naturally expanded the value of inventory and receivables on our balance sheet.

In addition, the successful ramp-up of our Carbon segment's SEZ facility in India has created a new layer of working capital needs, as we build Page 20 of 26 inventory and support the broader operating cycle of the plant. While this is a positive development for our long-term growth, it does temporarily increase our working capital intensity.

Looking ahead, we expect working capital to rise further during

the first

half of 2026, largely due to timing effects associated with India's GPC import-quota allocations. However, we anticipate a corresponding release of working capital in the second half of 2026 as these timing dynamics normalize.

Overall, we are managing working capital proactively and remain focused on maintaining balance-sheet discipline as the business continues to grow.

Sarang

Thanks, Srinivas. The next question has two parts and continuation to debt, in the current macro environment, could management outline its overall capital allocation and deleveraging strategy, including debt refinancing timelines, expected interest savings, fiscal year 2026 debt repayments, and any consideration of equity issuance?

Srinivasa Rao

Reducing long-term debt has remained one of our top financial priorities over the past few years. During 2023 and 2024, we made approximately 80 million Euro of prepayments on our Term Loan B. Part of these early repayments covered our scheduled amortization requirements through September 2026, helping us strengthen our balance sheet ahead of plan. Page 21 of 26 In addition, in 2025 we repaid 44 million dollars of senior secured notes that matured in April of that year. In total, across the last three years, we have repaid approximately 132 million dollars of principal, reflecting our disciplined approach to capital allocation and our commitment to deleveraging.

As we look forward, we continue to actively monitor debt-market

conditions and remain prepared to pursue refinancing opportunities that could lower our interest burden when market dynamics become favourable .

At this stage, we do not have any plans to raise equity, either at the Indian parent -company level or at any of our subsidiaries during 2026.

Sarang

The next question is, What is the capex outlook for 2026?

Srinivasa Rao

Over the past two years, considering reduced earnings, we have maintained a strong focus on capital discipline. As a result, we limited our spending to mandatory capex and essential turnaround and compliance -related projects. This disciplined approach is reflected in our 2025 capex spent of 53 million US Dollars , which was one of the lowest levels in the past five years.

For context, our capital expenditure in prior years was 78 million US dollars in 2024, 72 million US Dollars in 2023, 85 million US Dollars in 2022, and 74 million US Dollars in 2021. The significantly lower capex in 2025 was largely the result of consciously deferring several discretionary Page 22 of 26 and growth -related projects until market conditions and earnings visibility improve.

Looking ahead to 2026, we expect capex to increase moderately to between 60 million and 65 million US Dollars . This spend will continue to prioritize mandatory investments, safety and environmental compliance, and essential maintenance required to ensure the reliability of our operations. We will remain disciplined and selective in deploying capital, while preparing to accelerate growth investments when the business environment becomes more supportive.

Sarang

The next question is: What is the net impact of the Indian Rupee depreciation versus the Euro, the Ruble, and the US Dollar? How should investors think about currency fluctuations and their overall earnings impact?

Srinivasa Rao

RAIN's long-term debt is denominated primarily in U.S. Dollars and Euros, and we maintain a natural hedge by holding adequate assets and generating operating cash flows in those same currencies. As a result, while foreign -exchange rates may fluctuate from time to time, we do not expect these movements

to have a material impact on our overall business performance.

Our Indian Carbon business remains reasonably protected from currency volatility , with any impact not exceeding a quarter. The pricing of Calcined Petroleum Coke in India naturally adjusts with movements in the U.S. Page 23 of 26 Dollar - Indian Rupee exchange rate, because both domestic CPC producers and Indian aluminium smelters benchmark their CPC pricing to import -parity levels. This ensures that a depreciation of the Indian Rupee against the U.S. Dollar has a minimal impact on our margins.

With respect to our European operations, an appreciation of the Euro can make our exports slightly less competitive , since a meaningful portion of our external sales from Europe are transacted in U.S. Dollars. However, the volume of these sales is relatively modest at the consolidated group level, so any impact would be limited and not material to RAIN's overall financial performance.

Overall, our currency -risk profile is reasonably managed , supported by natural hedges within the business, diversified geographic operations, and a disciplined treasury approach.

Sarang

Thanks. The next question asks about the current capacity -utilisation levels for each RAIN segment .

Srinivasa Rao

In 2025, our capacity utilisation remained reasonably better across the major business segments. On a full-segment basis, our carbon plants operated at roughly 70 percent utilisation, reflecting steady demand and operational performance. Advanced Materials ran at around 60 percent utilisation, consistent with our strategic shift toward higher -margin products. Meanwhile, our cement operations achieved approximately 65 Page 24 of 26 percent utilisation. Overall, these utilisation levels position us well for incremental growth as we continue to drive efficiency across the portfolio.

Sarang

Thanks. The next question is about the sharp movement we have seen in RAIN's OCI (or, Other Comprehensive Income), which appears to be driven by the Indian Rupee's depreciation versus the Euro and the U.S. Dollar. Should investors view this as a meaningful economic impact, or is it largely an accounting translation effect?

Srinivasa Rao

You are right. Of the total movement of 8.8 billion Rupees in Other Comprehensive Income for the year, approximately 7.1 billion Rupees relates to the translation gain arising from consolidating our foreign operations. This reflects the currency movements during the year and the strengthening of certain foreign currencies against the Rupee. The remaining balance primarily represents remeasurement adjustments for our defined benefit obligations, essentially actuarial changes linked to employee retirement benefit liabilities. These movements are non-cash in nature and stem from periodic updates to assumptions such as discount rates, inflation expectations, and demographic factors. Overall, the OCI movement this year is largely driven by translation effects, with the remainder linked to standard, recurring actuarial recalibrations of long-term employee benefit liabilities.

Page 25 of 26 Sarang

Thanks. The next question is on the Net-Debt -to-EBITDA , which has improved from about 3.9x in December of 2024 to about 3.2x in December 2025. Is it reasonable to expect further improvement towards about 2.5x levels by December of 2026?

Srinivasa Rao

We do anticipate further improvement in our Net-Debt -to-EBITDA ratio, as our earnings trajectory continues to strengthen and our cash -generation profile improves. Both operational performance and disciplined capital allocation remain key focus areas for us, and they should

support ongoing deleveraging.

That said, while the direction of improvement is clear, we cannot provide a specific target or commit to an exact level by year-end 2026. The ultimate ratio will depend on several external factors, including market conditions, pricing environment, and currency movements, as well as internal decisions around growth investments.

What we can emphasize is that balance sheet strengthening continues to be a priority.

Sarang

Thanks. Here is our last question for today's session . Please give details on the receivable write -off relating to an associated company , including the nature and reasons for the same .

Page 26 of 26 Srinivasa Rao

RAIN holds a minority stake in a German joint venture operating in the chemical sector. Historically, this joint venture sourced certain products from our Belgium and German facilities, and the commercial relationship had been stable for several years.

Unfortunately, the joint venture experienced significant financial stress due to conditions specific to its business and ultimately had to file for insolvency. As part of the insolvency process, it became clear that the amounts owed to us for past product deliveries would not be recoverable.

In addition, the value of our minority equity investment in the venture was fully impaired.

As a result, we recognized a write-off covering both the outstanding receivables and our equity stake. This is a non-recurring accounting impact and does not affect our ongoing operations or customer relationships in Europe. Importantly, there is no disruption to our production or sales channels, and we remain confident in the performance and outlook of our European facilities.

Overall, while the insolvency is unfortunate, it represents a contained event with limited impact.

Thank you, Srinivas, Jagan, and Gerry.

Ladies and gentlemen, this concludes RAIN 's Management Q&A session for the fourth quarter of 2025.

Call: May 2026

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RIL/SEs/2026 May 14, 2026

The General Manager
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East,
Mumbai – 400 051

Dear Sir/ Madam,

Sub: Management Commentary on Un-Audited Financial Results of the Company
(Standalone, Consolidated and Segment) for the First Quarter ended March 31, 2026
– Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

With reference to the above stated subject, given below is the link to the Management
Commentary on Un-Audited Financial Results of the Company (Standalone, Consolidated
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Link for Audio – Management Commentary:

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Please also find attached herewith the Transcript of Management Commentary on
Un-Audited Financial Results of the Company (Standalone, Consolidated and Segment) for
the First Quarter ended March 31, 2026.

This is for your kind information and record.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

SINGIDI VENKAT
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SINGIDI VENKAT
RAMANA REDDY
Date: 2026.05.14 20:46:06 +05'30'
Page 1 of 22

Sarang

Good day ladies and gentlemen.

Welcome to the RAIN Industries Limited Question and Answer session for the First quarter of 2026. My name is Saranga Pani, and I serve as General Manager of Corporate Reporting and Investor Relations at RAIN Industries Limited.

The speakers for today are:

Mr. Jagan Reddy Nellore – Managing Director of RAIN Industries Limited

Mr. Gerard Sweeney – Vice Chairman of RAIN Carbon Inc.; and

Mr. T. Srinivasa Rao – CFO of RAIN Industries Limited

Following the Earnings Presentation and Management Commentary released on May 8, 2026, we have received a wide range of questions from investors and analysts covering near-term market conditions as well as our medium -to long-term strategic priorities across business segments and balance sheet management.

We will try to address these in a structured manner, providing as much clarity as possible while keeping our responses focused and concise .

Before we proceed, the management would like to note that during this management discussion, we may make forward -looking statements that include various subjects such as outcomes, trends, targets, and strategic directions. These statements rely on our current projections and are subject to risks and uncertainties that could cause actual results to vary materially from those suggested by these forward -looking statements. There are certain risk factors that could lead to significant deviations from our predictions.

Page 2 of 22 With that, we will now start the discussion today with Gerard Sweeney...

Sarang:

Gerry, the first question is regarding the aluminium industry . As aluminium smelter restarts and selective capacity additions are likely to emerge in North America, Europe, and parts of Asia, how will the resulting incremental demand for calcined petroleum coke (or, CPC) and coal tar pitch (or, CTP) be over the next 3 to 5 years? Which regions or customer segments are likely to be the most meaningful contributors, and how well positioned is RAIN to participate in this growth?

Gerard Sweeney

Thanks , Sarang . We see a steadily

increasing demand for CPC and CTP over the next three to five years, largely driven by aluminium smelter restarts and selective brownfield expansions rather than broad -based new capacity. Activity in North America and Europe reflects improving economics from more stable power arrangements, trade measures, and tighter regional metal supply, while parts of Asia continue to contribute incremental growth.

Importantly, this growth remains disciplined and recovery -led, which supports demand stability for carbon products. Incremental demand is coming from a mix of regions and customer models, including smelters that source anodes externally as utilization improves.

RAIN is reasonably well positioned to benefit. Our global production footprint, logistics and blending capabilities, combined with our long-standing customer relationships , allow us to support customers across regions while remaining disciplined on capital allocation and focused on value -accretive growth.

Page 3 of 22

Sarang:

Thanks, Gerry. The next question is about our Carbon and Advanced Materials segments. Can you help us better understand what is behind the recent improvement in RAIN's Carbon segment demand? Is the momentum largely coming from higher offtake by existing customers, or are you also seeing traction from new customer wins? And how would you broadly characterize the demand contribution across aluminium , graphite electrode , battery materials, and other end markets?

Gerard Sweeney

The recent Carbon segment demand has been driven primarily by existing customers increasing offtake and making additional spot purchases, rather than a step change in new customer additions. This is a positive signal, as it reflects higher utilisation and operating stability among established customers, particularly in primary aluminium.

The most meaningful driver is the aluminium industry, which has improved operating rates, especially in India. As those facilities ramped back toward more typical utilisation levels, we saw a corresponding increase in CPC volumes. In parallel, we have also seen selective incremental demand from Europe, including the onboarding of a new aluminium customer, but the overall recovery remains utilisation-led rather than led by structural expansion at this stage.

Looking across the other end markets more broadly, we have seen an uptick from graphite-electrode related demand which is showing steady improvement, primarily from existing U.S. customers. Other specialty carbon product Page 4 of 22 applications are generally stable, with no material inflection points to call out, but they continue to provide diversification and baseline demand.

With regards to the battery materials industry, this sector is growing from a smaller base, and the percentage growth looks strong, but it is important to keep that in context. We are closely monitoring growth outside of China as we want to expand our supplies beyond the Chinese market where we see the largest growth potential.

Sarang

The next question is, can you walk us through how movements in Crude Oil and Green Petroleum Coke pricing typically flow through to CPC pricing and margins, particularly during periods of heightened geopolitical or market volatility? And looking at the longer term, as lithium-ion battery demand scales up further, do you see competition within our Carbon segment for GPC raw materials as a structural risk to CPC availability, or more of a transient market dynamic?

Gerard Sweeney

That is a good question, and I will take it in two parts, first on pricing dynamics and volatility, and then on battery

driven competition for feedstocks.

Starting with pricing, there is no direct relationship between crude oil prices and GPC or CPC pricing. While they are linked across the value chain, they do not move in lockstep. GPC is a refinery byproduct, and CPC is a upcycled product, so pricing at each stage is driven by distinct, regional supply-demand dynamics and refinery run rates, energy economics, logistics costs, smelter operating rates, and regulatory requirements, among others.

Page 5 of 22 In volatile environments, our focus is less on predicting price direction and more on protecting margin and operational continuity. That includes disciplined inventory management, diversified sourcing, and maintaining flexibility across our asset base. As a converter, our role is not to absorb long term feedstock inflation, but to consistently pass through raw material costs while earning an appropriate return for processing and service. Historically, that approach has allowed us to navigate volatility without structurally impairing margins.

Turning to the question on batteries: it is true that the growth of lithium-ion batteries has increased interest in certain specialty GPC grades, and this does create periodic noise in specific feedstock markets. However, we currently view this as manageable and largely non-structural for a few reasons.

Calcination, for aluminium smelting CPC production, remains by far the dominant end market for anode grade GPC, both in terms of volume and long-term growth expectations. Battery demand is growing quickly, but from a much smaller base, and it tends to be more selective in terms of specifications and geography.

From RAIN's perspective, our global sourcing footprint, long-standing supplier relationships, and blending capabilities give us resilience across cycles and feedstock shifts. We have been operating through multiple commodity and technology transitions over decades, and this is another evolution we feel well prepared to manage.

Sarang

Thanks, Gerry. The next question is regarding our Carbon segment's Distillation business : One of the competitor s has recently commented on the possibility of exiting North American coal tar distillation while continuing to supply customers Page 6 of 22 from its other locations outside of North America . How would such a move, if it were to occur, affect the competitive landscape in the region? And what could that mean for RAIN's positioning with respect to customer relationships, service reliability, and market economics over time?

Gerard Sweeney

We are aware of the conditional commentary from a competitor regarding their North American distillation footprint. At this stage, there is no clarity on whether these plans will be implemented or how supply would ultimately be structured if they are.

RAIN remains firmly focused on delivering reliability, continuity, and consistency for our customers. We operate an established and proven North American supply network, supported by significant logistics flexibility, enabling us to meet customer requirements seamlessly across the region. Importantly, our volumes are anchored in long-standing, strategic customer relationships, not opportunistic demand.

More broadly, any potential reduction in regional distillation capacity would only heighten the importance of dependable local supply, logistics execution, and service reliability, areas where RAIN has consistently invested and built a competitive advantage. While we do not speculate on competitors' actions, we are confident in our ability to support our customers, uphold disciplined pricing, and comp

ete effectively under evolving market conditions.

In fact, RAIN is uniquely positioned in North America. Through our state-of-the-art distillation facility and solid pitch re-melter in Canada, we have both the capacity and logistical reach to process all available North American coal tar and supply up to 100% of the region's carbon and creosote requirements.

Page 7 of 22

Sarang

Thanks Gerry. The next question is back to Carbon Calcination . With CPC and GPC prices expected to surge, isn't it a good opportunity to ask customers to increase the adoption of ACP technology? If ACP kicks off in a proper manner, that could really help RAIN lower its raw material cost and have more CPC volumes for selling to clients.

Gerard Sweeney

RAIN's ACP technology is particularly valuable in periods of raw material constraint, such as when there is limited availability of high-quality GPC, rather than in situations driven purely by price increases.

The key advantage of ACP lies in its ability to process lower -grade or more variable raw materials and still produce CPC that meets stringent customer specifications. While this enhances our raw material flexibility, ACP production does involve incremental conversion costs, which we carefully evaluate against the overall economic benefit.

At present, our approach to ACP remains measured and disciplined. We are deploying the technology selectively and at relatively small volumes, with a strong focus on ensuring consistent product performance and gaining broader market acceptance. This cautious ramp -up strategy allows us to build confidence among customers while further optimizing the process.

Over time, as market conditions warrant and acceptance continues to strengthen, ACP provides us with a scalable solution. It enhances our resilience to raw material volatility and positions us to respond more effectively to supply disruptions, while maintaining the quality standards expected by our customers.

Sarang

Thanks, Gerry. The next question is, can you explain what major steps we have taken to strengthen the business model in our Carbon and Advanced Material segments? What kind of revenue growth and margin increase should it lead to in 2026 and beyond? Also, has there been any reduction of refinery runs in China? If so, do you see any change of dynamics here, or are they managing to keep full utilisation due to crude stock levels. Has there been any reduction in Chinese dumping? Is China exporting CPC? Who is exporting to the new Indonesian aluminium smelters?

Gerard Sweeney

Thanks for the questions, Sarang. Our Carbon and Advanced Materials segments are becoming increasingly integrated. We are progressively channelling more Carbon Distillation output into our Advanced Materials facilities, where it is upgraded into higher-value products such as phthalic anhydride, CARBORES, PETRORES, benzene, asphalt sealers, and others. Additionally, we leverage our logistical flexibility by transporting raw materials for both segments on the same vessels, helping to optimise and reduce overall freight costs. These growing synergies are expected to continue supporting RAIN's revenue growth and margin expansion.

Regarding the reduction in Chinese refinery runs, press reports indicate that the ongoing conflict in West Asia has affected several coking and non-coking refineries in China which depend on crude supplies from the region. We also understand that supply constraints within China have led to reduced, or potentially restricted, exports of certain refinery products. While this has

global availability of some petroleum products relevant to our Advanced Materials business, we have not yet observed a significant decline in exports affecting our Carbon segment, including CPC.

Finally, we believe that the new aluminium smelters in Indonesia are importing carbon anodes rather than CPC.

Sarang

Next is a follow-up question, What implications will the current geopolitical issues have on the volumes and prices for the Carbon and Advanced Material segments? Will the volumes in 2026 be lower than what we had envisaged prior to the commencing war? What percentage of the sales that we generally make in the Middle East are affected? Are we able to sell those volumes to customers in other regions?

Gerard Sweeney

Geopolitical developments in West Asia are expected to affect RAIN's Carbon and Advanced Materials segments to some extent, albeit in different ways. However, we do not anticipate a material impact on our 2026 sales.

Within Advanced Materials, RAIN has limited sales exposure to the region. However, the ongoing conflict has indirectly supported demand from European customers, partially offsetting any regional softness.

In our Carbon segment's Distillation business, RAIN has historically maintained only modest CTP sales into West Asia, and therefore volumes have not been meaningfully affected. That said, we have seen some benefit on pricing for products linked to fuel oil benchmarks, which have strengthened in the current environment.

Page 10 of 22

For the Calcination business, as noted in our earnings commentary, approximately 5 percent of global CPC demand is tied to the Middle East. RAIN's direct exposure to the region remains relatively limited. While there may be some localized disruption, we believe volumes can be redirected to other

markets until conditions stabilise.

Sarang

Thank you, Gerry. We now have a few questions for Mr. Jagan.

The recent annual report provides more commentary on the alternate raw material supplies. How has that benefited RAIN in the current environment? Can you provide specific examples of the benefits we have seen due to our ability to use alternate raw materials?

Jagan Nellore

Thanks for the question, Sarang.

Our R&D teams work closely across all our businesses to enhance efficiency in how we utilise our traditional raw materials and energy inputs, while also continuously exploring alternatives. A key area of focus is the evaluation of non-traditional raw materials, where we assess both potential cost savings and performance characteristics to ensure they meet our quality standards.

In parallel, we have made targeted investments in multi-modal and flexible logistics infrastructure across our sites. These capabilities allow us to efficiently receive and dispatch materials through a variety of transportation modes, enabling us to adapt quickly to changing market conditions and optimise freight economics.

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Together, these efforts give us the ability to continuously assess and balance the cost-benefit dynamics of an expanded range of raw material sources and end markets. This flexibility positions us to respond swiftly as global supply-demand conditions evolve.

We have seen the value of this approach in the current environment, where we have successfully adjusted both our sourcing strategies and sales destinations in response to shifts in raw material availability and market economics. Our overarching objective remains to operate our facilities at optimum capacity utilisation rates while consistently delivering high-quality products to our customers.

Sarang.

Our

next investor question is: The R&D expenditure for 2025 was 656 Million Indian Rupees, which is less than 0.5 percent of our revenue. Given the significant opportunities we anticipate in the Battery Anode Materials (or, BAM) and Energy Storage Materials (or, ESM) sectors, why are we not considering increasing our R&D spending? What new products are we planning to commercialise and introduce to the market? Can we expect any substantial revenue from these new products by 2026?

Jagan Nellore

RAIN is already an active participant in the BAM and ESM sectors through the supply of our established Carbon and Advanced Materials product portfolios. At the same time, we are systematically strengthening our position through sustained, targeted R&D investment and focused innovation in these high-growth areas.

Page 12 of 22 Our R&D efforts in BAM and ESM are supported by funding from multiple government bodies, enabling us to accelerate development while maintaining disciplined capital allocation. We have also entered into several joint development agreements with complementary materials partners, allowing us to leverage combined technical expertise, share development costs, and significantly de-risk the innovation process. These collaborations, many of which are supported by funding from Canada, the Province of Ontario, the European Union, and the Flanders region in Belgium, position us to advance efficiently while managing risk.

In mid-2025, we commissioned a demonstration plant at our R&D centre in Canada. This facility is a critical milestone in scaling and validating new

technologies and will remain fully operational through 2026, supporting product development and process optimization.

While we are still in the early stages of commercialization and are not in a position to disclose specific product pathways, we can state clearly that no new products from these initiatives are expected to reach commercial scale in 2026. However, the progress underway today is building a strong and credible platform for future growth in these strategically important segments.

Beyond battery materials, RAIN's R&D teams in Europe are actively advancing innovation in resins, rubber, and next-generation raw materials, supported by our new pilot facility dedicated to developing feedstocks for our Carbon segment.

Although the development cycle in BAM and ESM is inherently longer, our broader R&D engine is already delivering tangible results. Approximately 30% of our current resin portfolio has been developed over the past five years, demonstrating the effectiveness of our innovation efforts. Looking ahead, we expect new materials to account for up to 40% of our Carbon Distillation portfolio by the end of this decade.

Sarang.

Our next investor question is: given the European chemical industry's struggles, could management provide the outlook of the future merits or de-merits of our European operations, especially since we spent a significant amount on our HHCR project?

Jagan Nellore

The European chemical sector has faced challenges in recent years. Structural pressures, including elevated labour costs, persistently high energy prices, increasing regulatory and compliance burdens, and intensified competition from China, have weighed heavily on industry performance, including RAIN's European operations.

However, conditions are now showing signs of stabilization and improvement. The European steel industry is beginning to recover, supported by targeted policy measures from the European Union. Energy markets have also demonstrated resilience following the adjustments made in response to the Ukraine conflict. Reflecting this improving backdrop, European chemical companies are reporting stronger performance in 2026.

Against this environment, RAIN has demonstrated a degree of resilience than many of its peers, underpinned by the strength of our underlying business model and the deep integration across our European operations. A key differentiator is the level of synergy embedded within our asset base. Our sites are not only operationally linked but also economically aligned, leveraging by-products from one facility as feedstock for another, and executing coordinated logistics strategies that consolidate shipments and optimize freight costs across regions.

This integrated model delivers tangible advantages in both cost efficiency and operational flexibility, enabling us to mitigate external pressures more effectively than fragmented competitors. As a result, while Europe remains a structurally challenging market, RAIN is positioned to sustain performance, adapt to evolving conditions, and perform well.

Sarang

The next question is: you have one million tons of CPC blending capacity in India. Given that many of your CPC competitors in India have reduced their output, what is the maximum possible that you can realistically increase it to?

Jagan Nellore

Under the current regulatory framework in India, RAIN is permitted to import up to 370,000 tons per annum of CPC. These imports are required to be blended with CPC produced at our Special Economic Zone (or SEZ) facility.

The regulations also provide a degree of flexibility in how this material can be marketed. CPC produced within the SEZ can be supplied to domestic tariff area

(or DTA) smelters against their corresponding import license s. However, any CPC that has been blended using imported CPC is restricted for sale only as exports or to other SEZ-based smelters within India.

Within this framework, RAIN is well positioned to serve incremental demand in the Indian market. Our combination of domestic production and permitted imports, along with our operational flexibility, enables us to efficiently allocate Page 15 of 22 volumes across customer segments while remaining fully compliant with regulatory requirements.

Overall, this structure provides us with both a reliable supply base and the flexibility to support the needs of India's aluminium industry.

Sarang

Thanks. The next question is regarding our Cement segment. By when we can expect a recovery in this business segment.

Jagan Nellore

RAIN's Cement segment is primarily focused on the South Indian market, where all of our production and sales are concentrated. Over the past several years, the industry landscape in this region has evolved significantly, with large pan-Indian cement conglomerates acquiring regional players. This consolidation has driven an increase in operating rates, resulting in elevated production levels, and contributing to periods of supply overhang and pricing pressure.

More recently, however, there has been a shift toward capacity rationalization and improved operating discipline across the sector. Producers are increasingly optimizing production levels in line with demand, which has helped stabilize market dynamics.

These developments are beginning to translate into early signs of recovery in the South Indian cement market, including improved pricing trends and more balanced supply-demand conditions. RAIN, with its established regional presence and integrated operations, is well positioned to benefit from this Page 16 of 22 improving environment.

We are seeing encouraging indicators that support a gradual recovery in the performance of our Cement segment.

Sarang

Thanks Jagan. Our final set of questions is for Srinivas.

The next set of questions are regarding debt.

What is the plan for deleveraging?

Is the company planning to repay partly and reduce Gross Debt?

Is there a possibility to refinance existing high cost (12.25 percent) debt?

Please mention the approximate quantum and likely interest savings.

The current high debt is the single biggest worry in the minds of most investors.

Once the issue starts getting resolved, the business is likely to reflect its true value, which is far higher than the current.

Srinivasa Rao

Thank you for the question, Sarang. We typically look at our debt under three broad categories:

In 2018, we raised a 390 million Euro Term Loan B, which we subsequently refinanced in August 2023 at a reduced level of 353.5 million. As of today, the outstanding balance stands at 310.6 million Euro, representing a reduction of approximately 80 million over this period. This reflects our continued focus on deleveraging while maintaining financial flexibility.

Our Senior Secured Notes have also seen a meaningful reduction, declining to 450 million US Dollars as of March 2025, compared to 550 million in 2018.

Page 17 of 22 Across these two key instruments, we have reduced our gross debt by approximately 200 million Dollars over the past several years. Importantly, this has been achieved while continuing to service higher interest costs in a rising rate

environment and funding our ongoing maintenance capital expenditure requirements.

The third component of our overall debt relates to working capital. This has increased in recent periods, driven primarily by higher input and product pricing, as well as operational factors such as the ramp -up of our SEZ facility following the relaxation of import regulations. These dynamics have resulted in higher inventory levels and trade receivables, leading to incremental working capital utilization.

We remain actively engaged with capital markets and continue to monitor conditions for potential refinancing opportunities. Our approach is disciplined and opportunistic , as we carefully evaluate redemption premiums, transaction costs, and prevailing interest rates to ensure that any refinancing delivers a clear net benefit in terms of interest savings and long-term capital structure optimization.

Sarang

Thanks, Srinivas. The next question is, How is the company planning to control its other expenses considering higher logistics and fuel costs? Considering our requirement to source and sell materials to different parts of the world, would the other expenses increase materially in 2026?

Srinivasa Rao

That is a very good question.

Page 18 of 22 As Gerry mentioned earlier, the current environment presents both positive and negative impacts for our business. On the positive side, we are seeing an increase in selling prices across several of our product lines. On the other hand, we are also experiencing cost pressures, particularly from higher raw material prices.

As a converter business, our primary focus remains on sustaining stable operating margins through the cycle. Given the nature of our operations, there is typically a timing difference between movements in input costs and the corresponding adjustments in selling prices.

In a rising price environment, this lag works in our favour, as selling prices tend to adjust more quickly than input costs, leading to margin expansion. Conversely, in a declining price

environment, margins may come under pressure as input costs take time to reflect the softening trend in selling prices.

However, when viewed over a full cycle, these effects tend to balance out. Our disciplined approach to pricing, cost management, and operational efficiency enables us to maintain relatively stable margins over time, despite short -term volatility in both input costs and product pricing.

Sarang

The next question is: will the actual tax outgo for 2026 be lower than the reported tax number due to the deferred tax assets on our books?

Srinivasa Rao

Let me elaborate further on the tax line item. Broadly, it comprises two components: current tax and deferred tax.

Page 19 of 22 The current tax component reflects the estimated tax payable on profits generated across the various jurisdictions in which we operate. This represents the actual cash tax outflow, subject to local tax regulations and applicable rates.

The deferred tax component, on the other hand, arises from timing differences between accounting income and taxable income. This includes the recognition of deferred tax assets related to historical carry -forward losses, interest deductions, and other temporary differences, which can be utilised to offset current taxable income over time.

As our earnings improve, we would expect the current tax outflow to trend higher,

particularly as the benefit from previously accumulated deferred tax assets is gradually utilised. In addition, regulatory constraints, such as limitations on the deductibility of interest expense in key jurisdictions like the U.S. and Europe, may further influence the effective tax rate and cash tax payments.

Overall, while deferred tax positions provide some moderation in the near term, a sustained improvement in profitability will naturally result in a higher normalised tax outflow over time.

Sarang

The next question is on the working capital management : We have been through these phases before , where a sharp increase in material prices increases profits but negatively impacts cash flow due to working capital demands.

Is the management considering something different to ensure that this volatility is handled better through the cycle this time? That we come out of this phase with a better balance sheet?

Page 20 of 22 Srinivasa Rao

The primary driver of working capital is the volume required to support sales demand. Our plants do not operate on a just-in-time inventory model . Accordingly, we maintain sufficient raw material inventories to ensure uninterrupted production and timely fulfilment of customer requirements. This naturally results in incremental working capital utilisation as volumes increase.

During upcycles, higher production levels and elevated input prices typically lead to an increase in inventories and receivables, resulting in a use of cash. Conversely, as the cycle moderates and trends reverse, working capital unwinds , releasing cash back into the business.

This inherent cyclicity in working capital acts as a stabilizing factor. The release of cash during downcycles supports liquidity and helps offset margin pressures, as we experienced in 2024. Overall, our approach ensures that we remain operationally resilient while effectively managing cash flows across market cycles.

Sarang

Thanks. The next question is, after the increase of volumes in the Carbon segment in the fourth quarter of 2025, there was then a fall of volumes during the first quarter of 2026. Is there any specific reason for this? Also, what is the expectation for the rest of the year.

Srinivasa Rao

The slightly lower volum

es in the first quarter compared to the fourth quarter of 2025 were primarily driven by the timing of certain shipments rather than any change in underlying demand.

Page 21 of 22 As Gerry mentioned earlier, we expect volumes to improve in line with current market dynamics. With growing demand for aluminium globally, there is a corresponding increase in demand for key inputs such as CPC and CTP, which directly benefits our Carbon segment.

Looking ahead, we expect our volumes to remain stable and well-supported for the balance of the year, underpinned by strong end-market fundamentals and consistent demand trends.

Sarang

Thanks. Here is our last question for today's session, about the forex fluctuations. How is the Indian Rupee depreciation against US Dollar and Euro impacting our business. Is it net gain or loss for us? And what is the forex currency exposure we are dealing with. Any forex hedging being considered in the near future ?

Srinivasa Rao

As we have consistently highlighted in our discussions with stakeholders, movements in the Indian Rupee against the US Dollar , whether appreciation or

depreciation , do not have a significant impact on our overall business performance.

A substantial portion of our foreign exchange exposure is naturally hedged through the structure of our operations, including the alignment of our revenues and costs across currencies. While there remains a small unhedged component, it is limited in scale and not expected to have a material effect on our financial results.

Page 22 of 22 Overall, our diversified geographic footprint and prudent risk management practices ensure that foreign exchange volatility has only a minimal impact on our performance.

Thank you, Srinivas, Jagan, and Gerry.

Ladies and gentlemen, this concludes RAIN 's Management Q&A session for the first quarter of 2026.

Call: May 2026

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RIL/SEs/2026 May 8, 2026

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Dalal Street, Fort
Mumbai-400 001 The Manager
Listing Department
The National Stock Exchange of India Limited
Bandra Kurla Complex
Bandra East
Mumbai – 400 051

Dear Sir/ Madam,

Sub: Management Presentation on Un-Audited Financial Results of the Company
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– Reg.
Ref : Scrip Code: 500339 (BSE) & Scrip code : RAIN (NSE)

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This is for your kind information and record.

Thanking you,

Yours faithfully,
for Rain Industries Limited

S. Venkat Ramana Reddy
Company Secretary

Introduction by Sarang

Greetings to everyone. We welcome you all to today's management presentation hosted by Rain Industries Limited. My name is Sarang Pani, and I serve as the General Manager of Corporate Reporting and Investor Relations here at Rain Industries Limited.

Earlier today, we released our financial results for the first quarter ending March 31, 2026. These results are now available on our website for your reference.

In just a moment, we will walk you through the key performance highlights in Rain Industries Limited for the first quarter of 2026. We will provide insights into our operational progress, market dynamics, and strategic initiatives that are shaping our path forward.

The speakers for today are:

Mr. Jagan Reddy Nellore – Managing Director of Rain Industries Limited

Mr. Gerard Sweeney – Vice Chairman of RAIN Carbon Inc

Mr. T Srinivasa Rao – CFO of Rain Industries Limited

Page 2 of 22

Before we begin today's discussion, the management would like to highlight that certain statements made during this presentation may be forward-looking in nature. These statements may include, but are not limited to, expectations regarding future performance, strategic initiatives, market trends, financial targets, and anticipated outcomes. Such forward-looking statements are based on our current assumptions, projections, and available information. However, they are inherently subject to a range of risks and uncertainties that could cause actual results to differ materially from those expressed or implied. Factors that may impact on our performance include changes in market conditions, regulatory developments, competitive dynamics, and other risks.

Additionally, today's presentation may include references to non-GAAP financial measures. These metrics are intended to provide additional insight into our operational performance and should not be considered as substitutes for GAAP measures. Reconciliations of these non-GAAP measures to the most directly comparable GAAP figures are available in the accompanying slide deck.

Now, please turn to Slide 3 of the presentation and Mr. Jagan Nellore will walk us through the key developments and strategic highlights during the first quarter of 2026 for RAIN Group. With that, I hand it over to Mr. Jagan.

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Slide 3 – Jagan Reddy Nellore

Thank you, Sarang, and good day to everyone.

As is our long-standing practice, I will begin by addressing safety, an area that remains fundamental to how we operate and a cornerstone of RAIN's culture of operational excellence.

During the first quarter of 2026, we once again delivered best-in-class safety performance, achieving a Total Recordable Incident Rate, or TRIR, of 0.14. This outcome reflects the consistent commitment of our employees, leadership teams, and contractors across all regions. I would like to sincerely thank everyone involved for prioritizing not only their own well-being, but the safety of those around them. These collective efforts have enabled us to sustain industry-leading outcomes across every RAIN facility worldwide.

At RAIN, safety is not treated as a short-term priority that shifts with

operating conditions. It is a core value, deeply embedded in our operating philosophy and reflected in decisions made at every level of the organization, from senior management to frontline teams. Our approach emphasizes proactive prevention and personal accountability,

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empowering every employee to identify, report, and address unsafe conditions or behaviors well before they escalate.

Importantly, better results do not lead us to complacency. In fact, periods of superior performance reinforce our focus on continuous improvement. We actively review, strengthen, and evolve our safety protocols, ensuring they are fully integrated into daily routines and operational decision-making. This disciplined approach is what enables us to protect our people while maintaining reliable, high-quality operations.

Slide 4 – Jagan Reddy Nellore

Turning now to Slide 4, the ongoing conflict in the Persian Gulf has introduced severe supply-side risks into an already structurally deficit global aluminium market, significantly heightening uncertainty across the aluminium value chain. Two materials that sit at the very foundation of primary aluminium production, calcined petroleum coke (or CPC), and coal tar pitch (or CTP), are within RAIN's market sphere. These materials are indispensable inputs for carbon anodes, without which aluminium production cannot occur.

Approximately one-fifth of global petroleum coke supply is directly linked to the Persian Gulf, while the region depends on imports for roughly one-third of its CPC requirements. Following the onset of the conflict, crude oil and refined product prices have moved sharply higher; however, CPC and CTP prices to date have shown only limited increases. Rather than reflecting reduced risk, this relative price stability instead reflects a lag in market response and a growing underlying vulnerability. Should disruptions to trade flows persist or escalate, these markets are more likely to experience sudden physical tightness, forced rerouting of material, and heightened price volatility, rather than a gradual or orderly repricing.

Critically, there are no viable substitutes for either CPC or CTP in the production of carbon anodes and are strategic inputs that underpin the entire global aluminium industry. Secure, reliable access to CPC and CTP will be critical in navigating the current geopolitical disruption and sustaining aluminium production continuity. In this context, RAIN is taking all possible measures to maintain supply integrity and support our customers through this period of exceptional uncertainty, leveraging our strategic positioning and operational flexibility.

Now coming to the financial performance, despite an operating environment marked by geopolitical uncertainty and continued market volatility, the first quarter of 2026 represented another consecutive quarter of positive financial momentum for RAIN. Our year

-over-year improvement was driven by a combination of higher volumes, improved pricing, and the tangible benefits of cost-saving initiatives executed throughout 2025.

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Volumes increased notably during the quarter, led primarily by the Carbon segment. Our Indian CPC facilities operated at optimum capacity, following import relaxations and the successful re-activation of our global blending strategy. In Advanced Materials, volumes increased supported by improved demand across multiple end markets.

Reported revenue for the quarter was Indian Rupees 45.21 billion, representing a 20% increase versus the first quarter of 2025. Adjusted

EBITDA total led Indian Rupees 7.15 billion, a 65% improvement year-over-year. These results also reflect the benefit of structural cost actions taken in 2025, including plant capacity rationalization, restructuring of labor agreements, increased insourcing, and the establishment of direct sales relationships with key Advanced Materials customers in North America.

Importantly, this performance represents a return to our targeted quarterly earnings range. While we are encouraged by this progress, we remain measured in our outlook. Compared to the same period last year, both revenue and EBITDA are now more aligned with our historical norms, signaling underlying improvement in business fundamentals. That said, the current geopolitical backdrop remains uncertain, and disciplined execution against our priorities will remain essential.

Within the Carbon segment, access to raw materials and their delivered cost continues to be a key performance determinant. Volatility in energy and commodity markets has drawn new entrants into certain raw material streams while forcing others to exit. This dynamic applies across coal tar, petroleum tar, and green petroleum coke. Our ability to actively optimize raw material sourcing, production volumes, and margins, supported by our global footprint and operational flexibility, was a meaningful contributor to Carbon segment performance during the quarter. Our teams remain actively engaged with customers and continue to strengthen our value proposition across both Distillation and Calcination.

Operating conditions remain challenging, with aluminum smelter closures, shipping route disruptions, and shifts in global product flows. We have responded by focusing on factors within our control: improving operational efficiency, managing costs responsibly, diversifying supply chains, evaluating alternative raw materials, and maintaining a strong customer-centric mindset.

Capital expenditures during the quarter totaled USD 10 million, primarily directed toward essential maintenance and scheduled turnaround activities. These investments underline our commitment to operational reliability and long-term sustainability.

We ended the quarter with liquidity of USD 362 million. As a reminder, our next significant term debt maturity does not occur until October 2028, providing us with a stable financial foundation and meaningful flexibility as we navigate near-term uncertainty.

Our primary objective in the first quarter was to maintain the stepwise progress achieved throughout 2025, restoring normalized margins, stabilizing operations, and rebuilding resilience. While the ultimate outcome of ongoing geopolitical developments remains unclear, we remain cautiously optimistic that by continuing our prudent approach and leveraging our flexible global supply chains, we can make further progress toward that goal.

Overall, performance improved meaningfully year-over-year as higher volumes complemented better pricing and margin recovery across both Carbon and Advanced Materials. In Carbon Distillation, volumes were slightly lower due to raw material constraints, but revenues were modestly higher and margins improved due to better feedstock pricing.

In Calcination, volumes increased driven by an improved capacity of Indian operations compared to partial ramp-up in the prior year. While geopolitical events created both headwinds and tailwinds, demand from the global aluminum sector remained robust. The reinstatement of our global blending strategy in 2025 continued to be a critical advantage,

enhancing supply flexibility, diversifying raw material sources, and allowing us to serve multiple regions amid ongoing Middle East disruptions.

Turning to Advanced Materials, EBITDA improved year-over-year despite continued volatility in raw material and energy costs, as well as finished product pricing. While the first quarter is seasonally softer due to winter conditions, the segment delivered higher volumes, revenues, and EBITDA compared with the prior year. Performance improvements were driven by close monitoring of rapidly changing market dynamics and disciplined cost and pricing actions. This vigilance will remain a priority to protect long-term competitiveness.

In our Cement segment, volumes were impacted by heightened competitive intensity following recent acquisitions by pan-India players in South India. While this led to some pressure on volumes, disciplined pricing actions delivered moderate realization gains, which helped partially offset the impact and resulted in only modest declines in revenue and margins. Demand trends across South India remain mixed, reflecting regional differences in infrastructure spending and temporarily subdued construction activity. Importantly, early indicators point to a gradual

improvement in market conditions, and the planned development of the Amaravati capital city in Andhra Pradesh is expected to provide a meaningful demand catalyst beginning in the second half of 2026.

Construction activity during the quarter was also affected by labor shortages arising from state elections and migrant workforce movement. With elections concluding in April 2026, we are already seeing signs of improved labor availability, which should support a pickup in construction momentum in the coming quarters. At the same time, we remain vigilant on input cost risks, particularly potential fuel price volatility stemming from ongoing Middle East conflicts and are proactively managing our cost structure to protect margins as the cycle recovers.

As our Cement business completes 40 years of operations, we launched a refreshed logo and redesigned packaging to reduce transit losses and enhance brand presence. We have also introduced a customer-centric on-site technical support program to strengthen engagement and visibility across our markets. While we expect improved sales and higher capacity utilization over time, we have deferred brownfield expansion in Telangana until utilization levels justify additional investment.

With that, I will now hand the presentation over to Gerry, who will provide further updates on the industry and our business on Slide 5.

Gerry....

Slide 5 – Gerard Sweeney

Thank you, Jagan, and hello to everyone. It is a pleasure to speak with you again.

Turning to Slide 5, I will briefly discuss developments in the global aluminum industry, which represents approximately 50% of RAIN's revenue and remains a key driver of our overall performance.

The first quarter of 2026 was marked by several notable shifts in global aluminum supply, the full implications of which are still unfolding. A major smelter in Mozambique permanently ceased operations, while a previously idle smelter in Europe began ramping up production, and another is preparing to restart following an unplanned outage. Importantly, these events were largely anticipated and had already been absorbed by the market.

At the same time, the conflict in the Middle East has had a far more disruptive impact. Several smelting facilities in t

he region were forced offline, either due to direct damage or because of significant supply -chain constraints. Current estimates suggest that approximately 3.2 million metric tons of smelting capacity, representing about 4.6% of global aluminum capacity, is offline in the Middle East. A portion of this capacity will require extended repair timelines, potentially exceeding one year.

While only around 5% of RAIN's global CPC production is sold into the Middle East, the region accounts for approximately 8 –9% of global primary aluminum production. As a result, the loss of capacity has tightened global supply. Combined with continued demand, this has contributed to aluminum prices and regional premiums moving to historically elevated levels.

London Metal Exchange aluminum prices continued to rise during the first quarter from already high levels. While this pricing environment has been supportive in the near term, we remain thoughtful and cautious about the broader implications. Sustained high aluminum prices, when coupled with elevated energy costs globally, have the potential to weigh on downstream demand over time. Moreover, the trajectory of both aluminum markets and energy markets will remain linked to the evolution of geopolitical conditions in the Middle East.

That said, we continue to believe firmly in the strong underlying fundamentals of aluminum. Over the long term, demand growth is well supported by structural trends including electrification, lightweighting, energy transition infrastructure, and urbanization.

We also view positively the announced aluminum smelter restarts in the United States, some of which are expected to come online during 2026. In parallel, we are actively monitoring new smelting capacity announcements beyond 2026, particularly in geographies that are well aligned with RAIN's footprint and logistics capabilities, including India, Indonesia, and the United States.

As we enter the second quarter amid inherently unpredictable market conditions, our approach remains disciplined. We are rigorously managing raw material costs while maintaining prudent minimum inventory levels, particularly considering ongoing Middle East conflicts and related logistics and operational challenges. At the same time, we continue to leverage the flexibility of our global production network and the strength of our technology portfolio to reliably serve customers across a broad range of end markets.

Slide 6 – Gerard Sweeney

Turning now to Slide 6, which summarizes key commodity price trends and their implications for our business during the first quarter of 2026.

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During the quarter, some of the major commodities relevant to our operations experienced price increases, largely driven by escalating geopolitical tensions in the Middle East. These increases effectively reversed several quarters of gradual commodity price softening. Through disciplined procurement practices, proactive margin management, and close coordination between our sourcing and commercial teams, we were able to mitigate the impact of these cost pressures to a certain extent . As we move into the second quarter, we continue to closely monitor commodity markets and remain vigilant to potential price volatility, with a focus on minimizing exposure to higher -priced inventory.

The situation was further complicated by disruptions affecting key global energy suppliers. Qatar, one of the world's most important exporters of natural gas, faced both infrastructure attacks and the closure of the Strait of Hormuz. Simultaneously, crude oil exports from several countries in the region were significantly constrained. Under these conditions, prices for petroleum and gas related commodities increased sharply, directly impacting raw material availability and cost structures across global refining and industrial sectors

, including our own.

Despite these challenges, RAIN demonstrated some degree of operational resilience. Across both the Carbon and Advanced Materials segments, our diversified global production footprint, long-term investments in alternative raw materials, and flexible supply chain model helped us

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manage first-quarter geopolitical disruptions and commodity price volatility. While these capabilities do not eliminate exposure to ongoing external uncertainties, they enabled us to respond effectively to near-term disruptions, limit operational impacts, and maintain stability during a period of heightened market complexity.

Looking ahead, our focus remains firmly on managing the variables within our control. We continue to optimize energy efficiency, strengthen, and diversify our global supply chains, actively manage our raw material exposure, and adapt our operational footprint to maintain cost competitiveness across all regions and customer markets.

With that, I will now turn the presentation over to Srinivas, who will walk you through RAIN's consolidated financial performance on Slide 7.

Srinivas, over to you.

Slide 7 – Srinivasa Rao

Thank you, Gerry, and good day to everyone.

Turning to Slide 7, consolidated net revenue for the first quarter of 2026 was Indian Rupees 44.89 billion, representing an increase of Indian Rupees 7.43 billion compared to the first quarter of 2025. This

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improvement was primarily driven by strong performance in our Carbon segment, which contributed an incremental Indian Rupees 6.18 billion, along with an Indian Rupees 1.39 billion increase from Advanced Materials. These gains were partially offset by a modest decline of Indian Rupees 0.14 billion in the Cement segment.

Consolidated adjusted EBITDA for the quarter total led Indian Rupees 7.15 billion, reflecting an Indian Rupees 2.81 billion year-over-year increase. The improvement was driven predominantly by the Carbon segment, which contributed Indian Rupees 2.35 billion, alongside an Indian Rupees 0.47 billion uplift from Advanced Materials. Cement EBITDA declined marginally by Indian Rupees 0.01 billion due to reduction in volumes offset by increase in realisations.

Reported EBITDA for the quarter included non-recurring items totaling Indian Rupees 59 million. These primarily comprised an insurance claim receipt of Indian Rupees 110 million related to prior-year damage at our Carbon Calcination facility in the United States, partially offset by one-time branding and advertising costs of Indian Rupees 51 million incurred within our Cement segment following the launch of a new logo and packaging.

Slide 8 – Srinivasa Rao

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Moving to Slide 8, the Carbon segment delivered revenue of Indian Rupees 33.52 billion during the first quarter of 2026, an increase of Indian Rupees 6.18 billion, or 22.6%, year -over-year. This growth was driven primarily by stronger realizations and higher volumes, particularly within the Calcination business.

Adjusted EBITDA in the Carbon segment increased by Indian Rupees 2.35 billion, representing a 57.3% improvement versus the same period last year. Performance was underpinned by higher volumes and some price adjustments , as well as favorable foreign exchange movements. During the quarter, the Euro and U.S. Dollar appreciated by approximately 17.5% and 5.5%, respectively, against the Indian Rupee, providing additional translation benefits.

Overall, this quarter reflects tangible operational and commercial discipline within the Carbon segment, supported by improved pricing structures, flexible sourcing strategies, and better alignment with customer demand.

Slide 9 – Srinivasa Rao

Turning to Slide 9, revenue from the Advanced Materials segment total led Indian Rupees 8.63 billion, an increase of Indian Rupees 1.39 billion, or 19.2%, compared to the first quarter of

2025.

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Volume growth during the quarter was driven primarily by our Chemical Intermediates and Resins businesses, reflecting improved demand and successful customer engagement across key markets. This growth was further supported by the appreciation of the Euro by approximately 17.5% against the Indian Rupee.

Adjusted EBITDA for Advanced Materials increased by Indian Rupees 0.47 billion year -over-year. The improvement reflects higher volumes, improved margins driven by disciplined cost and pricing management, and favorable currency movements. Despite ongoing volatility in raw material and energy costs, the segment delivered a meaningful step -up in profitability.

Slide 10 – Srinivasa Rao

Moving to Slide 10, our Cement segment experienced a 4.9% decline in revenue during the first quarter of 2026 compared to the same period last year. This decline was primarily attributable to lower volumes, reflecting heightened competition in South India following recent acquisitions by pan-Indian players.

In addition, elevated logistics and fuel costs exerted pressure on operating margins during the quarter. While pricing realizations improved

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modestly, they were insufficient to fully offset competitive and cost-related headwinds. Management continues to monitor market conditions closely while prioritizing brand positioning, operational efficiency, and demand recovery.

Slide 11 – Srinivasa Rao

Turning now to Slide 11, which addresses our Debt profile and cash flows.

At the end of the first quarter of 2026, gross debt stood at USD 1.0 billion, including USD 179 million of working capital borrowings. Net debt amounted to USD 825 million, and based on last twelve months EBITDA of USD 289 million, our net debt -to-EBITDA ratio improved to 2.85x. This improvement reflects stronger operating performance and disciplined financial management.

While the Indian Rupee depreciated against the US Dollar by more than 5% during the first quarter of 2026, and continued to depreciate further in the past few weeks, the impact of the same will not affect our Consolidated Debt as the same is denominated in US Dollars and Euros matching with our operations in respective currencies. Translation of such Debt to Indian Rupee is made only for group reporting purpose.

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From a cash flow perspective, operating cash inflows of Indian Rupees 5.27 billion were driven primarily by higher profitability compared to the same period last year, more than offsetting increased working capital utilization.

Investing cash inflows of Indian Rupees 1.56 billion mainly reflect Indian Rupees 2.47 billion in net maturities and interest income from fixed deposits, partially offset by Indian Rupees 0.91 billion invested in maintenance capital expenditures.

Financing cash outflows of Indian Rupees 4.92 billion represent interest payments, lease obligations, and scheduled debt repayments made during the quarter.

With that, I will now hand the presentation back to Jagan for his closing remarks.

Closing Remarks – Jagan Reddy Nellore

Thank you, Srinivas.

Our 2025 Integrated Annual Report was titled “Transforming with Purpose.” We believe this theme continues to accurately reflect the journey RAIN is undertaking. Over the past year, we have deliberately

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transformed our organization, strengthening our business model across Carbon, Advanced Materials, and Cement, to better withstand global volatility and position the company for sustainable, long-term value creation.

The impact of this transformation is visible in the stepwise improvements we discussed today. These improvements have not only strengthened our performance, but also enabled us to navigate the geopolitical, commodity, and operational turbulence experienced during the first quarter of 2026.

We continue to transform with purpose by actively develop

ing alternative

sourcing and processing strategies for raw materials, enhancing asset utilization, and improving flexibility across our operations. Our long-standing relationships with customers, suppliers, and logistics partners across Europe, North America, and Asia, combined with a robust R&D capability, have allowed us to secure both traditional and alternative raw materials necessary to support our businesses today and in the future.

We have several development programs underway in early stages, and our confidence is grounded in both experience and execution. Decades of institutional knowledge within RAIN, combined with strategic partnerships, give us a strong foundation to commercialize new materials and bring innovative products to market.

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Looking ahead, our focus remains firmly on continued margin recovery, cost and raw material optimization, consistent operational discipline, and a reduction in interest costs to further strengthen our balance sheet over the near term. We remain prudent, but cautiously optimistic, as we continue to build resilience and create value through disciplined

execution.

Finally, I would like to sincerely thank our shareholders, customers, employees, and all stakeholders for their continued trust and confidence in RAIN. We look forward to updating you on our progress and strategic initiatives during our next quarterly call .

Thank you for joining us today.